

Echoing Employee Reviews

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Abstract

This paper examines the incentives behind, and the consequences of, firms' engagement with employee reviews. Using 367,749 reviews and firm responses from 237 firms between 2007 and 2024, together with a survey of 148 HR professionals, I address two questions: whether, why, and how firms engage with and respond to employee reviews, and how current employees (*insiders*) and prospective employees (*outsiders*) react to those responses. I treat the firm as a processor of employee-initiated disclosure whose decisions to acquire and integrate the information are unobservable but inferable from the responses firms post. I classify the sentences in firms' responses by whether they could have been written without reading the review (*template*) or presuppose that the firm read it (*tailored*), and, within tailored content, by whether they address the situation as it stands or seek further information and commit the firm to act. I find that firms produce more tailored content where employees are less satisfied and where reviews raise previously unsurfaced topics, consistent with processing being undertaken where its return is higher. Conditional on responding, tailored content is associated with subsequent improvements in employee satisfaction while template content is associated with deterioration, and topic-level engagement with the concerns raised in reviews is followed by fewer complaints on the same topic. Survey evidence further indicates that firms escalate review content internally and act on it, as committed in their responses. By contrast, response composition is largely unrelated to labor market attractiveness, with the exploratory exception of responses that publicly contest the reviewer's account. The findings indicate that employee review platforms can inform managerial decision-making, conditional on firms processing what appears on them rather than replying generically.

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1 Introduction

Employee review platforms have become influential information intermediaries, enabling employees to disclose and disseminate inside information about their workplaces. They aggregate dispersed employee experiences into signals that job seekers can act on, reducing search costs and supporting more informed decisions (e.g., [Dube and Zhu, 2021](#); [Choi, Yoo, and Lee, 2023](#)). Beyond job seekers, employee reviews also inform shareholders and other external stakeholders by providing predictive information about business outlook, risk factors, quality, managerial ability, and organizational culture (e.g., [Green, Huang, Wen, and Zhou, 2019](#); [Campbell and Shang, 2022](#); [Cai, Mahlendorf, and Wu, 2024](#); [Cai, Prat, and Yu, 2026](#); [Cai, Campbell, Chen, Chen, and Prat, 2026](#)). This literature positions employee reviews within firms’ *external* information environment and treats management as the object of disclosure rather than as an audience for it. Considerably less is known about the *internal* managerial side of the exchange, namely whether and how managers engage with this information. This paper examines the incentives behind, and the consequences of, firms’ engagement with employee reviews. It addresses two questions: (i) *whether, why, and how* firms engage with and respond to these reviews, and (ii) how current employees (*insiders*) and prospective employees (*outsiders*) react to those observable responses.

I frame the research questions by treating the firm as a processor of information that its employees have already disclosed, with the further option of issuing additional disclosure of its own by responding on the platform. Because employees initiate the disclosure, the firm faces two decisions: (i) whether and how far to process what employees have disclosed, and (ii) whether and how to respond publicly. The first decision proceeds in stages, following the information-processing framework of [Blankespoor, deHaan, and Marinovic \(2020\)](#): the firm may become aware that a review exists, may acquire and interpret its content, and may integrate what it learns into a decision. The second decision depends on the first, since a firm can respond substantively only to what it has processed. Each stage is costly, and each

is undertaken only where the expected return is sufficient to justify the cost.

Section 3 discusses in detail the benefits and costs firms weigh in making these decisions; I summarize them briefly here. The returns come primarily from two parties: current employees and prospective employees.¹ Both processing the information and responding to it on the public platform generate returns among these two audiences. For current employees, processing reviews may surface problems that management would not otherwise observe (Dessein, 2002; Morrison, 2014), allowing targeted improvements that raise satisfaction and productivity, while a public response makes salient that employee voice has been heard (Detert and Treviño, 2010; Knoll and Van Dick, 2013) and functions as a commitment device that strengthens employees' relationship with the organization (Gibbons and Henderson, 2012). Both may contribute to firm value through higher satisfaction, improved productivity, and reduced turnover (Edmans, 2011; Edmans, Pu, Zhang, and Li, 2024). For prospective employees, the returns to processing arrive indirectly, through the ratings that a more satisfied workforce posts and that job seekers rely on in their search (Choi et al., 2023), whereas a response may function directly as an additional signal in a matching market where employer quality is unobservable prior to hiring (Spence, 1978).

On the cost side, firms incur processing costs analogous to those investors face when processing disclosures, comprising awareness, acquisition, and integration costs (Blankespoor et al., 2020). Awareness costs are limited in this setting, since employee review platforms are public and widely known. Acquisition costs arise from monitoring the platform, reading what is posted, and identifying the concerns raised, each of which requires managerial time and attention (Harris, Neely, and Saxton, 2021). Integration costs arise from investigating a complaint, escalating it internally, acquiring additional information, and, where warranted, altering a practice, which may require piloting new processes and bearing transition costs. Responding generates further costs of its own. Preparation costs vary with what the response requires the firm to assemble, from almost nothing for a fixed template to considerably more

¹I focus on these two stakeholders. Because responses are publicly available, other stakeholders, such as investors and regulators, may also react, but I do not examine them in this paper.

for a clarification or a commitment. Commitment costs arise where a response undertakes something that current employees can later verify, since a commitment that is not honored damages the relational contract on which it rests (Gibbons and Henderson, 2012).

Whether the returns to engagement justify these costs, and whether firms' observable decisions align with the incentives described above, cannot be determined *ex ante*. This is the first research question: *whether, why, and how* firms engage with and respond to employee reviews.

The information processing decisions are internal and therefore largely unobservable. What is observable is the response the firm posts, and the extent to which a firm has processed a review constrains what its response can contain. A response written without reading the review might contain only generic sentences that would apply to any review, which I term *template*, following the marketing literature on firms' responses to customer reviews (Wang and Chaudhry, 2018; Deng and Ravichandran, 2024). A response that describes the concern, explains the circumstances surrounding it, or commits the firm to further engagement presupposes that the firm read the review, which I term *tailored*. From the processing perspective, the distinction between the two is whether the firm proceeded from awareness to acquisition. Within template content, the distinction concerns the response itself rather than the processing behind it: I separate *cheap talk*, comprising expressions of thanks and apology, which assert nothing that experience can verify, from claims about the firm's *culture* and values, which employees can assess against what they already observe. Within tailored content, the distinction returns to processing, namely whether the firm is likely to have integrated the information into a decision or to have stopped at acquiring it. I separate *clarify*, which addresses the situation as it stands, from *acquire further and integrate*, which seeks additional information or commits the firm to acting on it. Building on this classification, I use variation in firms' response behaviors to address both research questions.

Turning to reactions, I consider the same two audiences: current employees and prospective employees. Both may react to the response itself and to the real changes that processing

may produce, but how they react is unknown *ex ante*. For current employees, I examine employee satisfaction. Current employees experience the conditions a review describes and can evaluate a response against daily experience. They may value being heard and may be more satisfied where a response carries commitments they expect the firm to honor. Moreover, responses that reflect integration of the concern into decision-making may be followed by real changes in the working environment, which may in turn produce a positive reaction. Positive reactions might therefore concentrate in tailored content, which reflects firms' efforts to acquire employee concerns and integrate them into decision-making. A response that conveys nothing new, or that misrepresents conditions employees observe directly, may instead add nothing or provoke an adverse reaction.

For prospective employees, I examine labor market attractiveness. Prospective employees cannot verify what a response asserts at the time they act on it. They may treat any response as a signal in a market where employer quality is unobservable, and may react to whatever content appears to reduce that uncertainty without distinguishing among categories. Alternatively, they may never read responses at all, since the platform's aggregate rating is available at lower cost. Any effect of real improvement may reach them only indirectly, through the ratings a more satisfied workforce posts. Whether and how each audience reacts is the second research question.

To address the two research questions, I collect data on employee reviews and firms' corresponding responses from Kununu, a leading employee review platform in German-speaking countries. The dataset comprises 367,749 reviews from 237 firms, each with more than 1,000 reviews, spanning 2007 to 2024.

I first document variation in whether firms respond. The average firm-year response rate is 21.6%, with substantial variation across firms and over time. The proportion of firms answering at least one review rises from 2% in 2008 to approximately 90% by 2020, while average response length declines, a pattern consistent with firms scaling their responding through standardization.

To characterize how firms respond, I employ a two-stage annotation pipeline using a large language model. The first stage reads each review and identifies the topics raised and the sentiment attached to each across the 13 Kununu rating dimensions, summarizing the review into a list of concerns and a list of positives. The second stage reads each response together with the review and the first-stage output, and assigns response sentences to 12 sub-categories that aggregate into the four categories described above. The 12 sub-categories were developed through an iterative coding procedure adapted from qualitative research, as detailed in Section 4.2. The second stage also produces two 0–3 ratings capturing how substantively the response engages with the concerns raised (*Concern Addressing Rating*) and amplifies the positives raised (*Positive Amplification Rating*), together with topic-level indicators of whether the response engages each dimension. I then aggregate sentence-level labels into response-level shares and average these to the firm-year level.

Based on these labels, I show that the mean *Tailored Share* of 29.2% modestly exceeds the mean *Template Share* of 26.3%. The largest single category, however, is the least costly: *Cheap Talk* averages 19.3% of response sentences, and *Appreciation* alone accounts for 19.7%, exceeding any other sub-category. Within tailored content, the two most prevalent sub-categories are *Seeking Conversation* (8.5%) and *Internal Channel Suggestion* (4.9%), invitations to further dialogue and referrals to internal channels, whereas the two sub-categories that commit the firm most concretely, *Commitment to Report* and *Concrete Actions*, each average 1.0% of sentences.

Next, I examine whether firms’ response behaviors are consistent with the predicted incentives to process reviews. Firms should have stronger incentives to acquire information from employee reviews and integrate it into decision-making when the return is higher. And the return might be higher where there is more room for improvement and where reviews are more informative. Consistent with this prediction, I find that firms whose employees are less likely to recommend them produce significantly more tailored responses, and the association is concentrated in the *Clarify* and *Acquire Further & Integrate* categories. Reviews raising

topics not previously surfaced are associated with a higher *Acquire Further & Integrate* share.

I next examine how current employees react. The pooled response rate is only weakly associated with subsequent changes in employee satisfaction, which is unsurprising given that it aggregates across heterogeneous content that might have opposite effects. Partitioning responses by composition reveals substantial heterogeneity. Conditional on responding, a higher response rate is associated with improvements in both the recommendation rate and the overall rating where responses are tailored, and with deterioration where they are template. Within tailored content, both *Clarify* and *Acquire & Integrate* exhibit positive associations. The *Concern Addressing Rating*, which is assigned against the concerns a review actually raises rather than computed over the response’s own sentences, corroborates this pattern.

A topic-level analysis provides evidence on the underlying mechanism and sheds light on the real effects that may follow the commitments stated in responses. Where firms engage with concerns on a specific dimension, that dimension’s rating improves and the share of reviews raising concerns on it declines in the following year, across all 13 dimensions. The reduction in subsequent complaints is the more informative of the two results, since a sustained decline is unlikely to arise unless the underlying issue was meaningfully addressed. These results indicate that current employees react positively to firms’ revealed efforts to acquire information from reviews and integrate it into decision-making, and that those efforts may produce real improvements in the working conditions that reviews brought to light.

Turning to prospective employees, I find no association between response composition and labor market attractiveness, measured by candidates per posting. Neither the template-tailored partition, nor the four categories, nor either engagement rating is significantly associated with candidate flows. The same specifications do detect co-movement between candidate flows and contemporaneous changes in employee ratings, suggesting that firms’ engagement reaches the external labor market insofar as it alters what current employees report, rather than through the text firms post beneath individual reviews. An exploratory

sub-category analysis indicates that publicly contesting a reviewer’s account is positively associated with candidate flows, while generic assertions that the firm values feedback are negatively associated, consistent with candidates responding to observable assertiveness in the absence of any means of verifying substance. These results should be interpreted as suggestive, given the smaller estimation sample and the number of coefficients estimated.

I supplement the archival analyses with a survey of 148 HR professionals at U.S. firms. The survey addresses a limitation the archival design cannot: in the archival setting, we could only infer firms’ decision-making process from the revealed responses processes, and firms’ following up actions after the responses are posted from the resulting revealed outcomes from employee future complaints. In the survey setting, we could directly ask HR about those. HR participants report that employee reviews are informative sources of organizational issues, that insights from reviews are communicated to senior management, and that firms often take concrete follow-up actions in response. These findings help validate the mechanisms underlying the archival results, suggesting that when firms infer the potential of processing information from employee reviews in the responses, those responses are often translated into internal information sharing and tangible organizational action.

Taken together, the evidence shows variation in whether and how firms engage with employee reviews, ranging from awareness through acquisition to integration when the firm is viewed as a processor of employee-initiated disclosure. This variation depends on the balance of returns and costs. It also shows that current employees and prospective employees react differently to that engagement. Firms’ revealed efforts to acquire and integrate the information are associated with subsequent improvements in employee satisfaction and, potentially, with real changes in the working environment, as evidenced by fewer complaints on the same topics. Responses that do not evidence such effort, including those that thank the reviewer or amplify favorable content, are associated with deterioration, consistent with employees interpreting them as communication around an issue rather than engagement with it. Prospective employees, by contrast, show little detectable reaction to response content,

with the exploratory exception of responses that publicly contest the reviewer’s account, and any broader effect reaches them only through the ratings current employees post.

This study makes three contributions. First, it contributes to the literature on employee reviews in firms’ information environments (e.g., [Green et al., 2019](#); [Huang, Li, and Markov, 2020](#); [Cai et al., 2026](#)) by shifting attention from the firm as the object of disclosure to the firm as its processor. Applying the information processing framework that [Blankespoor et al. \(2020\)](#) develop for investors, I treat firms’ responses as the observable trace of an otherwise unobservable sequence of awareness, acquisition, and integration. I identify variation in this decision-making across firms and link it to observed organizational outcomes. More broadly, the paper speaks to the literature on whether and how information from public places can inform managerial decisions (e.g., [Bond, Edmans, and Goldstein, 2012](#); [Zuo, 2016](#); [Jayaraman and Wu, 2020](#)).

Second, it contributes to the management accounting literature on levers of control by examining whether employee review platforms can function as an external complement to elements of firms’ *interactive control systems* ([Simons, 1994b,a](#)). Traditional interactive control systems foster dialogue between management and employees but are formal, internally administered, and initiated by leadership. Employee review platforms are external, independent, and employee-initiated. The evidence indicates that their value as a complement depends on how far firms process what appears on them. Responses that evidence acquisition and integration are followed by improvements in satisfaction and fewer complaints on the same topics.

Finally, it extends the literature on social media in labor and capital markets (e.g., [Heese and Pacelli, 2024](#); [Dube and Zhu, 2021](#); [Bradshaw, Ma, Yost, and Zou, 2026](#)) by showing that a single response on a public platform is read by two audiences with different capacities to verify it. Current employees, who can check a response against experience, react to whether it evidences processing and to whether its commitments are honored. Prospective employees, who cannot, show little detectable reaction to response content, and firms’ engagement

reaches the labor market only through the ratings current employees post. What a firm gains from participating on the platform therefore depends less on what outsiders read than on what insiders can verify.

The remainder of the paper proceeds as follows. Section 2 reviews the relevant literature. Section 3 develops the conceptual framework. Section 4 describes the data, sample, and measures. Section 5 presents the empirical analyses. Section 6 reports supplementary survey evidence. Section 7 concludes.

2 Literature Review

2.1 Employee Reviews in Firms' External Information Environment

Employee review platforms have emerged as influential information intermediaries in the labor market. As independent platforms, they were designed to facilitate information dissemination and processing for three primary groups: employees, job seekers, and employers. For employees, these platforms offer an external channel to disclose private information that could enhance the workplace, and to acquire information about the workforce. For job seekers, they reduce the costs of acquiring and processing information about firms' pay, benefits, and culture. For employers, the platforms provide a space to present their employer brand by facilitating the dissemination of information about their culture and working environment.² Consistent with these roles, prior literature suggests that employee review platforms provide valuable job-related information for job seekers (Choi et al., 2023).

A growing body of literature demonstrates the informativeness of employee reviews to a broader audience beyond job seekers and current employees, including shareholders and other stakeholders. Green et al. (2019) found that employee ratings are predictive of future stock

²Leading employee review platforms, such as Glassdoor and Kununu, both describe job seekers, employees, and employers as their target customers (audience). Please refer to <https://www.glassdoor.com/about/> and <https://inside.kununu.com/ueber-kununu/>.

returns, suggesting these ratings contain information not yet fully incorporated into market prices. Building on this, [Huang et al. \(2020\)](#) showed that employees' perceptions of business outlook provide incremental information in predicting future operating performance. Moreover, prior literature suggests that employee ratings and review text have predictive power for corporate risk factors ([Ji, Rozenbaum, and Welch, 2017](#); [Campbell and Shang, 2022](#); [Wang, Zhu, Avolio, Shen, and Waldman, 2023](#)). For instance, [Campbell and Shang \(2022\)](#) demonstrate that textual analysis of employee reviews can effectively measure corporate misconduct risk, providing predictive power beyond traditional ratings by capturing subtle signals embedded in organizational culture and employee experiences. Research has also revealed the role of employee reviews in capturing the dynamics of organizational capital and firms' internal environment. [Cai et al. \(2026\)](#) developed a novel measure of organizational capital using employee review data, illustrating how this intangible asset varies over time and influences firm performance. [Cai et al. \(2024\)](#) showed how review text helps understand supervisor behavior, demonstrating how external performance pressures influence managerial actions and their impact on employees. [Welch and Yoon \(2023\)](#) utilized employee ratings of senior managers as signals of managerial ability, showing that high-ability managers allocate resources to ESG in ways that enhance shareholder value.

Beyond their information role, prior research documents the disciplinary role of these platforms. [Dube and Zhu \(2021\)](#) suggests that the rollout of employee review platforms increases workplace transparency and induces firms to change their workplace practices and human capital disclosure strategies due to reputation concerns. This research contributes to a broader literature on social media's role in monitoring firm behavior ([Heese and Pacelli, 2024](#)).

The growing literature on the informativeness and disciplinary effects of employee review platforms focuses primarily on how this information affects the decision-making of outsiders in firms' external information environment. Little is known about whether and how firms themselves engage with it. This paper addresses that gap. It asks (i) *whether, why, and how*

firms respond to employee reviews; and (ii) how current employees (*insiders*) and prospective employees (*outsiders*) react to those responses.

2.2 Employee Voice and Incentives for Disclosure Through Employee Reviews

Employees' disclosure through employee reviews is rooted in prior literature on employee voice. Employee voice refers to the discretionary communication by employees of ideas, suggestions, concerns, problems, or opinions about work-related issues, with the intent of bringing about improvement or change (Morrison, 2014). In contrast, silence occurs when employees withhold ideas, information about problems, or opinions on work-related issues (Knoll and Van Dick, 2013).

Prior literature documents that employees' decision to speak up or remain silent is influenced by two main factors: possessing relevant and unique information to share, and being motivated to share it (Morrison, 2023). Various factors influence these incentives, including employees' individual characteristics, managers' leadership styles, and relational and contextual background (e.g., Morrison, 2014; Yan, Tangirala, Vadera, and Ekkirala, 2022; Farh and Chen, 2018; Morrison, 2023; Detert and Burris, 2007). A significant stream of literature emphasizes the role of "being heard" in motivating employee voice. For instance, Detert and Treviño (2010) show that employees are more likely to voice their concerns when they perceive a supportive environment where their input is valued and does not lead to negative consequences. Similarly, Milliken and Morrison (2003) demonstrate that a culture valuing openness, feedback, and continuous improvement fosters higher levels of employee voice, whereas hierarchical and closed cultures tend to suppress it.

Employee voice has traditionally been channeled through formal internal systems or informal mechanisms, including direct communication with supervisors, suggestion boxes, and whistleblowing procedures. In recent years, the growth of employee review platforms has introduced an external alternative, offering anonymity and access to a public audience.

Beyond their incentives to speak up at all, employees face mixed incentives to use these platforms to disclose their local information. On one hand, employees may be more inclined to speak up on employee review platforms due to the anonymity and psychological safety these platforms offer (Morrison, 2011; Detert and Treviño, 2010). This protection is particularly valuable, as it reduces the risk of retaliation often associated with internal voice channels. Moreover, prior literature suggests that internal channels for raising concerns are sometimes ineffective or nonexistent (Soltes, 2020), which motivates employees to seek external channels such as review platforms. In addition, because employee reviews are public and thereby subject to monitoring by outside parties (Dube and Zhu, 2021), employees may perceive their concerns as more likely to be addressed than those raised internally, which raises the expected return to speaking up.

Taken together, prior literature suggests that employees have incentives to speak up and to disclose their local information about the workplace on employee review platforms. Combined with prior literature on the informativeness of employee reviews, this establishes the premise for what follows: *employee review platforms contain information that a firm could act upon.*

2.3 Interactive Control Systems

Employees' disclosure of local information also relates closely to the management accounting literature on feedback and learning. Within the levers of control framework, this literature introduces the concept of interactive control systems (Simons, 1994a), emphasizing the role of management control system (MCS) design in motivating organizational dialogue.

Interactive control systems are the systems that top managers use to focus the organization on strategic uncertainties (Simons, 1994b). Diagnostic control systems and interactive control systems work together to ensure the implementation of today's strategy while allowing the organization to position itself for tomorrow. Interactive control systems are, by construction, designed by management. The firm selects the instrument, convenes the meet-

ing, and determines who participates and on what terms. This design authority is what allows such systems to be directed toward strategic uncertainties. Prior research shows that interactive control systems promote innovation by encouraging information gathering, face-to-face dialogue, and debate (e.g., [Bisbe and Otley, 2004](#); [Müller-Stewens, Widener, Möller, and Steinmann, 2020](#)).

Although the primary purpose of interactive control systems is to address strategic uncertainty, they also leverage employees' local information, and in particular the transmission of that information to management. Employee reviews may not always contain information aligned with a firm's strategic priorities, but they may nonetheless provide informative knowledge, especially for organizations that treat human capital as a strategic value driver ([Cai, Campbell, Ferguson, and Wang, 2023](#)). This paper therefore also relates to the management accounting literature on the levers of control, by examining whether the information employees disclose through external, independent platforms is engaged with by management, and whether such engagement could function as a complement to parts of the interactive control system, particularly for organizations that make limited use of interactive controls. Such engagement could foster dialogue and learning across the organization, particularly between rank-and-file employees and management.

3 Conceptual Framework

In [Section 2](#), drawing on prior literature, I establish the premise that employee reviews supply local information about the organization. What remains underexplored is whether and how firms react to that information once it exists, and what consequences follow from their reaction. This section considers firms' potential reactions from a conceptual perspective, and develops from them the basis for an empirical analysis that infers variation in firms' engagement with employee reviews.

3.1 Firms' Decision-Making Process

3.1.1 Stages of Decision-Making

Blankespoor et al. (2020) characterize three steps in processing a disclosure: awareness, acquisition, and integration. Each involves explicit costs and opportunity costs. While their primary focus is investors processing firm disclosure, employee review platforms invert this direction. The disclosure is employee-initiated, and the firm is the party positioned to become aware of a review, acquire its content, and integrate it into decisions.

In this setting, the three steps take the following form. At the first, the firm becomes aware that a review exists. At the second, the firm acquires information from the review, forming a view of what the concern is and whether it is well founded. At the third, the firm integrates that understanding into managerial decisions, whether by seeking further information, escalating the matter internally, or altering a practice.

Employee review platforms also provide an interactive function. Independent platforms allow firms to post responses, selectively, to reviews of their own organization, and those responses appear on the platform publicly and immediately. This feature introduces a separate step of decision-making, namely whether and how to draft a response. It is not necessarily a fourth step following the previous three. A firm may arrive at it from any of the preceding stages, including the first. This also provides an opportunity to infer where a firm stopped in its decision-making process, based on observable variation in responses. The response itself incurs preparation costs and commitment costs, while also generating returns relative to not responding. I discuss both in the sections that follow.

3.1.2 The Benefits of Engagement

I discuss the returns to firms' engagement with employee reviews from two perspectives: processing the disclosure, and responding to it.³

³For brevity, I use *responding* to mean posting a textual response to a review on the employee review platform, and *engagement* to mean the decision-making process as a whole, comprising both the processing

Across both processes, the returns to engagement come primarily from two audiences: current employees and prospective employees.

The first source of returns operates through current employees. Employee reviews may surface problems that management would not otherwise observe ([Prendergast, 1993](#)). By processing information about employee concerns, management can make more informed decisions and take targeted actions to improve employee welfare, organizational culture, and work procedures, each of which may raise employee satisfaction and productivity. Prior literature documents that the resulting satisfaction is associated with firm value ([Edmans, 2011](#); [Edmans et al., 2024](#)).

In addition, conditional on the firm processing the information, the responding behavior itself may generate returns. A response makes salient to employees that their voice has been heard, which may in turn improve employee satisfaction and reduce turnover ([Detert and Treviño, 2010](#); [Milliken and Morrison, 2003](#); [Knoll and Van Dick, 2013](#)). Moreover, because a response is publicly available to all employees, it reaches not only the reviewer but also employees who share the same concern yet have not voiced it through either internal or external channels. For these employees, a public response functions as a commitment device and may alleviate their concerns. This may strengthen their connection with the organization, help disseminate organizational culture, and in turn improve productivity and reduce turnover.

The second source of returns operates through prospective employees. Workplace reputation shapes a firm’s ability to attract talent ([Kokkodis and Ransbotham, 2023](#)). Where processing employee reviews yields insights that allow a firm to improve the conditions its workforce experiences, an improvement in employee satisfaction may follow, which becomes externally visible through the ratings employees post on the platform. Prior literature establishes that these ratings inform prospective employees in their search and matching decisions ([Choi et al., 2023](#)). Better matching in turn improves the efficiency of a firm’s recruiting

of information from employee reviews and the responding behavior.

process and the quality of the human capital it accumulates, both of which bear on firm value (Edmans, 2011; Edmans et al., 2024). The returns to processing therefore reach the labor market indirectly, conditional on the satisfaction of the existing workforce rather than arising from the processing itself.

Responding may also generate returns with this audience directly. A response constitutes an additional signal in a matching market where employer quality is unobservable prior to hiring (Spence, 1978). This operates through the same channel, improving the efficiency of the firm’s recruiting process and the quality of its human capital.

3.1.3 The Costs of Engagement

Following the framework in Blankespoor et al. (2020), firms incur costs at every step of processing reviews, as well as costs of responding to them. I discuss each in turn.

Costs of processing reviews.

Awareness and acquisition costs. Because reviews appear on public and widely known platforms, the awareness cost is limited in this setting. Firms nonetheless bear acquisition costs, since monitoring the platform and reading what is posted require managerial time and attention. Prior literature documents that actively monitoring, managing, and engaging with employee reviews requires significant time and resources (Harris et al., 2021).

Integration costs. Integrating the information acquired from employee reviews incurs further costs. Integration typically involves investigating a complaint, escalating it internally, and attempting to acquire additional information, each of which consumes time and resources. Altering a practice is more costly still, since it may require piloting new processes and bearing transition costs, together with the opportunity cost of forgoing the benefits of the current practice.

Costs of responding to reviews.

Preparation costs. Preparation cost varies with what a response requires the firm to assemble. A fixed template can be issued at almost no cost, since it requires nothing beyond

the decision to post it. Explaining or clarifying an existing issue is more costly, because it requires the firm to have read the review and, in some cases, to gather information within the organization. Making a commitment is also more costly than a fixed template, since the firm may first need to establish what it is in a position to promise.

Commitment costs. Firms may use responses to make commitments, such as undertaking to report a concern to management, or undertaking to mitigate or resolve an issue through general initiatives or specific solutions. Beyond the preparation these responses require, such commitments carry an additional cost, which I term *commitment cost*. The cost arises because a commitment is subject to verification by insiders. Although the content of a response is unverifiable at the time it is made, some of it becomes verifiable as time passes, since employees remain with the firm and observe whether what was promised occurs. Consistent with models of costly misreporting, such claims convey information only insofar as misrepresentation carries a penalty (Kartik, 2009; Fischer and Verrecchia, 2000). In this setting the penalty operates through the relational contract between the employee and the organization. Gibbons and Henderson (2012) show that such contracts rest on twin requirements of credibility and clarity, so that a commitment which is made but not honored damages the relationship it was intended to sustain. In contrast, statements asserting nothing checkable carry no such cost and constitute cheap talk (Crawford and Sobel, 1982). Where a commitment is broken, the cost may be realized as reduced productivity and higher attrition.

Opportunity costs across both.

Managerial attention is the scarce input, and attending to one matter precludes attending to another (Ocasio, 1997). Time spent monitoring an external platform is time not spent on internal channels, which firms may regard as superior sources (Huang et al., 2020).

3.1.4 The Firm’s Revealed Decisions

The preceding sections describe the benefits associated with processing employee reviews and with responding to them, together with the costs incurred at the acquisition and integration steps and the costs of responding. A firm’s decision at each step depends on the balance between the two.

A firm’s decisions to acquire and then to integrate information are largely unobservable to outsiders. They can nonetheless be partially inferred from the responses firms post on the platform, because whether a firm has acquired a review’s content constrains what its response can contain.

A firm that has not acquired the review’s content may have nothing specific to say about it, and, if it responds at all, its response may consist only of statements that would fit any review. I refer to such responses as *template*, following the terminology used in prior literature on firms’ responses to customer reviews (Wang and Chaudhry, 2018; Deng and Ravichandran, 2024), and define the term formally in Section 3.2. A firm that has acquired and interpreted the review may instead describe the concern, explain the circumstances surrounding it, or dispute the reviewer’s account, since each of these presupposes knowing what the review said. I refer to such responses as *tailored*. A firm that has integrated the review into a decision may additionally report what it intends to do or has done, though doing so would incur the commitment cost described above. Such responses would also be tailored, since reporting an intended action presupposes knowing what the review said.

I acknowledge that an observed response may represent only a lower bound on processing. A firm that has integrated a review need not say so. Internal escalation, an investigation, or a change in practice may occur without any public statement, in which case the response would understate how far the firm went. Measured engagement may therefore be attenuated relative to true engagement. Section 3.2 develops the link between these concepts and response content in more detail.

3.2 Classifying Observable Response Content

Section 3.1 demonstrates that the firm’s processing stages are unobservable, while the responses those stages permit are observable. Variation in response content may therefore reflect variation in how far firms process employee reviews. In this section I define the categories into which responses are classified, and ground each distinction in the decision it reveals. Figure 1 illustrates the scheme.

3.2.1 Template and Tailored Sentences

I classify each response sentence first by whether it could have been produced without acquiring the content of the review. I refer to the two resulting categories as *Template* and *Tailored*.

A *Template* sentence bears no relation to the concerns the review raises, and could be posted under any review irrespective of its content. Expressions of thanks, apologies, and assertions about the firm’s values belong here, since none requires the manager to know what the review said. Such sentences are likely drawn from pre-written text, and their preparation cost is low or close to zero.

A *Tailored* sentence is at least plausibly linked to the issues the review raises, which presupposes that the manager has acquired and interpreted it. Identifying the concern raised, clarifying the current situation, answering a specific complaint, committing to report the concern, and committing to resolve it all belong here.

This distinction separates firms that stopped at the first step of the information processing framework, awareness, from those that reached the second, acquisition. The *Template* and *Tailored* labels also resonate with the marketing literature on firms’ replies to customer reviews, which draws the same line (Wang and Chaudhry, 2018; Deng and Ravichandran, 2024). What the present setting adds is that the audience for an employee review remains inside the firm, or may come to join it, and therefore observes whether what the response

says is borne out.

3.2.2 Template Sentences

Within *Template* sentences, I distinguish two kinds of sentence by whether they carry verifiable information about the firm. The first is pure cheap talk, which carries none. The second consists of general claims about the firm’s culture and values. Such claims are already observable to current employees, and become verifiable to prospective candidates only after they join the organization.

Cheap Talk comprises thanks and apology. These sentences assert nothing that experience can verify, and are cheap talk in the sense of [Crawford and Sobel \(1982\)](#): costless to produce, and therefore uninformative absent some countervailing penalty.

Culture comprises generic assertions that the firm values employee feedback, or invocations of its culture or values. These sentences advance claims about the firm rather than about the review. Current employees can evaluate such assertions against their accumulated experience of the firm. These sentences therefore carry informational content that cheap talk lacks, while sharing its generic character. They often reproduce material already published on the firm’s website or in its job postings, are highly templated, carry low production costs, and can be attached to any review. I nonetheless separate them from cheap talk, since a growing literature documents firms’ increasing practice of disclosing culture in job postings to attract job seekers and improve matching (e.g., [Huang, Pacelli, Shi, and Zou, 2024](#)).

3.2.3 Tailored Sentences

Within *Tailored* sentences, I distinguish two kinds by whether they convey information about the current situation, or concern information and actions that will be revealed only later. Equivalently, they are distinguished by whether they were likely produced after the acquisition step but before integration, or only after integration.

Clarify comprises substantive acknowledgment of the concern raised, factual clarification,

and defensive explanation. Each addresses the situation as it stands. Some employees will already observe that situation, while others may not, given the potential weaknesses in communication within the organization.

Acquire Further & Integrate comprises invitations to further dialogue, referrals to internal channels, undertakings to escalate, improvement promises, and descriptions of specific actions. Each is linked to conduct beyond the response itself: either the acquisition of information that would facilitate integration, or actions planned as part of it.

The two broad categories and the four categories within them are defined here on theoretical grounds, as illustrated in [Figure 1](#). Guided by this framework, I develop a more granular set of sentence-level categories, twelve in total, inductively within each of the four groups. The procedure adapts an iterative coding approach from qualitative research on the coding of interview transcripts, and I describe it in [Section 4](#). [Appendix C](#) reports the resulting mapping from the annotated sub-categories to the four categories defined above.

3.3 Reactions from Current and Future Employees

Previous sections consider why and how firms might engage with employee reviews. This section turns to whether and why employees might react to that engagement. I focus on two groups. Current employees are those who voice concerns on the platform, and those who experience the conditions such concerns describe. Prospective employees are a principal audience for these platforms, since prior literature documents that job seekers rely on them when acquiring information about firms ([Choi et al., 2023](#)).

3.3.1 Reactions from Current Employees

Whether current employees react positively to firms’ engagement, and to which forms of engagement, is unclear *ex ante*. I focus on employee satisfaction, which reflects employees’ perceptions of the organization ([Edmans, 2011](#); [Green et al., 2019](#)). Those perceptions may be shaped both by the response itself and by real changes in the workplace.

Response behaviors.

Current employees may react positively to firms' responses. Being heard carries value in itself (Hirschman, 1970; Detert and Treviño, 2010; Knoll and Van Dick, 2013), and a public response makes it visible that the review was read, both to its author and to colleagues who see the exchange. Employees may also be more satisfied where a response carries commitments they expect the firm to honor (Gibbons and Henderson, 2012; Rogers and Stocken, 2005). Clarification may further reduce information asymmetry within the organization, since knowledge of existing conditions and policies is often dispersed rather than uniformly held (Dessein, 2002). On this view, positive reactions should be concentrated in tailored responses: in those that clarify the present situation, and in those through which the firm seeks further information, commits to integrating it into decisions, and discloses what it intends to do.

Current employees may equally decline to revise their perceptions. A response may convey no information at all, or convey information employees have already observed, in which case it adds nothing. A response that misrepresents conditions employees experience directly may provoke a negative reaction. On this view, current employees may not react to responses, or may react adversely.

Real changes in the workplace.

Current employees may become more satisfied when the concerns they raised are resolved. Where a firm integrates a review into its decisions as its response undertakes, and that integration produces observable change, the underlying concern is addressed. Positive reactions should therefore attach to responses that evidence integration, and particularly where the firm delivers what it stated.

Where no integration occurs, the reaction may be negative. If concerns recur and worsen while no action follows, the response itself becomes evidence that the firm was told and did not act.

3.3.2 Reactions from Prospective Employees

Whether prospective employees react to firms' engagement is likewise unclear *ex ante*. I focus on labor market attractiveness, measured by the flow of candidates relative to job postings. As with current employees, reactions may be shaped by the response itself and by real changes in the workplace. The first channel operates directly, through what a candidate reads. The second operates indirectly, through the rating changes that real improvements produce.

One feature may shape much of the discussion that follows. Most prospective employees cannot verify what a response asserts at the moment they act on it. A current employee evaluates a response against daily experience. A prospective employee has no such basis. Claims about the firm's culture, about the situation a review describes, and about what the firm intends to do are all likely to be unverifiable to someone outside the organization. Verification becomes available only after the candidate joins, by which point the decision to apply for the job or to proceed with an offer has already been made.

Response behaviors.

Prospective employees may react positively to firms' responses. Workplace reputation shapes a firm's ability to attract talent (Kokkodis and Ransbotham, 2023), and a response constitutes a signal in a market where employer quality is unobservable before hiring (Spence, 1978). Responding also resolves an inference problem, since silence is ambiguous: a reader cannot distinguish a firm that saw nothing warranting a reply from one that saw a problem and declined to engage (Dye, 1985). A response is moreover read by two audiences at once. Current employees can check what it asserts. Prospective employees cannot. The presence of an audience able to contradict the firm may lend credibility to claims the other audience has no way to verify (Newman and Sansing, 1993; Gigler, 1994). Which categories move this audience is therefore particularly unclear. Because candidates cannot verify what they read, they may not distinguish *Culture* from *Clarify* or from *Acquire Further & Integrate*, and the

ordering by informativeness that applies to current employees need not apply here.

Prospective employees may equally not react at all. Assessing response composition requires reading many individual replies, whereas the platform’s aggregate rating is available at lower cost (Blankespoor et al., 2020). On this view, response composition might not move candidate flows at all.

Real changes in the workplace.

Where engagement produces genuine improvement, prospective employees may react to it indirectly. Improved conditions might raise the ratings current employees assign, and those ratings are what prospective employees observe at low cost. Response composition would then predict candidate flows only through its effect on satisfaction, and not beyond it.⁴

Prospective employees may equally well not react. Assessing response composition requires reading many individual replies, whereas the platform’s aggregate rating is available at lower cost (Blankespoor et al., 2020). Many candidates may never read the responses. Besides, those who do may discount what they read. Costless and unverifiable messages transmit information only to the extent that sender and reader interests align, and a firm writing to a prospective hire has an interest in favorable presentation (Crawford and Sobel, 1982). On this view, response composition might not move candidate flows at all.

4 Data, Sample and Measures

4.1 Data and Sample

To address the research questions in this study, I collect data on employee reviews and firms’ corresponding responses from the Kununu platform. Launched in 2007, Kununu is a leading employee review platform in German-speaking countries (Germany, Austria, and Switzerland).

⁴To separate this indirect channel, the analysis additionally controls for the change in employee satisfaction when labor market attractiveness is the outcome variable.

The platform allows employees to rate their current or former employers through a comprehensive rating scheme. This includes an overall impression (whether they would recommend the company and a overall rating) and ratings across 13 specific dimensions: working atmosphere, communication, cohesion among colleagues, work-life balance, supervisor behavior, interesting tasks, equality, dealing with older colleagues, working conditions, environmental/social awareness, salary/benefits, image, and career/further education.⁵ Employees can supplement these ratings with detailed reviews comprising a title, pros (what they like about the employer), cons (what they find problematic about the employer), and suggestions for employer improvement. Additionally, employees can provide specific comments for each of the 13 rating dimensions. The platform also collects basic information about reviewers' positions, including their current employment status, seniority, and job functions.

Once reviews are posted, employers with registered profiles can respond to reviews and address users' comments without incurring any fees.⁶ The Kununu platform notifies employees via email when firms respond to their reviews, and these responses are made public alongside the original reviews. Users can filter reviews to view those that have received company responses.

To maintain review authenticity, Kununu has implemented a robust quality control process.⁷ Employees are limited to one review of their current employer every 12 months and one review per former employer. Each submitted review undergoes technical-automated control, and if the algorithm flags any concerns, the Content Quality & Support Team conducts a manual review. In cases of doubt, the platform requires proof of employment from the reviewer. Reviews identified as "fake news" or failing the evaluation process are removed from the platform. This verification process mitigates concerns about firms intentionally manipulating their reviews through misinformation.

⁵Appendix B provides detailed definitions and instructions for the rating scheme used on the Kununu platform.

⁶Employers can register on the Kununu platform for free, gaining access to comment on reviews. For more information, please visit <https://arbeitsgeberportal.kununu.com/>.

⁷<https://inside.kununu.com/kununu-pruefprozess>.

The sample for this study comprises 237 firms with the highest number of reviews listed on Kununu’s “Find Employer” section.⁸ The sample is predominantly German-based (215 firms), with additional representation from Austria (15 firms) and Switzerland (6 firms). Each firm in the sample has accumulated over 1,000 reviews. The dataset includes all available reviews and corresponding firm responses from 2007 to 2024, encompassing 367,749 individual reviews across 237 unique firms.

4.2 Measures of Variation in Firms’ Responses

4.2.1 Development of the Coding Scheme: Twelve Sub-Categories

In Section 3.2 I develop the classification framework of *template* versus *tailored* sentences. Template sentences comprise pure cheap talk (*Cheap Talk*) and general claims about culture and values (*Culture*). Tailored sentences comprise clarification of the present situation (*Clarify*) and acquiring further information and integrating it (*Acquire & Integrate*). Under those four categories, and with the underlying theory in mind, I followed an iterative coding procedure of the kind established in qualitative management research (Glaser and Strauss, 1967; Strauss and Corbin, 1998; Miles and Huberman, 1994; Gioia, Corley, and Hamilton, 2013), and developed sub-labels within each of the four. The definitions of all sub-categories appear in Appendix C. The development proceeded as follows.

Sample of manual reading.

I drew a stratified random sample of approximately 0.5% of responded reviews within each firm, yielding 599 review-response pairs. Stratification by firm ensures that the coding material reflects the writing conventions of many employers rather than the high-volume responding practices of a few. The unit of coding is the sentence. I parsed each response into sentences, coded each sentence, and recorded a supporting excerpt for every category assigned, so that every category remained traceable to a specific sentence in the response. I

⁸<https://www.kununu.com/de/search>.

coded at the sentence level because different sentences within one response perform different acts, while a single sentence usually performs only one.

First pass: open coding.

In the first pass I read responses at the sentence level without any predefined sub-category scheme, and assigned each sentence a short descriptive code capturing what the sentence did. The code records two things. First, whether the sentence reflects the firm’s effort to acquire the content of the review and integrate it, and which of the four categories it therefore falls under. Second, a summary of two or three words. For template sentences the summary describes what the sentence asserts. For tailored sentences it takes the form of a verb describing the firm’s treatment of the review.

Consider four sentences from a single response, reproduced in [Appendix C](#). “Thank you for your positive contribution” evidences no acquisition and is coded *Template, Cheap Talk, thanks reviewer*. “We consider your open feedback to be particularly valuable for our development process” likewise evidences no acquisition, but asserts a claim about the firm, and is coded *Template, Culture, asserts feedback valued*. “We would like to encourage you to contact your manager here to discuss possible further training programs” presupposes that the firm identified the reviewer’s training concern, and is coded *Tailored, Acquire & Integrate, redirects to manager*. “As part of digitalization, measures are already planned to improve the technical set-up of the stores” answers the reviewer’s equipment concern with a named initiative, and is coded *Tailored, Acquire & Integrate, names planned measure*. At this stage the objective was descriptive, with the four categories from the prior theoretical discussion as the only imposed structure.

Second pass: consolidation into labels.

In the second pass I compared codes against one another and consolidated those describing the same underlying act, following the constant comparative method ([Glaser and Strauss, 1967](#)). Codes that recurred across firms and appeared to capture a distinct communicative act were retained. Codes that appeared only sporadically, or that proved indistinguishable

from an existing code on rereading, were merged or dropped.

This pass produced ten sub-categories, which fall under the four categories of the conceptual framework as follows. *Cheap Talk* gathers two: *expressing appreciation*, thanks directed at the review or at the employee's feedback; and *apologetic responses without real actions*, expressions of regret for the issues the review raises, unaccompanied by any action. *Culture* gathers two: *emphasizing value of feedback*, generic doctrinal claims that the firm welcomes employee feedback as a matter of practice; and *emphasizing values and culture*, invocations of the firm's culture, values, or external awards in place of engagement with the review. *Clarify* gathers one: *explanations or clarifications of misunderstandings*, sentences that supply context bearing on what the review described, whether to inform or to correct. *Acquire Further & Integrate* gathers five, two concerning engagement and redirection and three concerning commitment to improvement: *more conversation*, invitations to further dialogue; *internal reporting*, direction of the reviewer to an internal route for resolution, such as human resources, a manager, or a named contact; *report internally*, an undertaking by the firm to escalate the issue within the organization; *abstract improvements*, commitments to improve general or intangible aspects without specifics; and *concrete actions*, specific and observable steps the firm is taking or has taken.

Each recurring code was recorded together with a supporting excerpt from the sentence that generated it, so that every category remained traceable to specific text.

Third pass: refinement and disambiguation.

Applying the intermediate scheme to further material exposed boundaries that the categories did not resolve, and a third pass addressed them.

First, I found that a single category for explanations and clarifications conflated two distinct acts. Some responses supplied factual information about existing policies or programs, while others contested the reviewer's account. These were separated into **neutral_clarifications** (*Neutral Clarifications*) and **defensive_explanations** (*Defensive Explanations*).

Second, the scheme provided no separate category for recognition that a concern is le-

gitimate, because such recognition was coded together with expressions of apology. Responses of this kind occurred with sufficient frequency to warrant separate treatment, and `substantive_acknowledgment` (*Substantive Acknowledgment*) was separated from `apologetic` (*Apologetic*). The separation matters for interpretation as well as for description. Where a firm acknowledges a concern as legitimate, it usually restates the concern first, and that restatement itself evidences part of the acquisition process. A bare apology does not. This separation also moves material across the template-tailored boundary, since *Apologetic* falls under *Cheap Talk* while *Substantive Acknowledgment* belongs to *Clarify*.

During this pass I also fixed explicit boundary rules where two categories could otherwise absorb the same sentence. Direct thanks for the review at hand is coded `appreciation` (*Appreciation*), whereas a generic claim about the firm’s posture toward feedback is coded `rm_valuing_feedback` (*Valuing Feedback*); a sentence receives both only where it adds a separate generic claim to the thanks. Factual context is coded `neutral_clarifications` (*Neutral Clarifications*), but where the same sentence pushes back on a claim the reviewer made it is coded `defensive_explanations` (*Defensive Explanations*) instead. Recognition that a concern is valid is coded `substantive_acknowledgment` (*Substantive Acknowledgment*), while regret for that concern is coded `apologetic` (*Apologetic*); the distinction is validity against regret, and a sentence may express one without the other. A general improvement promise is coded `abstract_improvement_promises` (*Abstract Improvement Promises*) when anchored to the reviewer’s concerns and `rm_culture_values` (*Culture Values*) when it is not. A described step is coded `concrete_actions` (*Concrete Actions*) only where the firm itself is the actor, and `internal_channel_suggestion` (*Internal Channel Suggestion*) where the response instead directs the reviewer to a contact person. Finally, escalation is coded `commitment_to_report` (*Commitment to Report*) where the firm undertakes to raise the issue internally, and `internal_channel_suggestion` where the reviewer is invited to raise it; the two differ in who acts.

Iteration continued until additional material produced no new categories and no further

revisions to existing definitions, the standard stopping criterion in inductive coding (Glaser and Strauss, 1967). The resulting twelve categories, together with the disambiguation rules developed in this pass, were transcribed verbatim into the annotation instrument reported in Appendix C.

4.2.2 Using an LLM to Classify Firms’ Response Behaviors

To characterize firms’ response behaviors at scale, across all reviews and, where one exists, the firm’s response, I deploy a two-call GPT-based annotation pipeline. Call 1 reads each employee review and emits unit-level annotations of (topic, sentiment) pairs across the 13 Kununu rating dimensions, along with aggregated *concerns* and *positives* lists summarizing the topics that the review raises negatively and positively (detailed in Appendix B). Call 2 reads each review and firm response together with the Call 1 output and emits three types of measures: (i) sub-category counts assigning response sentences to the 12 response sub-categories, where a sentence may carry more than one label and sentences carrying none are left unlabeled; (ii) two 0–3 ratings capturing how substantively the response engages with the concerns and positives raised in the review; and (iii) topic counts indicating which of the 13 Kununu rating dimensions the response addresses (detailed in Appendix C). From these annotations, I construct three complementary sets of firm-year measures of response behavior, described below.

4.2.2.1 Template vs. Tailored Sentences

The first set of measures characterizes whether a response required the firm to process the content of the review. The 12 response sub-categories produced by Call 2 fall into two groups along this boundary. The *template* sub-categories comprise sentences that could have been written without reading the review: *appreciation* for the review, *apology* for issues raised, generic *valuing-feedback* statements, and *culture-values* emphasis. The *tailored* sub-categories comprise sentences that presuppose the firm acquired and interpreted the review:

neutral clarifications, *defensive explanations*, *substantive acknowledgment* of the concern, *seeking conversation* with the reviewer, *internal channel suggestion* directing the reviewer to internal resolution mechanisms, *commitment to report* the issue to management, *abstract improvement* promises, and *concrete actions* the firm has taken or will take.

Each group divides in two, as set out in Section 3.2. Within *Template*, *Cheap Talk* comprises appreciation and apology, which assert nothing that experience can verify. *Culture* comprises valuing-feedback and culture-values statements, which assert claims about the firm that employees can already assess. Within *Tailored*, *Clarify* comprises neutral clarifications, defensive explanations, and substantive acknowledgment, each addressing the situation as it stands. *Acquire & Integrate* comprises seeking conversation, internal channel suggestion, commitment to report, abstract improvement promises, and concrete actions, each concerning matters not settled when the response is issued.

At the firm-year level, I construct share measures from these sub-category labels. *Template Share* is the firm-year mean of the per-response share of sentences assigned to *Cheap Talk* or *Culture*, taken across the firm’s responded reviews. *Tailored Share* is defined analogously for *Clarify* and *Acquire & Integrate*. I also retain the four category shares separately, together with firm-year mean shares for each of the 12 individual sub-categories, so that the analysis can examine variation in specific response behaviors at the sub-category level. Shares divide by all response sentences, so the four category shares sum to the share of *labeled* sentences rather than to one.⁹

⁹The initial labeling is performed at the sentence level. I first parse each response into sentences, on the assumption that a sentence usually performs a single communicative role, an assumption supported by the manual coding and the iterative process through which the labeling scheme was developed. Occasionally a sentence carries labels belonging to more than one category. Each labeled sentence is then assigned to exactly one category before aggregation, following a precedence rule: *Acquire & Integrate* takes precedence over *Clarify*, *Clarify* over *Culture*, and *Culture* over *Cheap Talk*. The rule assigns each sentence to the highest stage of processing it evidences. A sentence that both acknowledges a concern and describes a planned action demonstrates that the firm reached the later stage, so recording it only as clarification would understate the processing disclosed, while counting it in both categories would double-count the sentence and the four shares would no longer partition the labeled sentences. The same logic orders the split within *Template*: a sentence that both thanks the reviewer and asserts that the firm values employee feedback advances a claim about the firm, and is assigned to *Culture*. As an alternative, I also construct shares that count a sentence once within each category it touches, without precedence. Inferences are largely unchanged.

4.2.2.2 Engagement Ratings and Topic-Level Engagement

The second set of measures approaches the same underlying construct from a separate angle. *Template Share* and *Tailored Share* are computed over response sentences, and record what fraction of a response required processing the review. The annotation itself reads the review, since deciding whether a sentence is tailored requires knowing what the review said. The resulting shares are nonetheless benchmarked against the response rather than the review: they measure how much of a response was tailored, not how much of what the reviewer raised was addressed. Firms are plausibly more likely to acquire and integrate information when a review raises concerns, but the shares do not themselves distinguish that case. To complement this, the engagement ratings developed in this section isolate the concerns and the positives that a review raises. Each rating is assigned against the concerns and positives extracted from the review in Call 1, and therefore records whether the firm’s processing was responsive to the particular review it answered. The two sets of measures, the engagement ratings and *Template* versus *Tailored*, capture the same spirit, namely the firm’s effort to process employee feedback. They complement each other by separating the firm’s engagement with the concerns a review raises from its engagement with its positives, a distinction the composition shares cannot make.

Two of these measures operate at the response level. *Concern Addressing Rating* is a 0–3 rating produced by Call 2 capturing how substantively the response engages with the concerns raised in the review (0 = ignored; 1 = acknowledges concerns without substantive engagement; 2 = substantively engages with some concerns; 3 = substantively engages with most or all concerns). *Positive Amplification Rating* is a 0–3 rating capturing how substantively the response amplifies the positives raised in the review (0 = no engagement with positives; 1 = generic positive language without specifics; 2 = engages with some specific positives; 3 = multiple specific positives amplified). I aggregate these to the firm-year level by taking the mean across the firm’s responded reviews.

The third set of measures provides topic-level granularity, allowing the analysis to system-

atically capture engagement with concerns on each specific Kununu rating dimension. For each of the 13 dimensions and each review–response pair, I construct an indicator equal to one if the review raises a concern on that dimension and the response addresses that dimension, and zero otherwise. At the firm-year level, I sum this indicator across the firm’s reviews and divide by the firm’s total number of reviews that year, labeling the resulting measure *Concerns Engaged: <Topic>*.¹⁰ These 13 topic-level measures complement the aggregate *Concern Addressing Rating* and the *Acquire & Integrate Share* by providing visibility into which specific concerns firms engage with most frequently, allowing the subsequent analysis to test whether engagement with concerns on a given topic is associated with corresponding topic-level changes in the working environment.

4.3 Measures of Reactions from Current Employees and Prospective Employees

4.3.1 Employee Satisfaction and Working Environment

To capture potential outcomes following firms’ response behaviors, I use changes in employee ratings as a proxy for changes in the overall working environment. All outcome variables in this subsection enter the analysis as year-over-year changes, measured from year t to year $t + 1$. At the aggregate level, I examine two measures: *Recommendation Rate*, defined as the firm-year share of reviews in which the reviewer recommends the firm to others, and *Overall Rating*, defined as the firm-year mean of Kununu’s overall employer rating across all reviews.

To probe more granular variation, I also include 13 topic-specific satisfaction measures, one for each Kununu rating dimension (*Working Atmosphere Rating*, *Communication Rating*, *Cohesion among Colleagues Rating*, *Work-life Balance Rating*, *Managerial Behavior Rating*, *Interesting Tasks Rating*, *Equality Rating*, *Dealing with Older Colleagues Rating*, *Working*

¹⁰The denominator is all of the firm’s reviews rather than only those raising the concern, so the measure reflects both how often the concern arises and how often the firm engages it when it does

Conditions Rating, *Environmental/Social Awareness Rating*, *Salary/Benefits Rating*, *Image Rating*, and *Career/Further Education Rating*), each calculated as the firm-year mean of the 1–5 rating that employees assign on that dimension.

As a complementary proxy for changes in employee complaints, I track the firm-year prevalence of concerns raised on each topic, labeled *Concerns: <Topic>*. For each of the 13 dimensions, this measure is the number of the firm’s reviews in a year whose Call 1 concerns list includes that topic, divided by the firm’s total number of reviews that year.¹¹ Definitions of all topic-level measures are provided in Panel C and Panel D of [Appendix A](#).

4.3.2 Labor Market Attractiveness

Labor market attractiveness serves as another outcome variable, given the discussion in Section 2.1 suggesting that talent attraction may motivate firms’ response behaviors. I capture changes in firms’ attractiveness to outside candidates using *Candidates per Posting*, defined as the firm-year ratio of the number of self-reported candidates to the number of job postings.¹² A higher *Candidates per Posting* indicates that a given posted opening attracts more applicants, consistent with stronger employer attractiveness in the external labor market. As with employee satisfaction, the outcome variable is the year-over-year change from t to $t + 1$.

4.3.3 Firm Characteristics

To complement the Kununu data, I collect firm-level characteristics from multiple external sources. Financial characteristics are drawn from the BvD (Bureau van Dijk) Orbis database through manual matching, and include *ROA* (the ratio of net income to total assets), *Log Assets* (the natural logarithm of total assets), and *Log #Employees* (the natural

¹¹The measure is defined for firm-years in which the topic is raised in at least one review, with any sentiment, which is why its sample size is smaller than that of the rating measures.

¹²*Candidates per Posting* is constructed as $c_{pp} = \text{interviews}/\text{postings}$ when $\text{postings} > 0$, where *interviews* is the firm-year count of self-reported candidates on the Kununu platform and *postings* is the firm-year count of job postings observed in Revelio.

logarithm of the total number of employees). Workforce characteristics are also drawn from Revelio Labs through manual matching, and include *Attrition Rate*, defined as the total number of employee outflows divided by the average number of employees at the firm in a given year. To control for variation in review-platform exposure, I also include *Log #Reviews*, the natural logarithm of the total number of Kununu reviews received by the firm in a given year. Definitions of all firm-level characteristics are provided in Panel E of [Appendix A](#).

5 Empirical Analyses

5.1 Whether, Why and How Firms Respond to Reviews?

I begin by addressing the first research question: whether, why, and how firms respond to employee reviews. This section proceeds in two parts. First, I document general trends in firms' response behaviors from two perspectives: the overall response rate ([Section 5.1.1](#)), and the composition of those responses, distinguishing *Template* from *Tailored* sentences and, within these, *Cheap Talk*, *Culture*, *Clarify*, and *Acquire & Integrate* ([Section 5.1.2](#)). Both perspectives reveal substantial variation across firms and over time. Second, I analyze which firm characteristics are associated with each kind of response, testing whether the associations align with the benefits and costs of information processing set out in [Section 3.1](#) ([Section 5.1.3](#)).

5.1.1 Variations in Response Rate

[Table 1](#) reports summary statistics for the variables of interest at the firm-year level across the 2007–2024 sample period, and [Figure 2](#) illustrates the temporal trends in firms' response behaviors over the same period. Together, these summaries reveal considerable variation in firms' responsiveness, both across firms and over time.

Panel A of [Table 1](#) reports the firm-year average *Response Rate*, defined as the proportion of reviews receiving a response from the firm in a given firm-year. The mean is 21.6%, with

a standard deviation of 33.2%, highlighting substantial variation in responsiveness across firm-years.

The time trend analysis in [Figure 2](#) provides further insight into how firms' response behaviors have evolved over time. Panel A shows that the percentage of firms responding to at least one review increased steadily, rising from 2% in 2008 to 85% by 2019 and stabilizing at approximately 90% from 2020 to 2024. This trend underscores the growing recognition among firms of the importance of responding to employee feedback on these platforms. Panel B illustrates a similar upward trend in the average response rate. Starting at 0% in 2007, the response rate grew consistently, surpassing 30% by 2019 and reaching approximately 60% by 2024. This indicates that not only are more firms responding, but they are also addressing a greater proportion of reviews. Panel C of [Figure 2](#) highlights variations in response times over the years. Initially, firms were slower to respond, but response times decreased significantly as response rates increased. Panel D reveals that while response rates and speeds have improved, the average length of responses declined steadily from 2012 to 2016 and stabilized thereafter. Firms therefore appear to have scaled their responding by producing shorter replies rather than by expanding the content of each one. The pattern is consistent with increasing standardization of the response process as volume grew.

5.1.2 Variations in How Firms Respond

In this section, I document descriptive evidence on how firms respond to employee reviews. I examine whether, and to what extent, firms' responses required processing the content of the review, and how far that processing extended. I begin by presenting the topic distribution between reviews and responses, which gives a sense of how far employees' and firms' priorities align. I then provide direct descriptive evidence corresponding to the conceptual framework developed in [Section 3.2](#), showing how far firms' information processing extends.

5.1.2.1 Topic Distribution between Reviews and Responses

Figure 3 presents the topic distribution across the 13 Kununu rating dimensions in employee reviews and firm responses at the review–response pair level. The figure compares the share of reviews mentioning each topic to the share of responses mentioning the same topic, with topics sorted by review prevalence. The results reveal substantial heterogeneity: some rating dimensions exhibit comparable levels of attention from employees and firms, while others show marked discrepancies.

Specifically, topics tied to the concrete terms of employment, such as *Salary/Benefits*, *Work-life Balance*, and *Working Conditions*, tend to be raised more often in reviews than addressed in responses. In contrast, broader topics concerning the organization’s culture and public standing, captured by *Working Atmosphere* and *Image*, receive proportionally more attention in responses relative to how frequently employees raise them. This discrepancy suggests that some firms engage selectively with topics, substituting content the firm can supply without processing the review for content the review actually raised.

5.1.2.2 Distribution of Response Sentences: Template and Tailored Content

While the topic-level analysis in Section 5.1.2.1 provides indirect evidence of variation in firms’ processing through the divergence between reviews and responses, Panel A of Table 1 and Figure 4 provide direct evidence on how response sentences distribute across *Template* and *Tailored* content, the four categories of *Cheap Talk*, *Culture*, *Clarify*, and *Acquire & Integrate*, and the 12 sub-categories developed in Section 3.2 and Section 4.2.

Panel A of Table 1 reports the firm-year averages of *Template Share* (26.3%), *Tailored Share* (29.2%), *Concern Addressing Rating* (1.05 on a 0–3 scale), and *Positive Amplification Rating* (0.93 on a 0–3 scale), together with each of the four categories and the 12 sub-categories. Figure 4 Panel A shows the share of paired responses containing at least one sentence in each sub-category. Panel B re-displays the sub-categories sorted by share within each of the four categories, with the template categories in the top block and the tailored

categories in the bottom block.

Three patterns are noteworthy. First, tailored content is not scarce. The firm-year mean *Tailored Share* of 29.2% slightly exceeds the mean *Template Share* of 26.3%, so the typical responding firm does process the reviews it answers. Second, at the sentence level the distribution is highly concentrated in the least costly behavior. *Appreciation* accounts for 19.7% of response sentences, more than any other sub-category and more than the entire *Clarify* category. Third, within tailored content the distribution tilts toward the less demanding acts. *Acquire & Integrate* averages 17.3% of sentences, but that total is carried mainly by *Seeking Conversation* (8.5%), *Internal Channel Suggestion* (4.9%), and *Abstract Improvement* (3.9%). The two sub-categories that commit the firm most concretely, *Commitment to Report* and *Concrete Actions*, average only 1.0% of response sentences each.

Together, these patterns indicate substantial variation in how firms respond, and the prevalence of individual behaviors is broadly aligned with the costs discussed in Section 3.1. The alignment holds most clearly within categories rather than across them. Firms readily bear the preparation cost of reading a review and issuing an invitation or a referral, but the behaviors that carry a commitment cost, namely undertakings to escalate and descriptions of specific actions, are the rarest of the twelve.

5.1.3 Which Firms Produce Template Rather Than Tailored Responses?

Sections 5.1.1 and 5.1.2 document the average distribution of response behaviors across reviews and across firms. This section asks whether that composition varies systematically with firms' underlying incentives.

The framework in Section 3.1 implies that firms process information from reviews when the benefits outweigh the costs. Most of the costs are largely inherent in a firm's organizational processes and are not observable here. This section therefore focuses on the return side, and predicts that firms process more when the return to doing so is higher. I consider returns from two audiences: current employees and prospective employees.

From the perspective of current employees, the return to processing should be higher where the baseline working environment is worse, since poor satisfaction leaves more room for improvement, and where the underlying reviews are more informative. I use the recommendation rate as a proxy for the baseline environment; results are consistent using the overall rating instead. I use the share of novel reviews as a proxy for informativeness, capturing the extent to which a firm’s reviews may contain information it does not already hold. This proxy is imperfect. I observe only that a topic is new to the platform, not that it is new to the organization, and I cannot rule out that the same concern was already raised through an internal channel. Along both lines, firms should be more willing to spend effort acquiring information from reviews and integrating it into decisions. I therefore expect *Recommendation* to be negatively associated with *Tailored Share*, with the association concentrated in *Acquire & Integrate*, and *% Novel Reviews* to be positively associated with *Acquire & Integrate*, the category in which integration might occur.

From the perspective of prospective employees, firms facing greater recruiting pressure have more reason to present themselves favorably. They may also seek to do so cheaply, since prospective employees cannot verify what a response asserts at the moment they act on it (Section 3.3.2). I use the attrition rate as a proxy for recruiting pressure. I therefore expect *Attrition Rate* to be positively associated with the low-cost categories, *Cheap Talk* and *Culture*, and negatively associated with *Acquire & Integrate*.

To test these predictions, I estimate firm-year regressions of each composition share on *Recommendation*, *% Novel Reviews*, and *Attrition Rate*, controlling for four firm characteristics, absorbing firm and year fixed effects, and clustering standard errors by firm. Panel A of Table 2 reports results with *Template Share* and *Tailored Share* as dependent variables, and Panel B decomposes these into the four categories. Each dependent variable is estimated twice: with controls only, and with the firm characteristics of interest added.

Panel A confirms the first prediction. Firms whose employees are less likely to recommend them produce significantly more tailored content: the coefficient on *Recommendation* in the

Tailored Share specification is -0.206 ($t = -3.26$), while the corresponding coefficient in the *Template Share* specification is small and insignificant. Tailoring concentrates where reviews convey stronger negative signals, consistent with firms bearing the higher processing cost when the information content of employee feedback is greater.

Panel B locates this effect within the tailored categories. *Recommendation* loads negatively on both *Clarify* (-0.088 , $t = -1.68$) and *Acquire & Integrate* (-0.119 , $t = -2.55$), and on neither template category, as predicted. *% Novel Reviews* is positively associated with *Acquire & Integrate* (0.820 , $t = 2.12$), consistent with firms seeking further information where the review raises topics not previously surfaced.

The *Attrition Rate* coefficients are partially consistent with the third prediction. They are positive on *Template* (0.107 , $t = 2.00$) and *Cheap Talk* (0.135 , $t = 2.21$) and negative on *Acquire & Integrate* (-0.077 , $t = -2.19$), as predicted. The coefficient on *Culture* is negative and insignificant (-0.028 , $t = -1.54$) rather than positive, so the shift toward low-cost content is confined to cheap talk.

5.2 Response Behaviors and Changes in Employee Satisfaction

The previous sections document significant variation in whether firms respond to employee reviews and in the composition of those responses. This section moves to the second research question: how current employees, as *insiders*, react to those responses. Specifically, I examine the relationship between firms' response behaviors and subsequent changes in employee satisfaction. I begin with the pooled effect of response rate (Section ??), then partition responses by tailored content (Section 5.2.2) and template content (Section 5.2.3). I then turn to a topic-level mechanism analysis (Section 5.2.4) to infer whether engagement with specific concerns is followed by real mitigation of those concerns.

5.2.1 Response Rate and Changes in Employee Satisfaction

I begin by examining the pooled association between firms' response rate and changes in employee satisfaction. Table 3 reports the results, where the dependent variables are the firm-year changes in *Recommendation Rate* (columns 1 and 2) and *Overall Rating* (columns 3 and 4) between year $t + 1$ and year t . Columns (1) and (3) include no controls; columns (2) and (4) add the baseline firm controls.

The coefficients on *Response Rate* are positive across all specifications but only marginally significant without controls (0.014, $t = 1.76$ for *Recommendation Rate*; 0.045, $t = 1.81$ for *Overall Rating*), and they lose significance once firm controls are added. This provides only weak evidence that the pooled response rate is associated with improvements in employee satisfaction. The weakness is not surprising. As the descriptive evidence in Section 5.1 and the discussion in Section 3.3.1 both suggest, the response rate aggregates across heterogeneous response content, some of which employees may not value. Some firms answer reviews with content that evidences processing of the review, while others answer with content that could have been written without reading it. The pooled coefficient averages across these behaviors. The next two subsections partition responses accordingly, by tailored content (Section 5.2.2) and template content (Section 5.2.3).

5.2.2 Tailored Responses and Changes in Employee Satisfaction

To test whether responses that evidence processing of the review are associated with improvements in employee satisfaction, Table 4 reports three complementary analyses.

Panel A reports the interaction between *Response Rate* and *High Tailored*, an indicator equal to one if the firm-year tailored share is above the sample median. The interaction is positive in all four specifications and strengthens once controls are added: 0.053 ($t = 2.04$) for the *Recommendation Rate* change and 0.185 ($t = 2.40$) for the *Overall Rating* change. Responding therefore translates into satisfaction improvements when responses evidence processing of the review. Among firms whose responses are not tailored, response rate alone has

no detectable association with either outcome.

Panel B decomposes tailored content into its two categories: *Clarify*, comprising sentences that address the situation as it stands, and *Acquire & Integrate*, comprising sentences that seek further information or commit the firm to acting on it. *High Clarify* interacted with *Response Rate* is positive and significant across all four specifications (0.058, $t = 2.37$ for *Recommendation Rate*; 0.176, $t = 2.49$ for *Overall Rating*), as is *High Acquire & Integrate* (0.104, $t = 4.02$; 0.317, $t = 4.11$). The point estimates for *Acquire & Integrate* are roughly twice those for *Clarify*, although the two categories are estimated in separate specifications and the difference between them is not statistically significant. The ordering is therefore suggestive rather than established. It is consistent with the discussion in Section 3.3.1, where employees may place particular value on responses through which the firm seeks to integrate information into decisions, both because such responses function as a commitment within a relational contract and because they may be followed by real changes in the working environment. That both categories carry positive associations is itself notable. Employees respond not only where the firm commits to seeking information or acting on it, but also where the firm merely engages with the situation as it stands.

Panel C corroborates this pattern using *Concern Addressing Rating* as the independent variable. Higher firm-year concern-addressing ratings are positively and significantly associated with both outcomes in all four specifications (0.022, $t = 2.28$ for *Recommendation Rate*; 0.052, $t = 2.08$ for *Overall Rating*, both with controls). This rating is scored against the concerns a review actually raises, so it captures the association from a different angle. Current employees react positively where responses show that the firm engaged with the concerns raised.

Taken together, these results indicate that responses evidencing processing of employee reviews are systematically associated with subsequent improvements in employee satisfaction. The positive reactions from employees, who are the most informed observers of the working environment, suggest that tailored responses reflect, or are at least perceived as reflecting,

genuine engagement with the issues raised. I acknowledge that the internal conversations and actions triggered by responses are not directly observable in publicly available data. Section ?? therefore provides indirect evidence by examining whether topic-level engagement is followed by fewer subsequent complaints on the same topics.

5.2.3 Template Responses and Changes in Employee Satisfaction

I next examine whether responses that could have been written without reading the review are associated with changes in employee satisfaction. Table 5 reports the results.

Panel A reports the interaction between *Response Rate* and *High Template*. In contrast to Section 5.2.2, the interaction is negative and significant in every specification, at -0.100 ($t = -3.35$) for the *Recommendation Rate* change and -0.302 ($t = -3.73$) for the *Overall Rating* change. Responding at a higher rate is therefore associated with deteriorating satisfaction when the content of those responses does not evidence processing of the review.

Panel B decomposes template content into its two categories. *High Cheap Talk* interacted with *Response Rate* is negative for both outcomes but reaches significance only for *Overall Rating* (-0.183 , $t = -2.14$ with controls; -0.052 , $t = -1.57$ for *Recommendation Rate*). *High Culture* is negative in all four specifications but statistically insignificant throughout. The negative association with template content therefore appears to operate more through cheap talk than through generic claims about the firm’s culture. This indicates that employees are most dissatisfied where a firm responds without indicating any effort to acquire information from the review, possibly because such responses signal that the underlying concern will be ignored, and possibly because concerns left without intervention worsen over time.

Panel C examines *Positive Amplification Rating*, which captures how substantively a response amplifies the positives raised in a review. The coefficient is negative and highly significant across all specifications (-0.039 , $t = -3.62$ for *Recommendation Rate*; -0.122 , $t = -4.32$ for *Overall Rating*). This result complements Section 5.2.2 in an instructive way.

Amplifying a specific positive requires reading the review, so this is not a matter of the firm declining to process the feedback. What distinguishes *Positive Amplification Rating* from *Concern Addressing Rating* is where that processing effort is directed. Effort directed at praise predicts deterioration, while effort directed at concerns predicts improvement.

Taken together, these results suggest that template response behaviors are not associated with improvements in employee satisfaction, and that responding with cheap talk or by amplifying positives is associated with subsequent deterioration in overall ratings. The contrast with Section 5.2.2 is informative. Employees, as insiders with direct knowledge of the working environment, appear to discount responses that assert nothing their experience can verify and that give no indication their conditions will improve. Where a firm answers a critical review with thanks or by drawing attention to what is going well, employees may read the response as communicating around the issue rather than engaging with it.

5.2.4 Topic-Level Engagement and Topic-Level Outcomes

Sections 5.2.2 and 5.2.3 establish that tailored response behaviors are associated with improvements in aggregate employee satisfaction while template behaviors are not. To shed light on the mechanism, I now examine whether engagement with concerns on specific topics is associated with topic-level changes in subsequent outcomes. Table 6 reports the results, organized into four sub-tables (A.1, A.2, B.1, B.2) covering the 13 Kununu rating dimensions.

Panel A reports the association between *Concerns Engaged: <Topic>* and the change in the corresponding topic-specific rating between year $t + 1$ and year t . The coefficient is positive and statistically significant for all 13 topics, ranging from 0.675 ($t = 2.24$) for *Career/Further Education* to 2.750 ($t = 3.91$) for *Equality*.

Panel B reports the association between *Concerns Engaged: <Topic>* and the change in the firm-year share of reviews raising concerns on that topic. The coefficient is negative and statistically significant for all 13 topics, ranging from -0.325 for *Image* to -0.811 for *Dealing with Older Colleagues*.

Together, Panels A and B point to the mechanism through which tailored response behaviors are associated with improvements in employee satisfaction. They raise the possibility that the improvement reflects real changes in the working environment, as discussed in Section 3.1. When firms engage with concerns on a specific topic, whether by making those issues more salient to management or by inducing organizational actions that address the underlying problem, employees' evaluation of that topic improves and the prevalence of complaints on it declines in subsequent periods. The reduction in subsequent complaints is the more informative of the two results. It provides indirect evidence that managers integrate the information into decisions and act on it, since a sustained drop in the share of reviews raising concerns on a topic would be unlikely unless the underlying issue was meaningfully addressed. In the absence of such engagement, many of these issues would likely remain below the surface or accumulate over time.

5.3 Response Behaviors and Changes in Labor Market Attractiveness

Section 5.2 establishes that current employees react positively to tailored responses, that is, responses that may indicate firms' efforts to process information from reviews. I now turn to the external dimension and examine whether outside candidates react to firms' response behaviors as well, measured by changes in *Candidates per Posting*. As discussed in Section 3.3.2, the prediction here is genuinely ambiguous. Prospective employees cannot verify what a response asserts at the moment they act on it, and the platform's aggregate rating is both informative and available at lower cost. Whether response content moves candidate flows at all is therefore an open question.

5.3.1 Response Rate, Response Composition, and Labor Market Attractiveness

Table 7 reports the results. Panel A gives the pooled association between *Response Rate* and the change in *Candidates per Posting*. The coefficient is statistically insignificant in

both specifications (-3.880 , $t = -0.85$ without controls; -4.924 , $t = -1.20$ with controls). Panel B partitions responses by *High Template* and *High Tailored*, and neither interaction approaches significance. Panel C decomposes the partition into the four categories, and none of the four interactions is significant in either specification. Panel E reports the two engagement ratings, and neither *Concern Addressing Rating* nor *Positive Amplification Rating* is significantly associated with candidate flows.

As discussed in Section 3.3.2, firms' responses may reach prospective employees through two channels. The direct channel operates through the response text itself, which candidates may read alongside the reviews. The indirect channel operates through ratings: where engagement improves the working environment, current employees assign higher ratings, and those ratings are what candidates observe at low cost. To separate the two, I additionally control for the change in *Recommendation Rate* in the specifications with controls. In Panel A, that change enters positively and significantly (17.575 , $t = 2.14$), so firms whose employees become more likely to recommend them do attract more candidates per posting. The design therefore detects the indirect channel while detecting nothing from response content directly. This is the pattern anticipated in Section 3.3.2: firms' engagement appears to reach the external labor market only insofar as it changes what current employees say, and not through what firms write beneath individual reviews.¹³

5.3.2 Sub-Category Exploration

The null aggregate results motivate a more exploratory analysis at the sub-category level. The four categories are aggregated on an internal logic, according to whether a response evidences that the firm acquired the review's content and integrated it into decisions. That logic organizes what firms do, but it might not organize what outside candidates notice, and effects may offset within a category. Panel D of Table 7 therefore reports results using

¹³I interpret these results with caution. The sample is considerably smaller than in the satisfaction analyses, falling from 304 firm-years without controls to 196 with them. The limits of that sample are visible in the control itself. The change in *Recommendation Rate* is significant in Panel A, estimated on 239 observations, but remains positive and turns insignificant in Panels B, C, and E, estimated on 196.

the 12 individual sub-categories. Columns (1) and (2) include only the four template sub-categories, columns (3) and (4) only the eight tailored sub-categories, and columns (5) and (6) all 12 together.

Of the 12 sub-categories, two exhibit consistent associations with *Candidates per Posting*, one within each group. Within tailored content, *Defensive Explanations Share*, which captures responses that publicly contest the reviewer’s account, is positively associated with *Candidates per Posting* in all four specifications in which it appears, and significantly so in three: 111.585 ($t = 2.95$) in the tailored-only specification with controls, 128.613 ($t = 2.70$) with all 12 sub-categories and controls, and 65.052 ($t = 1.86$) with all 12 and no controls. Within template content, *Valuing Feedback Share*, which captures generic assertions that the firm welcomes employee feedback, is negatively associated with *Candidates per Posting* in all four specifications in which it appears, and marginally significant in both template-only columns (-52.687 , $t = -1.68$; -55.647 , $t = -1.71$). The association weakens when the eight tailored sub-categories are added.

These patterns are consistent with the informational position of prospective employees developed in Section 3.3.2. Candidates cannot verify what a response asserts, so what may reach them is posture rather than substance. Publicly contesting a negative review is assertive and specific, and a candidate with no means of adjudicating the dispute may read the willingness to argue as evidence of a confident organization. A generic claim that the firm values feedback is neither assertive nor specific, and it points the other way. Notably, neither behavior involves the firm committing to anything, and none of the five *Acquire & Integrate* sub-categories, which do carry commitments, is associated with candidate flows in any specification.¹⁴

¹⁴These estimates are exploratory. Panel D reports 12 sub-category coefficients across six columns on fewer than 200 firm-year observations in the specifications with controls, and every aggregate test in this section is null.

6 Supplementary Survey Analyses

The descriptive and empirical analyses presented above document whether and how firms respond to employee reviews, as well as how current and prospective employees react to such responses. That analysis has two limitations. First, it is restricted to companies in German-speaking countries with more than 1,000 reviews on the Kununu platform. Second, the archival setting allows me to infer firms’ effort to acquire and integrate information only from what their responses say. I cannot observe the actions firms take inside the organization, and I can link response behaviors to changes in the working environment only through employees’ self-reported ratings and complaints, not through observed policy changes.

To broaden the perspective and provide more direct evidence on firms’ incentives to engage with employee reviews and on the underlying mechanisms, I conducted a survey of HR professionals in the United States.¹⁵ I collected 148 valid responses from HR professionals recruited via the Prolific platform, which had 1,246 eligible participants meeting the criteria of holding an HR role and being based in the United States.¹⁶ In this section, I present survey evidence on: (1) the extent of firms’ engagement with employee review platforms; (2) variation in engagement across firm characteristics; (3) firms’ stated incentives for engagement; and (4) evidence on potential mechanisms that may help explain the main findings.¹⁷

¹⁵This approach follows the growing literature in management accounting that uses out-of-sample surveys to help validate the mechanisms underlying archival findings, e.g., [Cai, Chen, and Shin \(2025\)](#).

¹⁶Respondents vary across industries, firm sizes, and other key firm characteristics, as shown in [Table D2](#). They also differ in seniority and HR experience (not tabulated for brevity), suggesting the survey sample is well-distributed.

¹⁷In untabulated results, I also validate the descriptive evidence in the empirical analyses by asking HR participants whose firms respond to employee reviews about: (i) the proportion of reviews their firms respond to; (ii) the time elapsed between a review being posted and a firm’s response; and (iii) whether negative reviews are prioritized over positive reviews. The results are consistent with patterns documented in the empirical analyses.

6.1 Firms' Engagement with Employee Reviews

6.1.1 Overall Engagement

To begin, I document the proportion of firms that engage with employee review platforms overall. These platforms typically offer multiple functions, each involving distinct information sets and incentives, including: an employer page (providing an overview of the firm, its culture, and values), job posting pages, overall and dimension-specific ratings (anonymously submitted by current and former employees), textual reviews (including pros, cons, and suggestions to management), and firms' responses to individual reviews. Given the variety of functions, it is important to first examine whether and how firms differ in their use of these features.

[Figure D1](#) Panel A shows that approximately 78.4% of HR participants report that their firm engages with at least one function on these platforms, indicating their widespread adoption among organizations. Panel B presents, among those indicating engagement with any function, the proportion that engage with each specific function. Job posting is the most common, with 80.2% reporting use. Monitoring of ratings (53.4%) and reviews (63.8%) is also prevalent. Although responding to reviews is the least common function (44%), this rate is comparable to the descriptive statistics from the archival sample and shows substantial variation across firm characteristics, which I discuss in the next section.

6.1.2 Variation Across Firms

Next, I examine how the likelihood of responding to employee reviews varies with firm characteristics. [Figure D2](#) and [Table D2](#) summarize the patterns.

Response rates vary considerably across industries (Panel A), from 55.6% in Technology and 54.5% in Transportation & Public Utilities to none in Energy and Public Administration. They also rise with firm size (Panel B), from 15.0% among firms with fewer than 50 employees to 75.0% among those with 2,500–4,999. Differences by organizational structure (Panel C)

and by turnover relative to industry averages (Panel D) are smaller. Fully centralized firms respond at 43.3% against 34.2% for somewhat centralized firms, and firms with below-average turnover respond at 41.9% against 32.2% for those at the industry average.

Two patterns connect to the determinant evidence. Response rates rise with how likely employees are to raise concerns internally (Panel E), from 5.0% where voice is reported as “slightly likely” to 46.9% where it is “very likely.” They also rise sharply with the number of internal voice channels available (Panel F), from 18.8% among firms with one channel to 80.0% among those with seven. Firms therefore respond more where they have a stronger feedback culture and where employees are more willing to speak up. This is loosely consistent with the determinant evidence that firms produce more tailored content when reviews are more informative, under the assumption that a stronger feedback culture yields more informative reviews.

6.2 Firms’ Incentives for Engaging with Employee Reviews

This section examines what motivates firms to engage with employee reviews, focusing on monitoring and responding while using the other platform functions as comparisons. [Figure D3](#) presents the incentives HR participants report.

Panel A compares the prevalence of each incentive across the five engagement types. Incentives vary systematically by function. Where the direct audience is external, particularly job seekers and shareholders, reputational incentives such as “Improve employer brand” and “Improving reputation with shareholders” dominate. Where the function gathers information from employees, as in monitoring ratings and reviews, the most frequently cited incentives are “Gaining insights into organizational issues” and “Improving employee satisfaction.”

Responding to reviews draws on both (Panel E). The most frequently reported motivations are “Improving employee satisfaction” (66.7%), “Public monitoring pressure” (58.8%), and “Improving employer brand” (47.1%). Responses are therefore directed at two audiences at once, consistent with the benefits discussed in [Section 3.1.2](#), and the internal motivation

is the most commonly cited of the three.

This evidence complements the archival analysis by asking HR professionals directly why the firms produced the responses. It shows that firms responding to reviews pursue employee satisfaction at least as often as external image.

6.3 Mechanisms

This section examines the mechanisms underlying the results in Section 5.2. For firms' engagement with employee reviews to produce real improvements in the working environment, two conditions should hold.

First, reviews should be informative, either by revealing organizational issues the firm was unaware of, given inefficiencies in internal channels or the cost of acquiring such information, or by reinforcing the significance of issues already known but not prioritized. This is the return that makes the acquisition and integration costs worth bearing, and it underlies the determinant evidence in Section 5.1.3.

Second, the commitments firms express in *Acquire & Integrate* responses should be honored. As Section 3.2 notes, the archival measure captures disclosed processing rather than processing itself. A firm that undertakes to escalate a concern or to act on it appears in the data whether or not it follows through. The survey asks whether it does.

6.3.1 Informativeness of Employee Reviews

Figure D4 reports participants' views on informativeness. Panel A shows that 82.4% agree that employee reviews highlight new areas for workplace improvement (23.0% strongly agree, 29.7% agree, 29.7% slightly agree). Panel B shows that 67% agree that reviews provide additional evidence on issues already known (14.9%, 23.0%, and 31.1% respectively). Panel C shows that 85.1% report that insights from reviews are shared with senior management.

The first two panels support the informativeness condition on both of its parts, indicating that HR professionals view reviews as supplementing rather than duplicating internal

channels. The third speaks directly to *Commitment to Report*, the sub-category in which firms undertake to escalate a concern internally. Escalation appears to be common practice rather than a claim made only in public.

6.3.2 Firms' Follow-Up to Employee Reviews

Figure D5 examines follow-through. Panel A shows that 88.2% of respondents agree to some degree that they receive follow-up reports when directing employees to internal reporting channels, which corresponds to the *Internal Channel Suggestion* and *Seeking Conversation* sub-categories. Panel B shows that almost 88% agree that their firms take action on issues identified in reviews, with more than 58% agreeing or strongly agreeing, corresponding to *Concrete Actions* and *Abstract Improvement*.

Together, the two panels indicate that responses in the *Acquire & Integrate* category are often backed by internal follow-up rather than serving only as public gestures. This supports the interpretation of the satisfaction results in Section 5.2.2: employees may react to these responses because the commitments they contain are, in many firms, honored. I note that these are self-reports by HR professionals about their own organizations, so the levels are likely optimistic. The relevant evidence is that follow-through is common, not that it occurs at the rates reported.

7 Conclusion

This paper examines whether, why, and how firms engage with the reviews their employees post on public platforms, and how current and prospective employees react to that engagement. I treat the firm as a processor of information its employees have already disclosed. The firm may become aware of a review, may acquire and interpret its content, and may integrate what it learns into a decision. Each step is costly and is undertaken only where the expected return justifies the cost. Because these steps are internal and unobservable,

I infer them from the responses firms post, since a firm can respond substantively only to what it has processed. I refer to responses that could have been written without reading the review as template, and to responses that presuppose reading it as tailored. Within tailored content, clarifying the present situation evidences acquisition, while seeking further information or committing to act evidences integration beyond acquisition and exposes the firm to a commitment cost that employees can later verify.

Using 367,749 reviews and responses from 237 firms on Kununu between 2007 and 2024, I document three sets of findings. First, firms do process the reviews they answer, but rarely commit to acting on them. The average firm-year response rate is 21.6% and rises steeply over the sample period. Tailored content modestly exceeds template content in the average response, yet the largest single category is expressions of thanks, and the two sub-categories that commit the firm most concretely each account for one percent of response sentences. Composition varies with the return to processing: firms whose employees are less satisfied, and whose reviews raise previously unsurfaced topics, produce more content that evidences acquisition and integration.

Second, current employees react to whether a response indicates effort to process the information. The pooled response rate is only weakly associated with subsequent changes in satisfaction. Conditional on responding, tailored content is associated with improvements in both the recommendation rate and the overall rating, while template content is associated with deterioration. Engaging substantively with the concerns a review raises is also associated with improvement. At the topic level, engaging with concerns on a specific dimension is followed by higher ratings on that dimension and fewer complaints about it in the following year, across all 13 dimensions. This sheds light on the mechanism, pointing to real effects behind the improvement in satisfaction. The decline in complaints is difficult to explain unless the underlying issue was addressed. A survey of 148 HR professionals corroborates this reading: participants report that reviews surface issues internal channels miss, that insights are escalated to senior management, and that firms act on them.

Third, prospective employees show little reaction to response content. Neither the template-tailored partition, the four categories, nor the engagement ratings are associated with candidates per posting, while the same specifications detect co-movement between candidate flows and changes in employee ratings. Firms' engagement reaches the external labor market insofar as it alters what current employees report, rather than through the text firms post. An exploratory analysis suggests that publicly contesting a reviewer's account may attract candidates, consistent with outsiders responding to assertiveness where they cannot verify substance.

The findings imply that employee review platforms may function as a complement to some parts of firms' interactive control systems, surfacing information that internal channels do not and inducing follow-through, but only where firms bear the cost of processing what appears on them. The value of participating on such a platform, moreover, depends less on what outsiders read than on what insiders can verify, since the audience that can check a firm's claims is the audience that reacts to them.

Several limitations qualify these conclusions. The response is a lower bound on processing: a firm that integrates a review without saying so is classified as if it had not, so measured engagement understates true engagement. The associations are estimated within firm and year but are not causal, and firms select into responding. The survey evidence consists of self-reports by HR professionals about their own organizations.

These limitations point to future work. The framework may extend to other settings in which a firm's disclosure reveals how far it has processed information supplied by outsiders. Within employee review platforms, the decline in response length as response rates rise raises the question of whether the arrival of generative tools accelerates the shift toward templated responding. Finally, investors and regulators also read these responses, and whether and how they react remains open.

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Appendix A. Variable Definitions

Appendix A provides the definitions of all variables included in this study.

Variable	Definition
Panel A: Response Characteristics	
<i>Response Rate</i>	The proportion of firm-year reviews that received a response from the firm, calculated as the number of reviews responded to divided by the total number of reviews received in the firm-year.
<i>Template Share</i>	The firm-year mean, across responded reviews, of the share of response sentences assigned to the <i>Template</i> row (low preparation cost). Equal to <i>Cheap Talk Share</i> + <i>Culture Share</i> .
<i>Tailored Share</i>	The firm-year mean, across responded reviews, of the share of response sentences assigned to the <i>Tailored</i> row (high preparation cost). Equal to <i>Clarify Share</i> + <i>Acquire & Integrate Share</i> .
<i>Cheap Talk Share</i>	Template. The firm-year mean share of response sentences whose only labels are appreciation or apologetic. These sentences evidence no processing of the review and assert nothing that experience can verify.
<i>Culture Share</i>	Template. The firm-year mean share of response sentences carrying rm-valuing-feedback or rm-culture-values. These sentences likewise evidence no processing, but make a claim about the firm's culture or values that current employees can assess against what they already observe.
<i>Clarify Share</i>	Tailored. The firm-year mean share of response sentences carrying neutral clarifications, defensive explanations, or substantive acknowledgment. These sentences engage the content of the review but describe or contest the existing state of affairs without committing the firm to anything.
<i>Acquire & Integrate Share</i>	Tailored. The firm-year mean share of response sentences carrying seeking conversation, internal channel suggestion, commitment to report, abstract improvement promises, or concrete actions. These sentences seek further information or commit the firm to acting on it, and constitute the only category subject to a commitment cost.
<i>High Template, High Tailored, High Cheap Talk, High Culture, High Clarify, High Acquire & Integrate</i>	Indicator variables that equal one if the corresponding firm-year share is above the sample median and zero otherwise. Medians are computed over all firm-years with at least one response.
<i>Positive Amplification Rating</i>	The firm-year mean of the response-level 0–3 rating of how substantively the firm response amplifies positive observations in the review (0 = ignored; 3 = multiple specific positives amplified).
<i>Concern Addressing Rating</i>	The firm-year mean of the response-level 0–3 rating of how substantively the firm response engages with the concerns raised in the review (0 = ignored; 3 = substantively engages most or all concerns).
<i>Appreciation Share</i>	The firm-year mean share of response sentences tagged with the appreciation sub-category (<i>Cheap Talk</i>), expressing thanks or recognition.
<i>Apologetic Share</i>	The firm-year mean share of response sentences tagged with the apologetic sub-category (<i>Cheap Talk</i>), expressing regret or apology.
<i>Valuing Feedback Share</i>	The firm-year mean share of response sentences tagged with the rm-valuing-feedback sub-category (<i>Culture</i>), affirming that employee feedback is valued.
<i>Culture Values Share</i>	The firm-year mean share of response sentences tagged with the rm-culture-values sub-category (<i>Culture</i>), invoking the firm's culture or values.

Continued on next page

Variable	Definition
<i>Neutral Clarifications Share</i>	The firm-year mean share of response sentences tagged with the neutral-clarifications sub-category (<i>Clarify</i>), providing factual clarification without engagement or apology.
<i>Defensive Explanations Share</i>	The firm-year mean share of response sentences tagged with the defensive-explanations sub-category (<i>Clarify</i>), providing context or justification for criticisms.
<i>Substantive Acknowledgment Share</i>	The firm-year mean share of response sentences tagged with the substantive-acknowledgment sub-category (<i>Clarify</i>), specifically acknowledging the substance of the concern raised.
<i>Seeking Conversation Share</i>	The firm-year mean share of response sentences tagged with the seeking-conversation sub-category (<i>Acquire & Integrate</i>), inviting the reviewer to further dialogue.
<i>Internal Channel Suggestion Share</i>	The firm-year mean share of response sentences tagged with the internal-channel-suggestion sub-category (<i>Acquire & Integrate</i>), pointing the reviewer to internal communication channels (e.g., HR, manager, anonymous hotline).
<i>Commitment to Report Share</i>	The firm-year mean share of response sentences tagged with the commitment-to-report sub-category (<i>Acquire & Integrate</i>), promising to escalate or report the concern internally.
<i>Abstract Improvement Share</i>	The firm-year mean share of response sentences tagged with the abstract-improvement-promises sub-category (<i>Acquire & Integrate</i>), promising improvement in general terms without specifics.
<i>Concrete Actions Share</i>	The firm-year mean share of response sentences tagged with the concrete-actions sub-category (<i>Acquire & Integrate</i>), describing specific actions the firm has taken or will take.
Panel B: Review Characteristics	
<i>% Novel Reviews</i>	The firm-year share of reviews flagged as informationally novel relative to the firm's prior review history (i.e., raising topics or concerns not previously surfaced for that firm).
Panel C: Employee Satisfaction	
<i>Recommendation Rate</i>	The firm-year share of reviews in which the reviewer recommends the firm to others.
<i>Overall Rating</i>	The firm-year mean of Kununu's overall employer rating across all reviews.
<i>Working Atmosphere Rating</i>	The firm-year mean of the 1–5 rating employees assign to the firm's working atmosphere.
<i>Communication Rating</i>	The firm-year mean of the 1–5 rating employees assign to the firm's internal communication.
<i>Cohesion among Colleagues Rating</i>	The firm-year mean of the 1–5 rating employees assign to teamwork and cohesion among colleagues.
<i>Work-life Balance Rating</i>	The firm-year mean of the 1–5 rating employees assign to the firm's support for work–life balance.
<i>Managerial Behavior Rating</i>	The firm-year mean of the 1–5 rating employees assign to managers' behavior and leadership style.
<i>Interesting Tasks Rating</i>	The firm-year mean of the 1–5 rating employees assign to the level of interest and engagement in assigned tasks.
<i>Equality Rating</i>	The firm-year mean of the 1–5 rating employees assign to the firm's treatment of employees regarding equality.
<i>Dealing with Older Colleagues Rating</i>	The firm-year mean of the 1–5 rating employees assign to the firm's treatment of older colleagues.
<i>Working Conditions Rating</i>	The firm-year mean of the 1–5 rating employees assign to the firm's working conditions.

Continued on next page

Variable	Definition
<i>Environmental/Social Awareness Rating</i>	The firm-year mean of the 1–5 rating employees assign to the firm’s environmental and social awareness.
<i>Salary/Benefits Rating</i>	The firm-year mean of the 1–5 rating employees assign to the firm’s salary and benefits package.
<i>Image Rating</i>	The firm-year mean of the 1–5 rating employees assign to the firm’s public image.
<i>Career/Further Education Rating</i>	The firm-year mean of the 1–5 rating employees assign to the firm’s support for career advancement and training.
<i>Change in Recommendation Rate</i>	The change in <i>Recommendation Rate</i> between year $t + 1$ and year t . Used as the dependent variable in Tables 3–5 and as a control in the even-numbered columns of Table 7.
<i>Change in Overall Rating</i>	The change in <i>Overall Rating</i> between year $t + 1$ and year t .
Panel D: Review and Response Characteristics by Topic	
<i>Concerns: <Topic></i>	The fraction of the firm’s reviews in a year that raise a negative concern on the topic, computed as (# reviews in which the topic appears in the review’s concerns list) / (total firm-year reviews). Reported in Table 1; its year-over-year change is the dependent variable in Table 6, Panels B.1 and B.2.
<i>Concerns Engaged: <Topic></i>	The firm-year count of review–response pairs in which the review raises a concern on the topic <i>and</i> the response addresses that topic, divided by the firm-year total number of reviews. The independent variable in Table 6.
Panel E: Firm Characteristics	
<i>Attrition Rate</i>	The total number of employee outflows divided by the average number of employees at the firm in a given year, sourced from Revelio Labs.
<i>Candidates per Posting</i>	The firm-year ratio of the number of self-reported candidates on Kununu to the number of job postings observed in Revelio Labs, computed in firm-years with a positive count of postings and winsorized at the 99th percentile.
<i>Change in Candidates per Posting</i>	The change in <i>Candidates per Posting</i> between year $t + 1$ and year t . The dependent variable in Table 7.
<i>ROA</i>	The ratio of net income to total assets for the firm in a given year, sourced from Orbis.
<i>Log Assets</i>	The natural logarithm of the firm’s total assets in a given year, sourced from Orbis.
<i>Log # Employees</i>	The natural logarithm of the total number of employees at the firm in a given year, sourced from Orbis.
<i>Log # Reviews</i>	The natural logarithm of the total number of Kununu reviews received by the firm in a given year.

Appendix B. Rating Scheme and Topic Identification

[Appendix B](#) documents the methodologies and definitions used in support of the first stage of the two-stage GPT-based labeling pipeline (“Call 1”), which analyzes *employee reviews only* (independent of any firm response). For each review, Call 1 reads the title, the three free-text fields (positive aspects, negative aspects, suggestions), and the per-dimension supporting commentary; it then (i) annotates each pre-segmented review unit with one or more (topic, sentiment) pairs, drawn from the 13 Kununu rating dimensions and a 5-point sentiment scale, and (ii) aggregates the unit-level annotations into a *concerns* list (one entry per topic with any negative sentiment) and a *positives* list (one entry per topic with any positive sentiment), each with a model-written one-sentence summary and the supporting unit IDs. Call 2 is documented in [Appendix C](#).

Contents of [Appendix B](#):

- [Panel A. Sentiment Rating Scheme and Topic Definitions](#)
- [Panel B. Summary of the Prompt and Schema Structure](#)
- [Panel C. Worked Example — Call 1 Input and Output](#)
- [Panel D. Full Call 1 System Message](#)
- [Panel E. Full Call 1 JSON Schema](#)

Panel A: Sentiment Rating Scheme and Topic Definitions

A.1 13 Topics (Kununu Rating Dimensions)

Topic	Kununu's public rating definition	Operational definition (as given to the model)
<i>Corporate Culture (6 dimensions)</i>		
working_atmosphere	Employees rate typical factors that influence the working atmosphere. Do supervisors praise? Does the company contribute to a working atmosphere characterized by fairness and trust?	General workplace mood, climate, or interpersonal vibe not specifically about supervisors, colleagues, equal treatment, or other categories below.
communication	Whether employees are informed about results, successes and profits in regular meetings and whether they receive the information they need for their work.	Information flow, transparency on results / decisions.
colleague_cohesion	Whether colleagues work well together and treat each other honestly and directly.	How colleagues work together, honesty, directness.
work_life_balance	Can vacation be taken at any time? Are working hours within normal limits? Is consideration given to the family? Is there peer pressure with regard to working hours?	Vacation, hours, family consideration.
supervisor_behavior	How superiors behave in conflicts, whether they set realistic goals, make clear and comprehensible decisions, and whether they involve employees in decisions.	Supervisors' conflict handling, goal-setting, employee involvement.
interesting_tasks	Whether the workload is fairly distributed and whether employees have influence on the organization of their own area of responsibility.	Workload distribution, autonomy over one's work.
<i>Diversity (2 dimensions)</i>		
equal_rights	Whether women have the same opportunities for advancement, are valued as employees, and whether those returning to work are disadvantaged.	Equal opportunities, treatment of returners.
dealing_with_older_colleagues	Whether older employees are hired and whether long-serving colleagues are valued and encouraged.	Treatment of older or long-serving employees.
<i>Working Environment (2 dimensions)</i>		
working_conditions	Do the rooms and computers correspond to the tasks? Are they state of the art? Are the ventilation, lighting and noise levels pleasant?	Physical environment, equipment, lighting, noise.
environmental_social_awareness	Awareness of environmental and social issues. Is attention paid to environmental and climate protection? Does the company support fair trade?	Employer's environmental and social responsibility.
<i>Career & Salary (3 dimensions)</i>		
salary_benefits	Do wages and salaries correspond to the responsibilities? Does the company pay a satisfactory salary? Are social benefits offered? Are salaries paid on time?	Compensation, benefits, timely pay.
image	Do employees speak well of their company? Does the image match the reality?	External perception, employees speaking well of the firm.
career_further_training	Career prospects in the company, whether the criteria for advancement are known, whether employees are supported through further training, and whether the company offers good opportunities for personal development.	Career prospects, training, development.
<i>Off-topic catch-all</i>		
none	(not a Kununu rating dimension)	Reserved for off-topic content (greetings, framing, sign-offs, generic boilerplate).

A.2 Sentiment Rating Scheme (5-point intensity scale)

Sentiment	Definition (as given to the model)
−2	Strongly negative — severe complaint, major problem.
−1	Mildly negative — issue, concern.
0	Neutral — factual, no clear valence.
+1	Mildly positive — acceptable, satisfactory.
+2	Strongly positive — praise, enthusiasm.

Panel B: Summary of the Prompt and Schema Structure

Component	Specification
<i>Role</i>	The model is instructed: “ <i>You are an expert annotator for employee reviews from the Kununu employer-review platform. Annotate review content at the unit level: identify topic(s) and sentiment for each pre-segmented unit.</i> ”
<i>Input format</i>	Numbered units from two sources, presented as a flat list. <i>Layer 1</i> : review title and three free-text fields (<code>layer1_title</code> , <code>layer1_positive</code> , <code>layer1_negative</code> , <code>layer1_suggestions</code>); topics inferred from text. <i>Layer 2</i> : per-dimension supporting commentary; <i>source label</i> equals the topic (the model must respect this). All content is pre-segmented and pre-numbered before being sent to the model.
<i>Label space</i>	13 topics from Panel A.1 above, plus the reserved value none for off-topic content. Sentiment in $\{-2, -1, 0, +1, +2\}$. The (topic, sentiment) pairs are emitted as an array per unit, allowing multi-coding when a unit genuinely covers multiple dimensions.
<i>Output (schema)</i>	Strict JSON conforming to <code>review_annotation</code>: • <code>unit_annotations[]</code> — one object per input unit: <code>unit_id</code> (integer), <code>source</code> (one of the 4 Layer-1 labels or 13 Layer-2 topics), and <code>annotations[]</code> (each item: a (topic, sentiment) pair). • <code>concerns[]</code> — one object per topic with at least one −1 or −2 unit: <code>topic</code>, model-written one-sentence <code>summary</code>, and <code>supporting_unit_ids[]</code>. • <code>positives[]</code> — one object per topic with at least one +1 or +2 unit; same shape as <code>concerns</code>. The model does not echo unit text (already known from input) and does not emit aggregate counts (computed downstream from the per-unit annotations).
<i>Validation</i>	Strict-mode JSON schema (<code>strict: true</code>) enforces both the topic enum (13 topics + none) and the sentiment enum on every annotation.
<i>Model / Mode</i>	OpenAI Responses API, model <code>gpt-5.4-mini</code> , executed via the Batch API in chunked, resumable runs.

Panel C: Worked Example — Call 1 Input and Output

C.1 Review Units (Call 1 input — numbered, source-labeled)

Unit	Source	Text
1	layer1.title	Pleasant atmosphere
2	layer1.positive	Discounted fitness studio
3	layer1.positive	Pleasant atmosphere
4	layer1.suggestions	Better work equipment
5	layer1.suggestions	Further training
6	layer1.suggestions	Better salary increase
7	work.life.balance	Discounted gym membership
8	salary.benefits	Salary increase too small

C.2 Per-Unit Annotations (Call 1 output)

Unit	Source	(topic, sentiment)
1	layer1.title	(working_atmosphere, +2)
2	layer1.positive	(environmental_social_awareness, +1)
3	layer1.positive	(working_atmosphere, +2)
4	layer1.suggestions	(working_conditions, -1)
5	layer1.suggestions	(career_further_training, -1)
6	layer1.suggestions	(salary_benefits, -1)
7	work.life.balance	(work_life_balance, +1)
8	salary.benefits	(salary_benefits, -1)

C.3 Concerns (Call 1 output — one row per negative-sentiment topic)

Topic	Summary (model-written)	Units
working_conditions	The reviewer would like better work equipment.	4
career_further_training	The reviewer requests more training opportunities.	5
salary_benefits	The reviewer feels salary increases are too small.	6, 8

C.4 Positives (Call 1 output — one row per positive-sentiment topic)

Topic	Summary (model-written)	Units
working_atmosphere	The review praises the pleasant atmosphere.	1, 3
environmental_social_awareness	A discounted gym membership is mentioned as a benefit.	2
work_life_balance	The discounted gym membership is seen as a positive benefit.	2, 7

C.5 Selected review-level variables produced from this Call 1 output

Variable	Value (this review)
total_units	8
n_units_layer1	6 (units 1–6)
n_units_layer2	2 (units 7–8)
n_topics_raised	6
n_topics_negative	3 (working_conditions, career_further_training, salary_benefits)
n_topics_positive	3 (working_atmosphere, environmental_social_awareness, work_life_balance)

Panel D: Full Call 1 System Message

You are an expert annotator for employee reviews from the Kununu employer review platform. Annotate review content at the unit level: identify topic(s) and sentiment for each pre-segmented unit.

INPUT FORMAT

You receive numbered units from two sources:

- Layer 1: title and three free-text fields (positive, negative, suggestions). Topics inferred from text.
- Layer 2: per-dimension supporting commentary. Topic is given by the source label.

All content has been pre-segmented into "units" (which may be phrases or sentences) and pre-numbered. Annotate each unit as instructed below.

13 TOPICS (Kununu rating dimensions)

- working_atmosphere: general workplace mood, climate, or interpersonal vibe not specifically about supervisors, colleagues, equal treatment, or other categories below
 - communication: information flow, transparency on results/decisions
 - colleague_cohesion: how colleagues work together, honesty, directness
 - work_life_balance: vacation, hours, family consideration
 - supervisor_behavior: supervisors' conflict handling, goal-setting, employee involvement
 - interesting_tasks: workload distribution, autonomy over one's work
 - equal_rights: equal opportunities, treatment of returners
 - dealing_with_older_colleagues: treatment of older or long-serving employees
 - working_conditions: physical environment, equipment, lighting, noise
 - environmental_social_awareness: employer's environmental and social responsibility
 - salary_benefits: compensation, benefits, timely pay
 - image: external perception, employees speaking well of the firm
 - career_further_training: career prospects, training, development
- Use "none" for off-topic content (greetings, general framing).

SENTIMENT (5-point intensity)

- -2: strongly negative (severe complaint, major problem)
- -1: mildly negative (issue, concern)
- 0: neutral (factual, no clear valence)
- +1: mildly positive (acceptable, satisfactory)
- +2: strongly positive (praise, enthusiasm)

LAYER 2 RULE

For Layer 2 units, the topic must equal the source label. Only sentiment varies.

OUTPUT

Per-unit annotations: emit ONLY unit_id, source, and the topic-sentiment annotations array. Do NOT echo the unit text -- it is already known from the input.

Then emit two lists at the top level:

- concerns: one entry per topic with at least one -1 or -2 unit; include a one-sentence summary and supporting_unit_ids.
- positives: one entry per topic with at least one +1 or +2 unit; same shape.

Aggregated counts are computed downstream from your per-unit annotations -- do not emit them.

Multi-topic annotation per unit is allowed when units genuinely cover multiple topics. Be conservative -- accuracy over exhaustiveness.

Panel E: Full Call 1 JSON Schema

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Appendix C. Measurement of Firm Responses

[Appendix C](#) documents the methodologies and definitions used in support of the second stage of the two-stage GPT-based labeling pipeline (“Call 2”), which analyzes *firm responses to employee reviews*. For each firm review-response pair, Call 2 reads the review units (with source labels and prior annotations from Call 1), the *concerns* and *positives* lists produced by Call 1, and the firm response sentences (pre-segmented and numbered); it then (i) assigns each response sentence one or more of the 13 Kununu topics, (ii) assigns each response sentence one or more of the 12 response sub-categories, and (iii) produces two 0–3 engagement ratings: *concern_addressing_rating* (how substantively the response engages with the issues raised in the review) and *positive_amplification_rating* (how substantively the response amplifies the positives raised in the review), each with a model-written justification. Call 1 is documented in [Appendix B](#).

Contents of [Appendix C](#):

- [Panel A. Classification of the Twelve Response Sub-Categories](#)
- [Panel B. Engagement Ratings — Addressing Concerns vs Amplifying Positives](#)
- [Panel C. Call 2 Prompt and Schema Structure](#)
- [Panel D. Worked Example — Call 2 Input and Output](#)
- [Panel E. Full Call 2 System Message](#)
- [Panel F. Full Call 2 JSON Schema](#)

Panel A: Classification of the Twelve Response Sub-Categories

A.1 The four categories

<i>Within each row, two categories distinguished by what the sentence asserts</i>		
Template <i>low preparation cost: writable without reading the review</i>	Cheap Talk <i>nothing verifiable</i> appreciation apologetic	Culture <i>already observable to insiders</i> rm_valuing_feedback rm_culture_values
Tailored <i>high preparation cost: presupposes reading the review</i>	Clarify <i>present situation; already observable</i> neutral_clarifications defensive_explanations substantive_acknowledgment	Acquire & Integrate <i>future information and actions; verifiable over time (commitment cost)</i> seeking_conversation internal_channel_suggestion commitment_to_report abstract_improvement_promises concrete_actions

A.2 Sub-category definitions as given to the model

Sub-Category	Category	Definition (as given to the model)
<i>Template: Cheap Talk (2 sub-categories)</i>		
appreciation	Cheap Talk	Thanks the employee for this review or feedback.
apologetic	Cheap Talk	Apologizes for issues raised in the review.
<i>Template: Culture (2 sub-categories)</i>		
rm_valuing_feedback	Culture	A <i>generic doctrinal</i> claim that the firm values employee feedback in general — not thanks for this particular review. Example: “we always welcome feedback from our employees.”
rm_culture_values	Culture	Emphasizes firm culture, values, or awards instead of addressing feedback.
<i>Tailored: Clarify (3 sub-categories)</i>		
neutral_clarifications	Clarify	Factual context or information about existing programs, policies, or actions already in place. If the sentence pushes back on a reviewer claim, code as defensive_explanations instead.
defensive_explanations	Clarify	Contests, justifies, or downplays reviewer claims. Distinct from neutral_clarifications because it serves to <i>defend</i> rather than to inform.
substantive_acknowledg.	Clarify	Explicitly recognizes a concern as <i>legitimate</i> . Distinct from apology — recognition of <i>validity</i> , not regret.
<i>Tailored: Acquire & Integrate (5 sub-categories)</i>		
seeking_conversation	Acquire & Int.	Invites dialogue — open invitation or specific request for detail.
internal_channel_sugg.	Acquire & Int.	Directs the reviewer to internal channels (HR, management, named contacts) for resolution.
commitment_to_report	Acquire & Int.	Promises to escalate the issue internally.
abstract_improvement_promises	Acquire & Int.	Commits to improving general or intangible aspects without specifics (e.g., “we are working to improve our culture”). When the same statement is unanchored to the reviewer’s concerns, code as rm_culture_values instead.
concrete_actions	Acquire & Int.	A <i>specific, observable step</i> the firm is taking or has taken in response to feedback. Markers of specificity: a named project or policy, a specific scope (location, department, population), a measurable target, or a time anchor. The firm itself must be the actor (not a redirect to a contact person).

Panel B: Engagement Ratings, Addressing Concerns vs Amplifying Positives

B.1 concern_addressing_rating (0–3)

Rating	Definition
0	Ignores all concerns; <i>or</i> no concerns existed in the review.
1	Acknowledges concerns exist (apology / regret) but no substantive engagement with any specific concern.
2	Substantively engages with <i>some</i> concerns; others ignored or addressed only generically.
3	Substantively engages with <i>most or all</i> concerns.

B.2 positive_amplification_rating (0–3)

Rating	Definition
0	No engagement with positives; <i>or</i> no positives existed in the review.
1	Generic positive language without engaging with any specific positive.
2	Engages with some specific positives mentioned in the review.
3	Amplifies <i>multiple</i> specific positives, often as the focus of the response.

Panel C: Call 2 Prompt and Schema Structure

Component	Specification
<i>Role</i>	The model is instructed: “ <i>You are an expert annotator for firm responses to employee reviews on Kununu. You receive a review (with prior annotations) and the firm’s response. Characterize the response.</i> ”
<i>Input format</i>	A single user message containing four blocks, each with a section header: • Original Review: the same numbered, source-labeled review units used in Call 1 (Appendix B, Panel B), reproduced verbatim for context. • Concerns Identified in the Review: the <code>concerns[]</code> list from Call 1, with topic, summary, and supporting unit IDs. • Positives Identified in the Review: the <code>positives[]</code> list from Call 1, same shape. • Firm Response: the response, pre-segmented into numbered sentences. The two calls are otherwise independent and can run in parallel batches.
<i>Label space</i>	13 topics (same enum as Call 1) for response-sentence topic tagging; 12 sub-categories from Panel A above (2 cheap talk + 2 culture + 3 clarify + 5 acquire & integrate); two engagement ratings (<code>concern_addressing_rating</code> , <code>positive_amplification_rating</code>) in {0, 1, 2, 3}.
<i>Output (schema)</i>	Strict JSON conforming to <code>response_annotation</code>: • <code>total_response_sentences</code> (integer). • <code>topic_counts[]</code>, one object per non-zero topic: <code>topic</code>, <code>count</code>, <code>supporting_sentence_ids[]</code>. • <code>subcategory_counts[]</code>, one object per non-zero sub-category: <code>subcategory</code>, <code>count</code>, <code>supporting_sentence_ids[]</code>, and <code>supporting_phrases[]</code> (5–15-word excerpts taken directly from the response). • <code>concern_addressing_rating</code> + 1–2 sentence <code>concern_addressing_justification</code>. • <code>positive_amplification_rating</code> + 1–2 sentence <code>positive_amplification_justification</code>. The model emits only non-zero entries; post-processing fills zeros for absent topics / sub-categories.
<i>Multi-coding rule</i>	A single response sentence may carry multiple topic labels and/or multiple sub-category labels; each labeled sentence counts once <i>per label</i> . Counts may therefore exceed total sentences. The model is told to be conservative in sub-category assignment.
<i>Validation</i>	Strict-mode JSON schema (<code>strict: true</code>) enforces the topic enum, the sub-category enum, and the integer rating enum on every output.
<i>Model / Mode</i>	OpenAI Responses API, model <code>gpt-5.4-mini</code> , executed via the Batch API in chunked, resumable runs.

Panel D: Worked Example, Call 2 Input and Output

D.1 Call 1 Output Passed Into Call 2 (recap from Appendix B, Panel C)

Block	Content embedded in the Call 2 user message
concerns	1. working_conditions: “The reviewer would like better work equipment.” (units: 4) 2. career_further_training: “The reviewer requests more training opportunities.” (units: 5) 3. salary_benefits: “The reviewer feels salary increases are too small.” (units: 6, 8)
positives	1. working_atmosphere: “The review praises the pleasant atmosphere.” (units: 1, 3) 2. environmental_social_awareness: “A discounted gym membership is mentioned as a benefit.” (units: 2) 3. work_life_balance: “The discounted gym membership is seen as a positive benefit.” (units: 2, 7)

(The eight numbered review units from Appendix B C.1 are also reproduced verbatim above the concerns/positives blocks in the actual Call 2 user message; we omit them here to save space.)

D.2 Firm Response (Call 2 input, pre-segmented and numbered)

Sent.	Text
1	Hello and thank you for your positive contribution to your work in our company.
2	It is nice to read that we can offer you an interesting field of activity at Takko Fashion and that your work is based on a collegial and equal working relationship.
3	We are pleased that you also mention the employee benefits positively in your evaluation.
4	However, we regret that you have not yet taken advantage of the individual development opportunities in our company.
5	We would like to encourage you to contact your manager here to discuss possible further training programs at Takko Fashion.
6	And we also take your suggestion for improvement regarding working conditions very seriously: as part of digitalization, measures are already planned to improve the technical set-up of the stores in order to simplify work processes.
7	As we want to continuously improve, we consider your open feedback to be particularly valuable for our development process.
8	Best regards
9	Your Takko Fashion career team

D.3 Call 2 Output: Sub-Category Counts and Supporting Phrases

Sub-category	Category	Sentence IDs	Supporting phrases (model-extracted)
appreciation	Cheap Talk	1, 3	“thank you for your positive contribution”; “We are pleased that you also mention”
rm_valuing_feedback	Culture	7	“we consider your open feedback to be particularly valuable”
substantive_acknowledgment	Clarify	4, 6	“we regret that you have not yet taken advantage”; “take your suggestion for improvement regarding working conditions very seriously”
internal_channel_suggestion	Acquire & Int.	5	“contact your manager here to discuss”
concrete_actions	Acquire & Int.	6	“as part of digitalization, measures are already planned”

(Sentence 6 is multi-coded as both *substantive_acknowledgment* (Clarify) and *concrete_actions* (Acquire & Integrate), since it both takes the suggestion seriously and points to a specific planned action. Under the precedence rule it is assigned once, to *Acquire & Integrate*.)

D.4 Call 2 Output: Topic Counts (response sentences mentioning each topic)

Topic	Count	Sentence IDs
working_atmosphere	2	1, 2
work_life_balance	1	3
colleague_cohesion	1	2
equal_rights	1	2
career_further_training	2	4, 5
working_conditions	1	6

(A single sentence may carry multiple topic labels; e.g., sentence 2 above is coded as *working_atmosphere*, *colleague_cohesion*, and *equal_rights* because it references three distinct workplace dimensions in one breath.)

D.5 Call 2 Output: Engagement Ratings (with verbatim model justifications)

Rating	Value	Model justification (verbatim)
concern_addressing_rating	3 / 3	“The response addresses the training and working-conditions concerns directly, and even proposes a follow-up channel for development discussions. It does not address salary levels explicitly, but it substantively engages with most concerns overall.”
positive_amplification_rating	3 / 3	“The company explicitly thanks the reviewer, highlights the pleasant atmosphere / collegiality, and praises the employee benefits mentioned in the review. This amplifies multiple specific positives rather than using only generic praise.”

D.6 Downstream Aggregations Built from This Call 2 Output (pair-level variables)

Variable	Value (this example)
total_response_sentences	9
cell_count_cheap_talk (unique-sentence)	2 (sentences 1, 3)
cell_count_culture (unique-sentence)	1 (sentence 7)
cell_count_clarify (unique-sentence)	1 (sentence 4; sentence 6 goes to Acquire & Integrate)
cell_count_acquire_integrate (unique-sentence)	2 (sentences 5, 6)
cheap_talk_share	0.22 (2/9)
culture_share	0.11 (1/9)
clarify_share	0.11 (1/9)
acquire_integrate_share	0.22 (2/9)
template_share = cheap talk + culture	0.33 (3/9; sentences 1, 3, 7)
tailored_share = clarify + acquire&integrate	0.33 (3/9; sentences 4, 5, 6)
labeled_share (four categories combined)	0.67 (6/9; sentences 8-9 are sign-off, sentence 2 carries topics but no sub-category)
n_response_topics	6
topic_overlap_count (review $\cap$ response)	4
topic_overlap_negative_rate	0.67 (2 of 3 concerns engaged: working_conditions, career_further_training)
topic_overlap_positive_rate	0.67 (2 of 3 positives engaged: working_atmosphere, work_life_balance)
topic_engaged_career_further_training	1 (raised in review and addressed in response)
topic_engaged_tailored_career_further_training	1 (addressed via a tailored sentence)
concern_engaged_tailored_working_conditions	1 (concern; addressed via tailored sentence 6, concrete_actions)

Notes. Category counts use *unique-sentence aggregation* with the precedence rule of Panel A: each labeled sentence contributes once, to the highest stage of processing it evidences. This response contains no *defensive_explanations* or *neutral_clarifications* sentences; where such sentences appear, they fall under *Clarify* and therefore count toward the tailored total.

Panel E: Full Call 2 System Message

You are an expert annotator for firm responses to employee reviews on Kununu. You receive a review (with prior annotations) and the firm's response. Characterize the response.

INPUTS

- Review units with source labels -- Layer 1 (title + free-text positive/negative/suggestions fields) and Layer 2 (per-dimension supporting commentary, where the topic is given by the source label).
- Concerns list from prior annotation: topics with negative content
- Positives list from prior annotation: topics with positive content
- Firm response, sentences pre-segmented and numbered

OUTPUTS

1. Topic counts: for each topic with non-zero sentences, count + supporting_sentence_ids
 2. Sub-category counts: for each non-zero sub-category, count + supporting_sentence_ids + supporting_phrases
 3. Two engagement ratings (0-3) with brief justifications
- Count means the number of sentences carrying the label. A sentence may carry multiple labels (multi-coding); each labeled sentence counts once per label.

13 TOPICS (Kununu rating dimensions)

- working_atmosphere: general workplace mood, climate, or interpersonal vibe not specifically about supervisors, colleagues, equal treatment, or other categories below
- communication: information flow, transparency on results/decisions
- colleague_cohesion: how colleagues work together, honesty, directness
- work_life_balance: vacation, hours, family consideration
- supervisor_behavior: supervisors' conflict handling, goal-setting, employee involvement
- interesting_tasks: workload distribution, autonomy over one's work
- equal_rights: equal opportunities, treatment of returners
- dealing_with_older_colleagues: treatment of older or long-serving employees
- working_conditions: physical environment, equipment, lighting, noise
- environmental_social_awareness: employer's environmental and social responsibility
- salary_benefits: compensation, benefits, timely pay
- image: external perception, employees speaking well of the firm
- career_further_training: career prospects, training, development

Use "none" for off-topic content (greetings, general framing).

12 SUB-CATEGORIES

- appreciation: thanks the employee for THIS review or feedback (review-specific thanks)
- apologetic: apologizes for issues
- defensive_explanations: contests, justifies, or downplays reviewer claims. Distinct from neutral_clarifications because it serves to defend rather than inform.
- rm_valuing_feedback: a generic doctrinal claim that the firm values employee feedback in general -- not thanks for this particular review. Example: "we always welcome feedback from our employees." Distinct from appreciation -- if the sentence is direct thanks for THIS review, code only appreciation; do not also code rm_valuing_feedback unless the sentence adds a separate, generic claim about the firm's posture toward feedback.
- rm_culture_values: emphasizes culture, values, or awards instead of addressing feedback.

- substantive_acknowledgment: explicitly recognizes a concern as legitimate. Distinct from apology -- recognition of validity, not regret.
- seeking_conversation: invites dialogue (generic open invitation or specific request for detail)
- internal_channel_suggestion: directs the reviewer to internal channels (HR, management, named contacts) for resolution
- commitment_to_report: promises to escalate the issue internally
- abstract_improvement_promises: commits to improving general or intangible aspects without specifics ("we are working to improve our culture"). If the same statement is unanchored to the reviewer's concerns and reads as generic culture-emphasis, code as rm_culture_values instead.
- concrete_actions: a specific, observable step the firm is taking or has taken in response to feedback. The firm itself must be the actor (not a redirect asking the reviewer to contact someone -- that is internal_channel_suggestion). Markers of specificity (typical, not strict): a named project or policy, a specific scope (a named location, department, or population), a measurable target or quantity, or a time anchor (a year, period, deadline, or relative timing like "next month").
- neutral_clarifications: factual context or information about existing programs, policies, or actions already in place. Information-correction, not new engagement. If the sentence pushes back on a reviewer claim, code defensive_explanations.

SUPPORTING PHRASES

For each non-zero sub-category, provide phrases (5-15 words, taken directly from sentences) that justify the classification.

ENGAGEMENT RATINGS

concern_addressing_rating (0-3):

- 0: ignores all concerns; or no concerns existed
- 1: acknowledges concerns exist (apology/regret) but no substantive engagement with any
- 2: substantively engages with some concerns; others ignored or generic
- 3: substantively engages with most/all concerns

positive_amplification_rating (0-3):

- 0: no engagement with positives; or no positives existed
- 1: generic positive language without engaging specifics
- 2: engages with some specific positives
- 3: amplifies multiple specific positives, often as response focus

Justifications: 1-2 sentences referencing specific review and response content.

GENERAL

- Multi-coding allowed (a sentence may express multiple sub-categories or topics).
- Counts may exceed total sentences.
- Be conservative in sub-category assignment.
- Output only non-zero topics and sub-categories. Post-processing will fill zeros for missing items.
- The two ratings are independent.

Panel F: Full Call 2 JSON Schema

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                "seeking_conversation",
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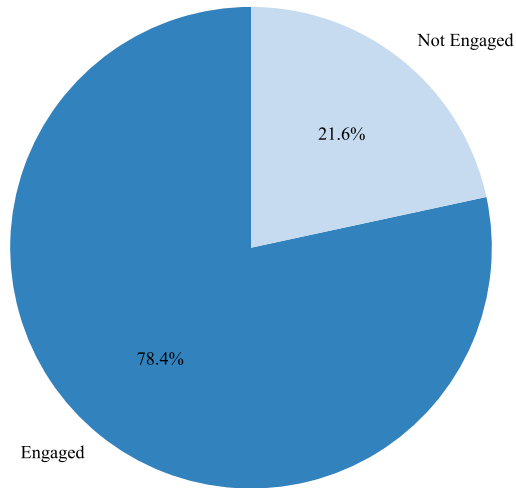
Appendix D. Supplementary Survey Analyses

- Figure D1. Firms' Engagement with Employee Review Platforms
- Figure D2. Variation in Firms' Response-to-Reviews by Firm Characteristics
- Figure D3. Firms' Incentives for Engaging with Employee Reviews
- Figure D4. Informativeness of Employee Reviews
- Figure D5. Follow-up Actions to Responses on Employee Reviews
- Table D1. Firms' Engagement with Employee Review Platforms
- Table D2. Variation in Firms' Response-to-Reviews by Firm Characteristics

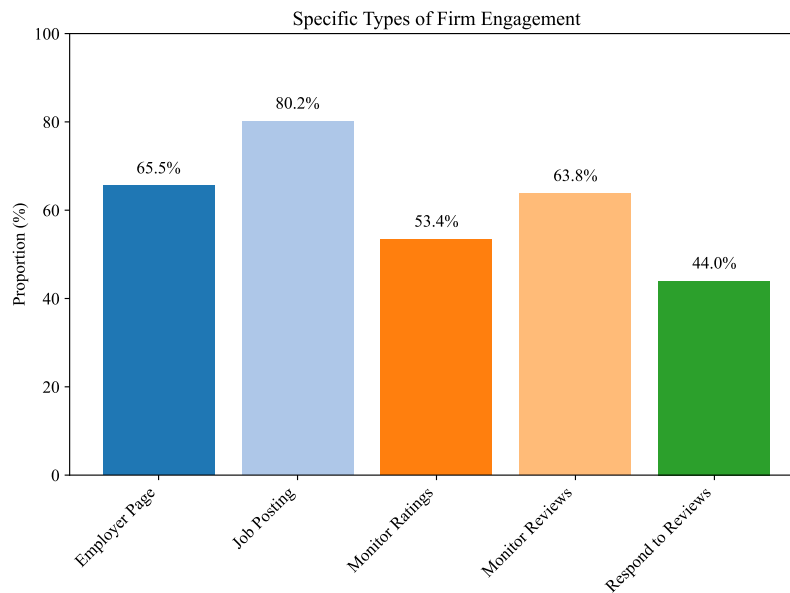
Figure D1. Firms' Engagement with Employee Review Platforms

Figure D1 presents HR participants' reports of engagement with employee Review platforms. Panel A shows the proportion of participants reporting that their firm engages with at least one platform function. Panel B shows, among these participants, the proportion reporting engagement with each specific function.

Overall Engagement on Employee Review Platforms



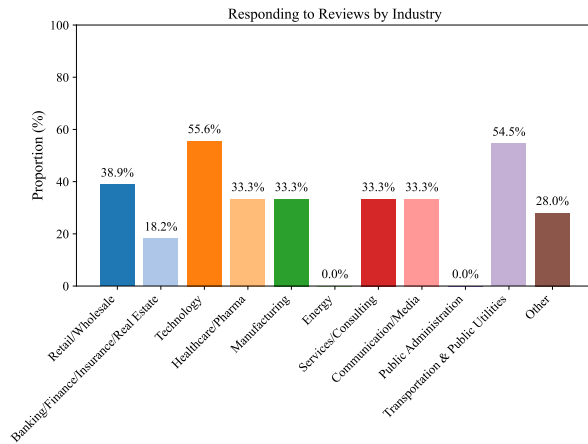
Panel A: Overall Engagement



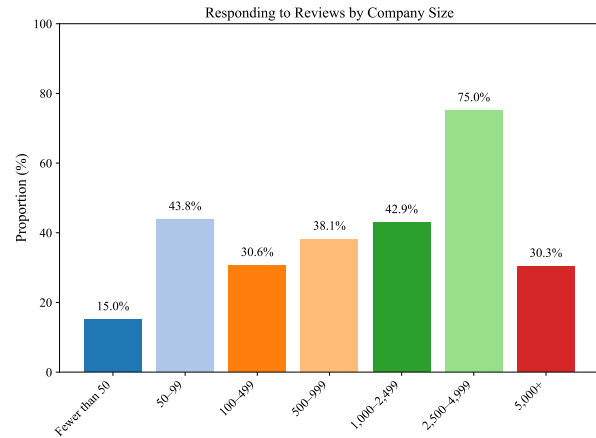
Panel B: Engagement by Function

Figure D2. Variation in Firms' Response-to-Reviews by Firm Characteristics

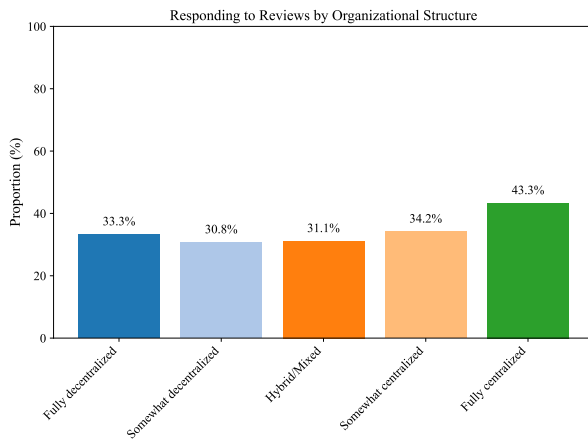
Figure D2 shows the variation in the proportion of participants reporting that their firm responds to employee reviews, across characteristics such as industry, firm size, organizational structure, employee turnover, employee voice, and the number of available voice channels.



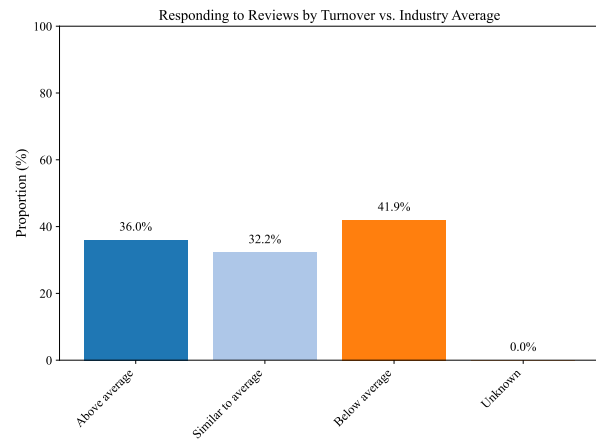
Panel A: By Industry



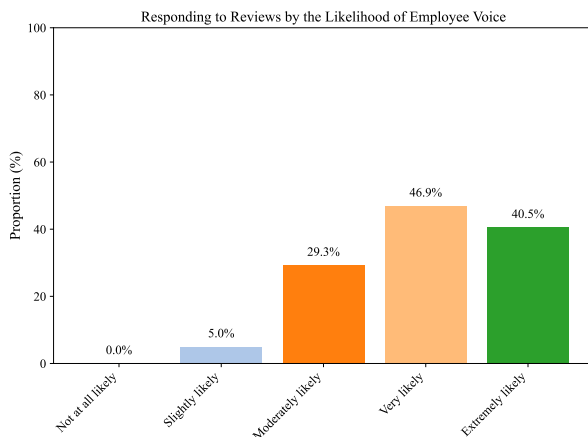
Panel B: By Firm Size



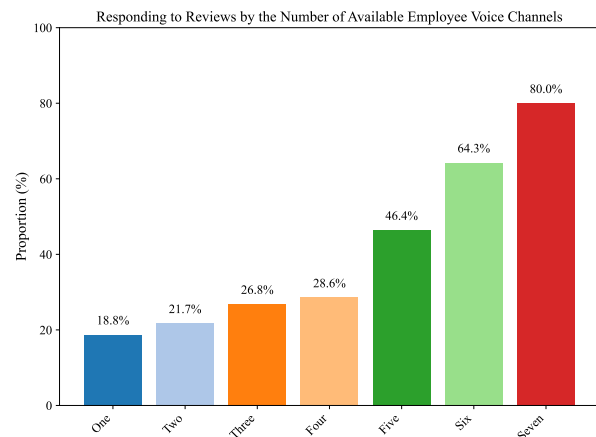
Panel C: By Organizational Structure



Panel D: By Employee Turnover



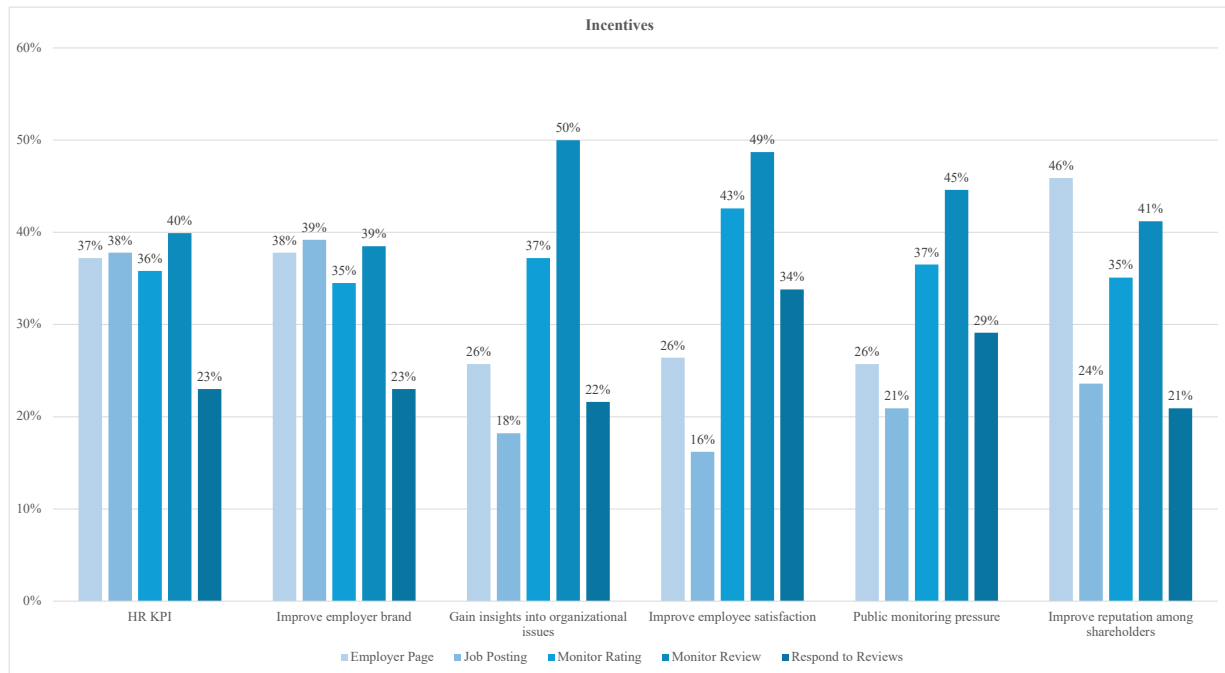
Panel E: By Employee Voice



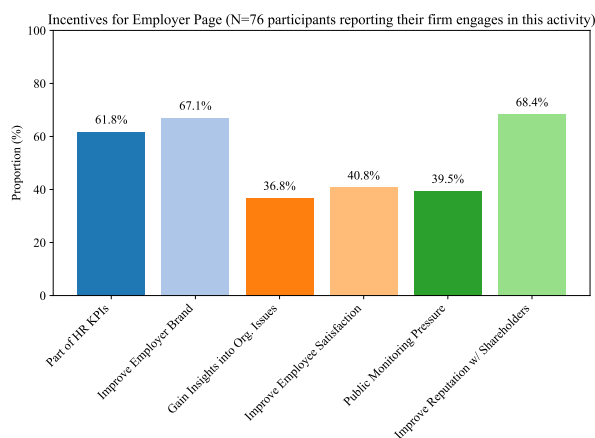
Panel F: By Available Voice Channels

Figure D3. Firms' Incentives for Engaging with Employee Reviews

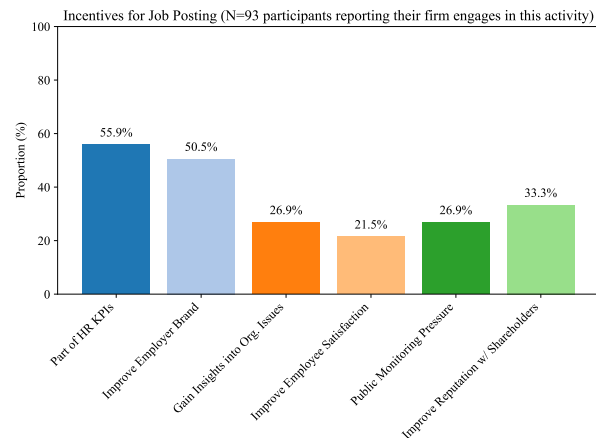
Figure D3 presents the distribution of incentives identified by HR participants for engaging with employee review platforms. The stacked plot displays the distribution of reported incentives across all five engagement types in the full sample. The subsequent plots show, for each specific engagement type, the proportion of participants reporting each incentive among those indicating that their firm uses that function.



Panel A: Full Sample: Incentives by Engagement Type (Stacked Proportions)

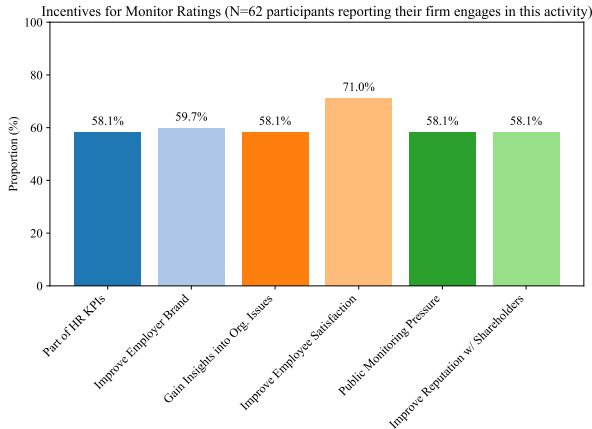


Panel B: Employer Page

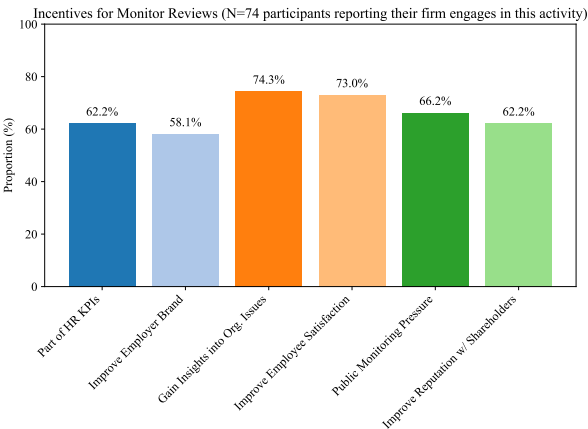


Panel C: Job Posting

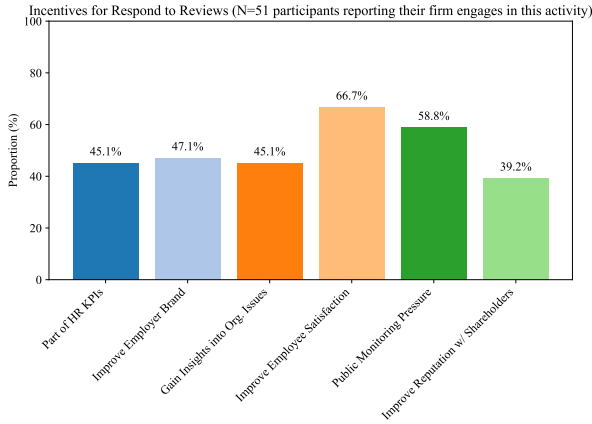
Figure D3: Firms' Incentives for Engaging with Employee Reviews (continued)



Panel C: Monitor Ratings



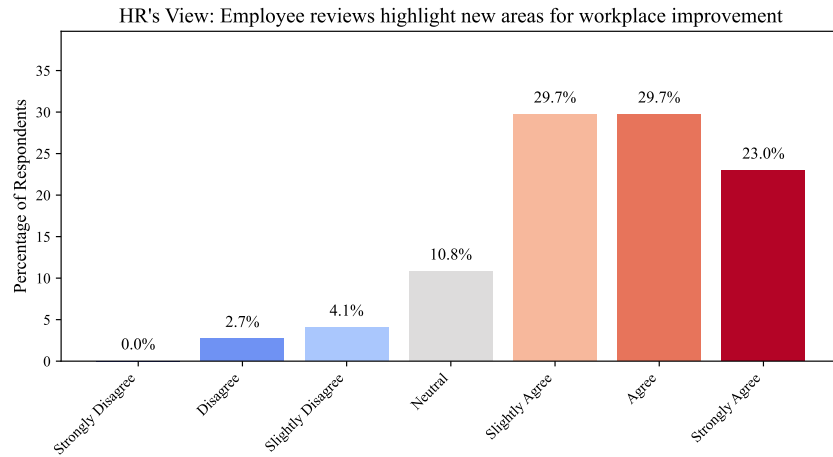
Panel D: Monitor Reviews



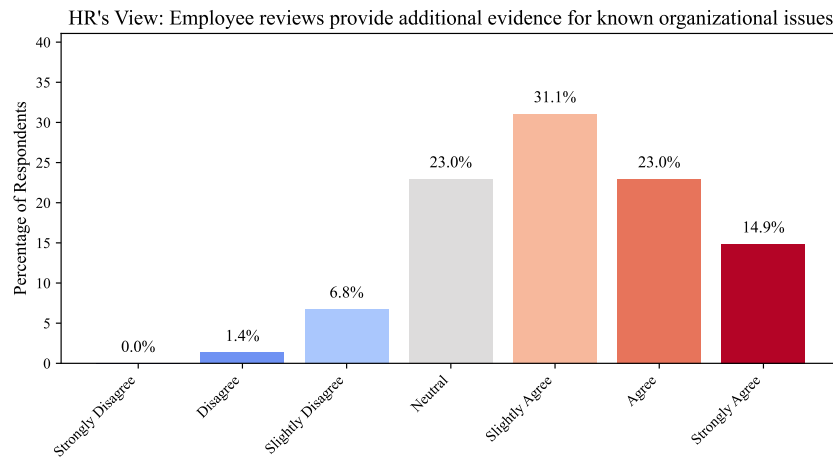
Panel E: Respond to Reviews

Figure D4. Informativeness of Employee Reviews

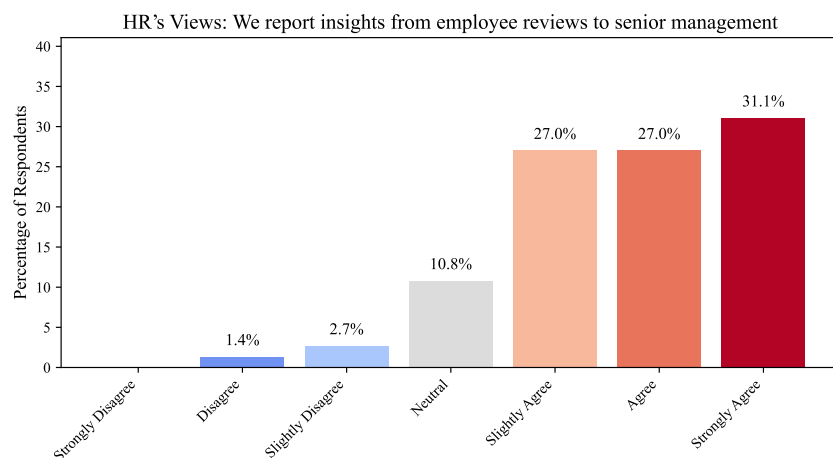
Figure D4 shows HR participants' views on the informativeness of employee reviews. Panel A reports the distribution of responses to whether employee reviews highlight new areas for workplace improvement. Panel B presents responses on whether reviews provide additional evidence for known organizational issues. Panel C reports the extent to which participants indicate that insights from employee reviews are reported to senior management.



Panel A: “Employee reviews highlight new areas for workplace improvement”



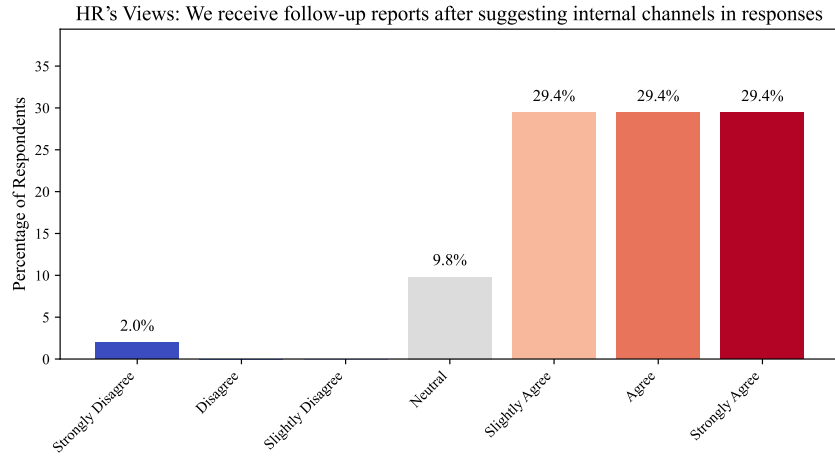
Panel B: “Employee reviews provide additional evidence for known organizational issues”



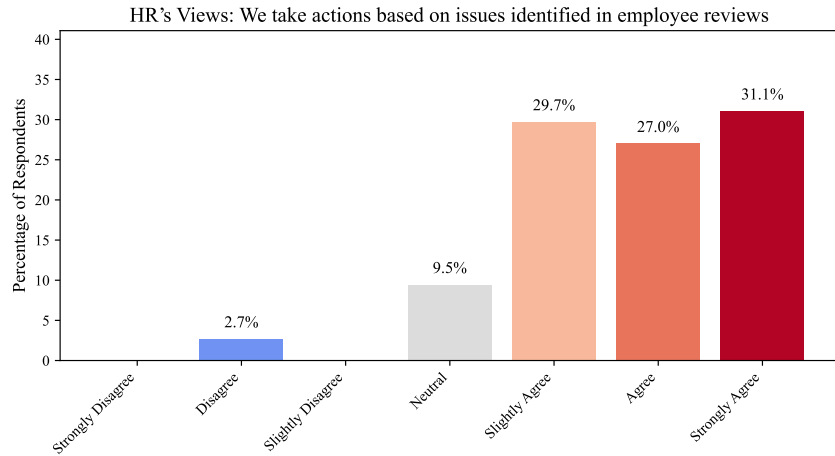
Panel C: “We report insights from employee reviews to senior management”

Figure D5. Follow-up Actions to Responses on Employee Reviews

This figure reports HR participants' views on whether firms take real actions after responding to employee reviews. Panel A shows the distribution of responses to whether firms take actions based on issues identified in reviews. Panel B shows the distribution of responses to whether firms receive follow-up reports when they suggest employees report concerns through internal channels.



Panel A: *“We receive follow-up reports when we suggest employees report their concerns through internal channels in the responses.”*



Panel B: *“We take actions based on issues identified in employee reviews.”*

Table D1. Firms' Engagement with Employee Review Platforms

Table D1 reports the number of survey participants whose firms engage with employee review platforms such as Glassdoor, Kununu, or Indeed. Panel rows distinguish between firms that engage versus those that do not engage. For the latter group, the table also shows engagement with specific platform functions, based on responses to the multi-option question: *“If yes, which aspects of employee review platforms does your company actively manage? (Select all that apply.)”* Options included: (i) Company Overview Page (posting firm information, values, benefits), (ii) Job Postings, (iii) Monitoring Employee Ratings, (iv) Monitoring Employee Reviews, (v) Responding to Employee Reviews, and (vi) Other (write-in). This table complements Figure D1 by presenting absolute counts rather than proportions, to illustrate scale.

Category	Number of Observations
Never Engaged	32
Ever Engaged	116
Employer Page	76
Job Posting	93
Monitor Ratings	62
Monitor Reviews	74
Respond to Reviews	51
Total Number of Observations	148

Table D2. Variation in Firms' Response-to-Reviews by Firm Characteristics

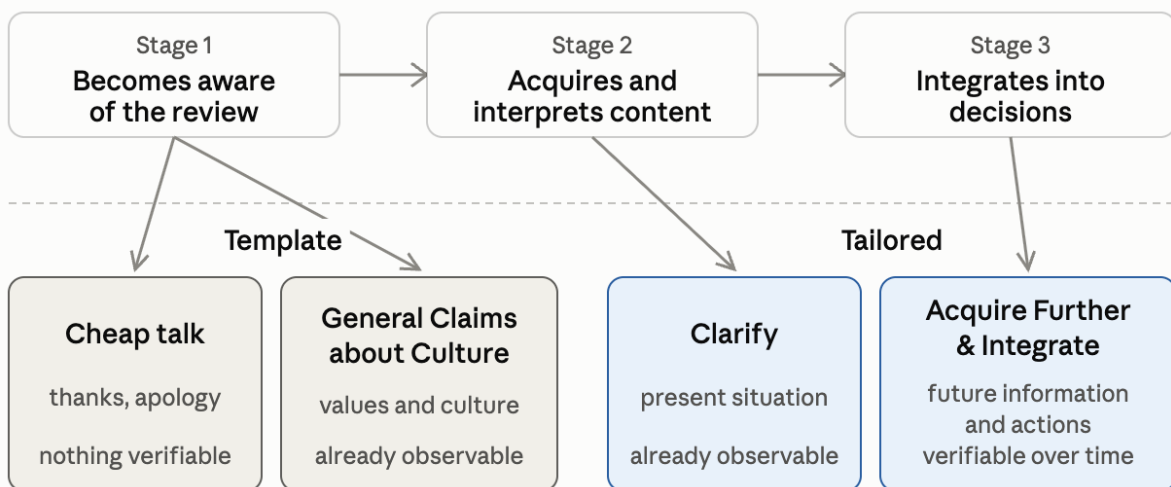
Table D2 reports the distribution of survey participants across categories of firm characteristics, along with the number of participants indicating that their firms respond to employee reviews in each category. The table complements Figure D2 by presenting absolute counts, which form the basis for the proportions displayed in that figure.

Category	Total N	Respond N	Respond N/Total N
<i>Panel A: By Industry</i>			
Retail/Wholesale	18	7	38.9%
Banking/Finance/Insurance/Real Estate	11	2	18.2%
Technology	18	10	55.6%
Healthcare/Pharma	21	7	33.3%
Manufacturing	15	5	33.3%
Energy	2	0	0.0%
Services/Consulting	15	5	33.3%
Communication/Media	6	2	33.3%
Public Administration	6	0	0.0%
Transportation & Public Utilities	11	6	54.5%
Other	25	7	28.0%
<i>Panel B: By Firm Size</i>			
Fewer than 50	20	3	15.0%
50–99	16	7	43.8%
100–499	36	11	30.6%
500–999	21	8	38.1%
1,000–2,499	14	6	42.9%
2,500–4,999	8	6	75.0%
5,000+	33	10	30.3%
<i>Panel C: By Organizational Structure</i>			
Fully decentralized	6	2	33.3%
Somewhat decentralized	13	4	30.8%
Hybrid/Mixed	61	19	31.1%
Somewhat centralized	38	13	34.2%
Fully centralized	30	13	43.3%
<i>Panel D: By Employee Turnover</i>			
Above average	25	9	36.0%
Similar to average	90	29	32.2%
Below average	31	13	41.9%
Unknown	2	0	0.0%
<i>Panel E: By Employee Voice</i>			
Not at all likely	1	0	0.0%
Slightly likely	20	1	5.0%
Moderately likely	41	12	29.3%
Very likely	49	23	46.9%
Extremely likely	37	15	40.5%
<i>Panel F: By Available Voice Channels</i>			
One	16	3	18.8%
Two	23	5	21.7%
Three	41	11	26.8%
Four	21	6	28.6%
Five	28	13	46.4%
Six	14	9	64.3%
Seven	5	4	80.0%

Figure 1. Firms' Processing Stages and Revealed Responses

This figure maps the firm's decisions on processing employee reviews onto the response types observable on the platform. The three stages above the dashed line are internal and unobservable to outside parties. The four response types below it are observed. The stage a firm reaches places an upper bound on the specificity its response can achieve, since a firm that has not acquired a review's content has nothing review-specific to say. *Template* responses evidence no acquisition of the review. They comprise *Cheap Talk*, which offers thanks or apology and asserts nothing employees can verify, and *General Claims about Culture*, which advances claims about the firm's values that employees can assess against their existing experience. *Tailored* responses evidence acquisition and divide according to how far the firm reaches. *Clarify* addresses the present situation, which employees can likewise already observe. *Acquire Further & Integrate* concerns information the firm does not yet hold and actions it has not yet taken. The third line in each box records when the response can be checked. Only *Acquire Further & Integrate* advances claims whose accuracy is determined by subsequent experience, and only it therefore exposes the firm to commitment cost. For brevity, the tables and the remainder of the draft refer to these four categories as *Cheap Talk*, *Culture*, *Clarify*, and *Acquire & Integrate*. The correspondence between stages and responses is imperfect. A firm may integrate a review without disclosing that it has done so, in which case the observed response understates how far the firm went.

Unobservable: the firm's decisions on processing the reviews



Observable: variations in firms' responses

A firm may integrate without disclosing, so a response is a lower bound on processing.

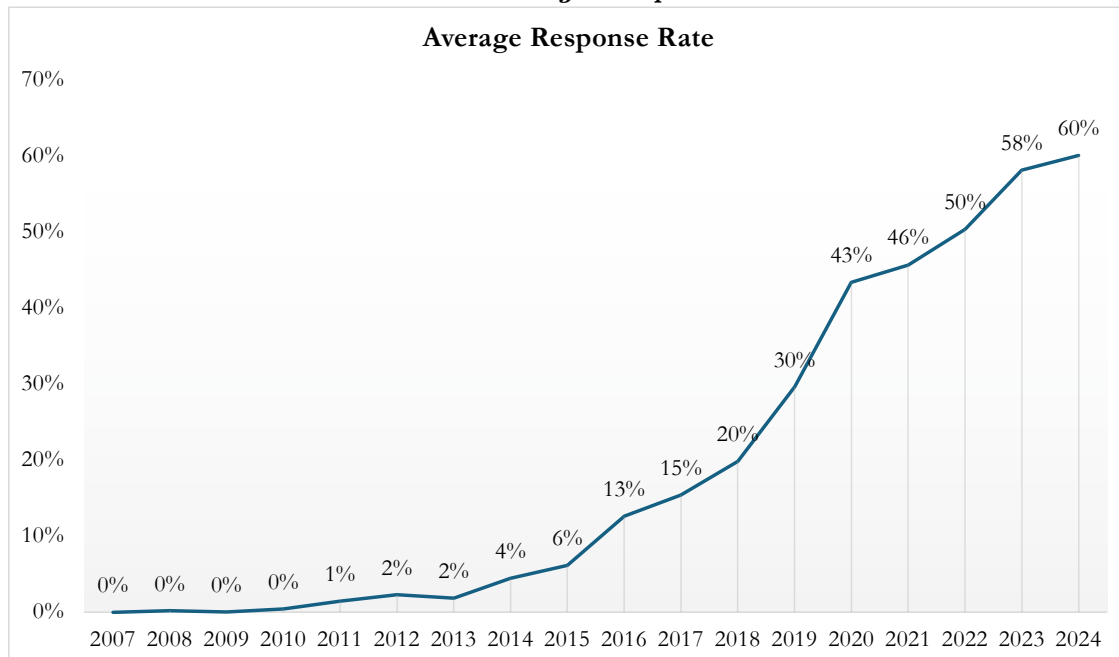
Figure 2. Firms' Responses to Employee Reviews Over Time

Figure 2 displays temporal patterns in firms' response behaviors from 2007 to 2024. Panel A shows the percentage of firms with at least one response. Panel B presents the average response rate across all firms. Panel C illustrates the average time taken to respond. Panel D shows the average word count per response.

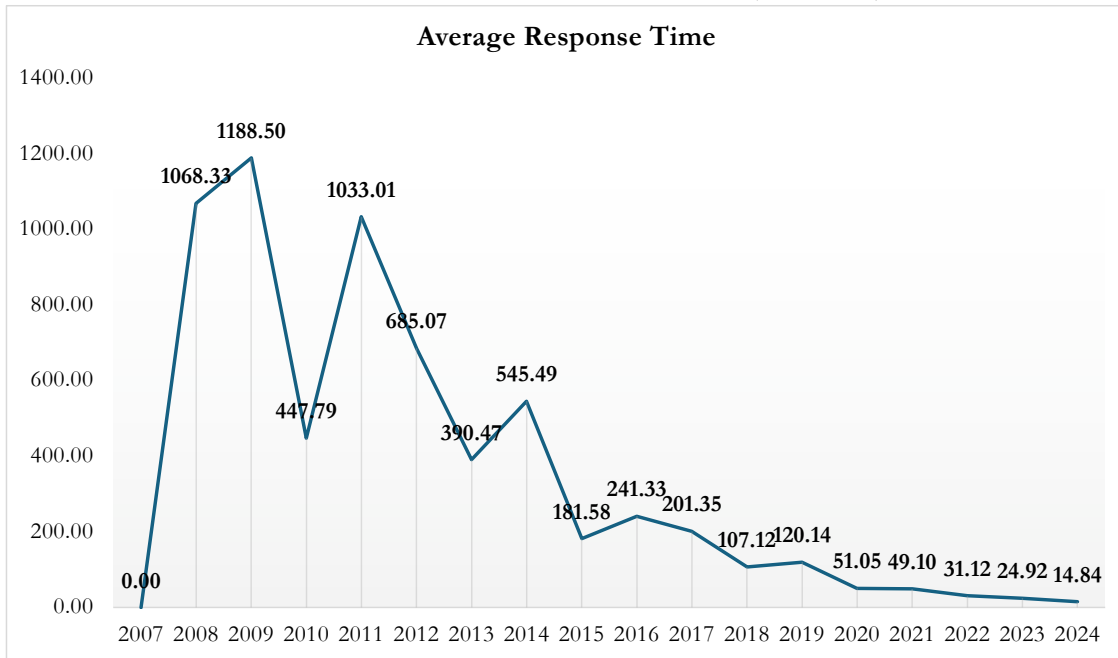
Panel A: Percentage of Firms with at Least One Response



Panel B: Average Response Rate



Panel C: Average Response Time (# Days)



Panel D: Average Response Length (# Words)

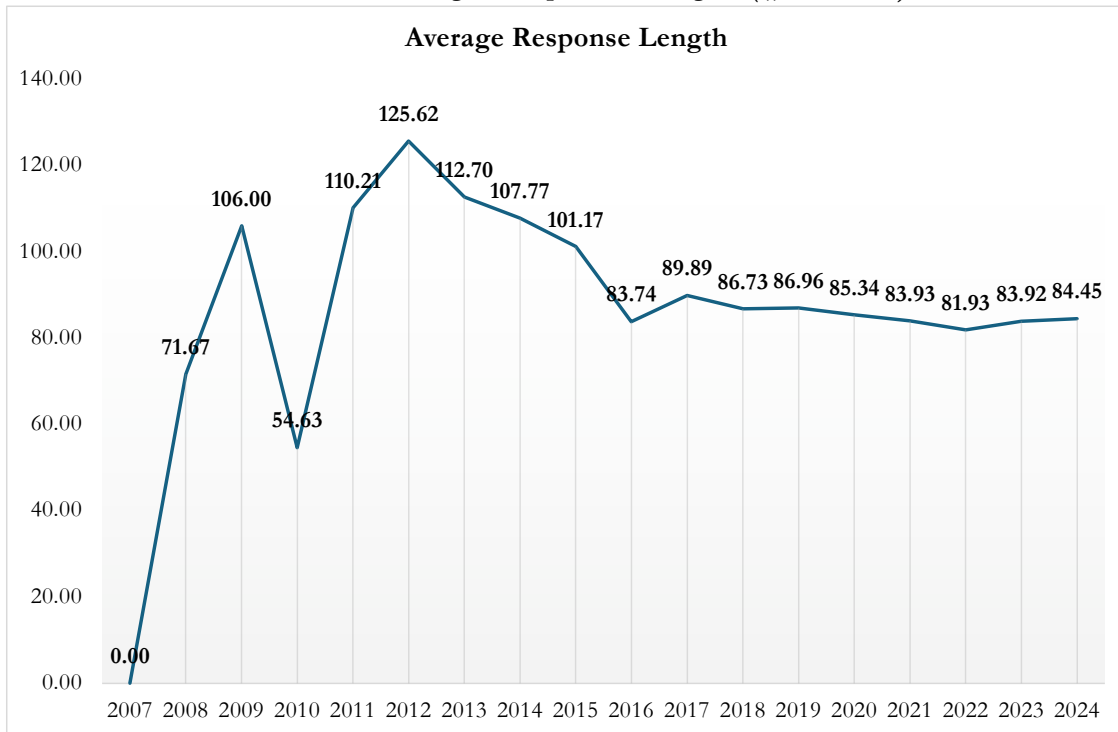
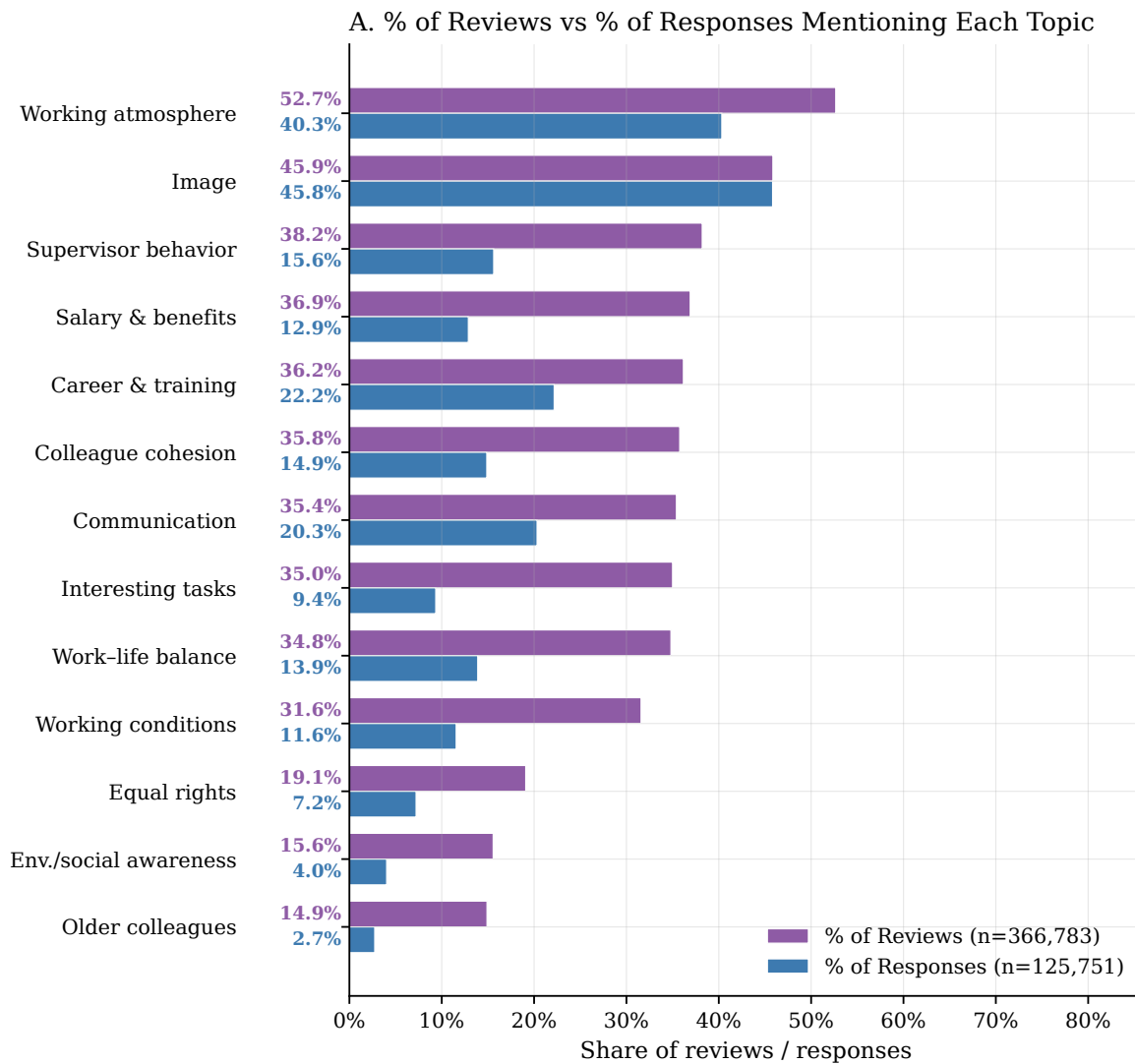


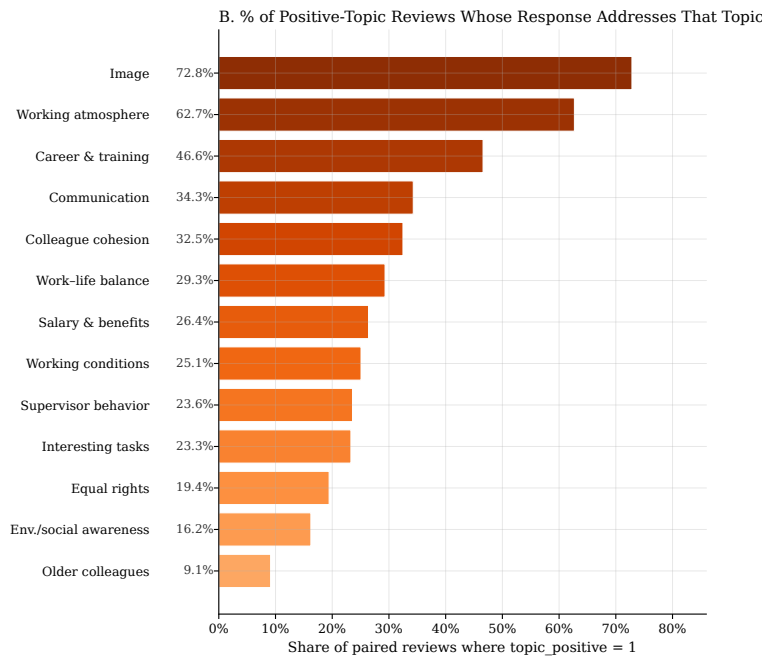
Figure 3. Topic Distribution: Reviews vs. Responses

Figure 3 presents the topic distribution across the 13 rating dimensions in employee reviews and firm responses. Panel A compares the share of reviews mentioning each topic with the share of responses mentioning each topic, with topics sorted by review prevalence. Panel B shows, among reviews mentioning a topic positively, the share whose response addresses that topic; topics are ranked high-to-low by rate. Panel C shows, among reviews raising a concern on a topic, the share whose response addresses that topic; topics are ranked high-to-low by rate.

Panel A: % of Reviews vs. % of Responses Mentioning Each Topic

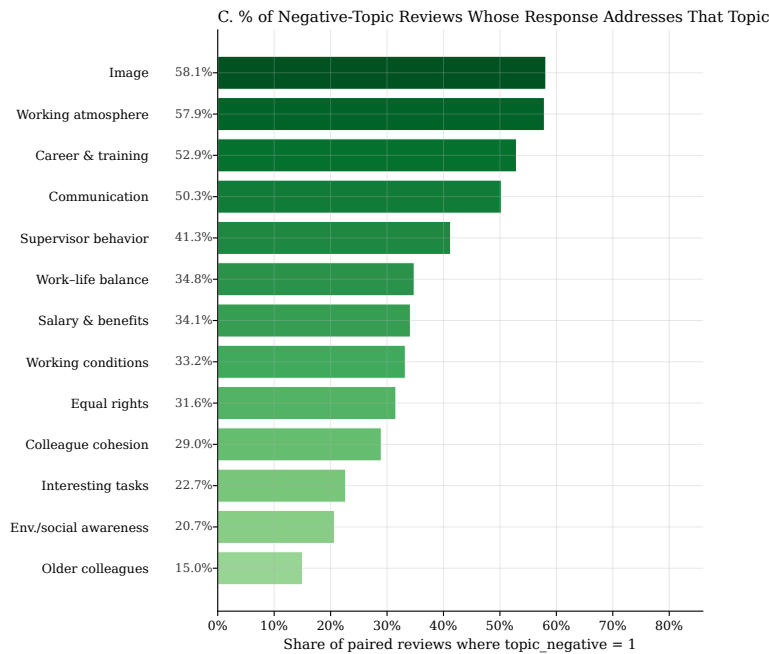


Panel B: Among Positive-Topic Reviews, % Whose Response Addresses That Topic



Denominator varies by topic: paired reviews where the review listed the topic as a positive (i.e., topic_positive_k = 1). Total paired reviews: 125,751. Ranked high-to-low by rate; darker bars = higher rate.

Panel C: Among Negative-Topic Reviews, % Whose Response Addresses That Topic

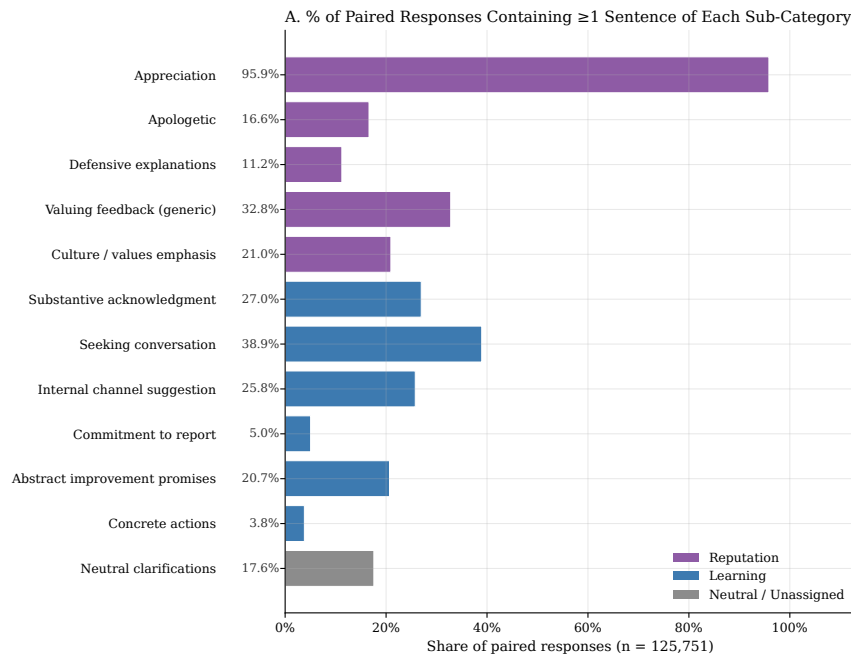


Denominator varies by topic: paired reviews where the review listed the topic as a concern (i.e., topic_negative_k = 1). Total paired reviews: 125,751. Ranked high-to-low by rate; darker bars = higher rate.

Figure 4. Distribution of Firms' Response Behaviors Across Sub-Categories

Figure 4 presents the distribution of firms' response behaviors across the 12 response sub-categories. Panel A shows the proportion of paired responses containing at least one sentence in each sub-category, in the order the sub-categories appear in the annotation instrument. Bars are colored by framework category: *Cheap Talk* (deep purple) and *Culture* (light purple) constitute template content, and *Clarify* (light blue) and *Acquire & Integrate* (deep blue) constitute tailored content. Panel B re-displays the same 12 sub-categories grouped into these four categories, with the template categories above and the tailored categories below. Within each category, sub-categories are sorted by share, and the deepest shade indicates the highest share within the block.

Panel A: All 12 Sub-Categories in Prompt Order



Panel B: Sub-Categories by Channel (Reputation vs. Learning)

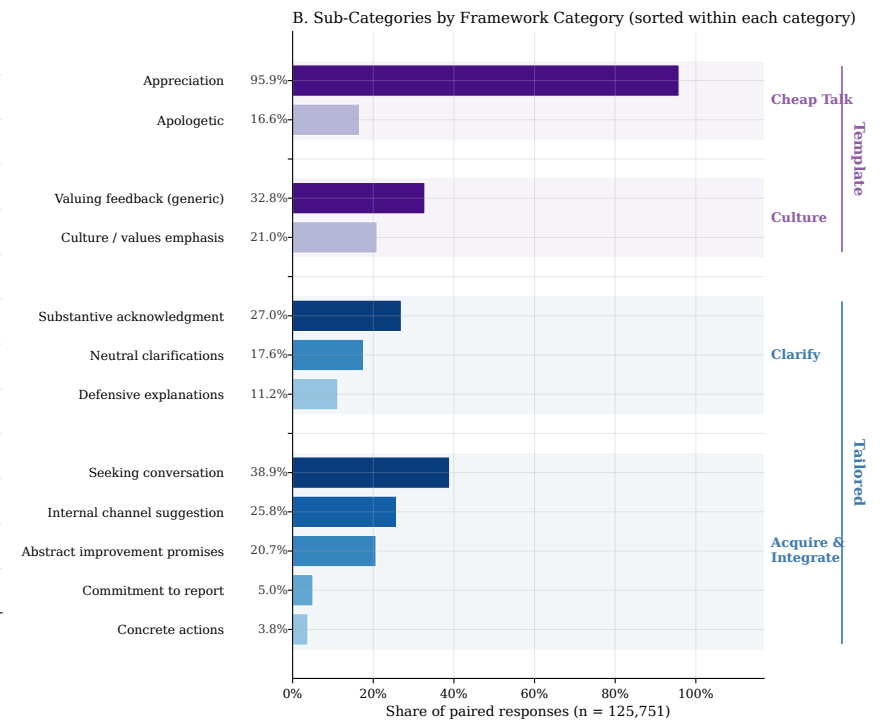


Table 1. Descriptive Statistics

Table 1 presents summary statistics for the variables used in this study, organized into five panels. Panel A reports response characteristics: the firm-year response rate; the two composition shares defined by whether a response presupposes reading the review (*Template Share* and *Tailored Share*); the four categories that partition them (*Cheap Talk Share* and *Culture Share* within template content, *Clarify Share* and *Acquire & Integrate Share* within tailored content); the two engagement ratings; and the share of response sentences carrying each of the 12 response sub-categories. Panel B reports review characteristics. Panel C reports employee satisfaction measures, including the recommendation rate, overall rating, and the 13 topic-level ratings. Panel D reports topic-level review and response characteristics: for each of the 13 rating dimensions, the share of the firm’s reviews in a year that raise a concern on that topic, and the share of the firm’s reviews in a year in which the review raises a concern on that topic and the response engages it. Panel E reports firm characteristics. The sample is at the firm-year level. All variables are defined in [Appendix A](#).

	N	Mean	SD	Min	Max	p1	p5	p10	p25	Median	p75	p99
<i>Panel A — Response Characteristics</i>												
<i>Response Rate</i>	3,825	0.216	0.332	0	1	0	0	0	0	0	0.352	1
<i>Template Share</i>	1,899	0.263	0.125	0	1	0	0.116	0.145	0.193	0.242	0.302	0.750
<i>Tailored Share</i>	1,899	0.292	0.141	0	1.000	0	0.100	0.131	0.199	0.270	0.370	0.714
<i>Cheap Talk Share</i>	1,899	0.193	0.119	0	1	0	0.062	0.094	0.129	0.167	0.224	0.715
<i>Culture Share</i>	1,899	0.070	0.051	0	0.500	0	0	0	0.038	0.064	0.095	0.250
<i>Clarify Share</i>	1,899	0.119	0.103	0	1	0	0	0.024	0.056	0.096	0.155	0.500
<i>Acquire & Integrate Share</i>	1,899	0.173	0.097	0	0.667	0	0.043	0.069	0.109	0.160	0.223	0.500
<i>Positive Amplification</i>	1,899	0.927	0.459	0	3	0	0	0.321	0.654	0.978	1.194	2
<i>Concern Addressing</i>	1,899	1.046	0.529	0	3	0	0.327	0.452	0.676	0.988	1.348	2.500
<i>Appreciation</i>	1,899	0.197	0.119	0	1	0	0.065	0.093	0.136	0.173	0.228	0.695
<i>Apologetic</i>	1,899	0.030	0.038	0	0.400	0	0	0	0.007	0.019	0.039	0.181
<i>Defensive Explanations</i>	1,899	0.044	0.069	0	1	0	0	0	0.004	0.019	0.053	0.306
<i>Valuing Feedback</i>	1,899	0.053	0.041	0	0.336	0	0	0	0.028	0.048	0.071	0.200
<i>Culture Values</i>	1,899	0.038	0.040	0	0.333	0	0	0	0.011	0.027	0.054	0.182
<i>Neutral Clarifications</i>	1,899	0.047	0.059	0	0.667	0	0	0	0.012	0.031	0.059	0.286
<i>Substantive Acknowledgment</i>	1,899	0.045	0.038	0	0.500	0	0	0	0.021	0.041	0.061	0.167
<i>Seeking Conversation</i>	1,899	0.085	0.065	0	0.500	0	0	0.013	0.040	0.073	0.118	0.292
<i>Internal Channel Suggestion</i>	1,899	0.049	0.049	0	0.400	0	0	0	0.017	0.038	0.067	0.250
<i>Commitment to Report</i>	1,899	0.010	0.025	0	0.500	0	0	0	0	0.002	0.010	0.125
<i>Abstract Improvement</i>	1,899	0.039	0.039	0	0.333	0	0	0	0.013	0.029	0.052	0.182
<i>Concrete Actions</i>	1,899	0.010	0.027	0	0.500	0	0	0	0	0.002	0.009	0.110

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	N	Mean	SD	Min	Max	p1	p5	p10	p25	Median	p75	p99
<i>Panel B — Review Characteristics</i>												
% Novel Reviews	3,825	0.070	0.181	0	1	0	0	0	0	0	0	1
<i>Panel C — Employee Satisfaction</i>												
Recommendation	3,826	0.812	0.184	0	1	0.326	0.478	0.548	0.684	0.833	1	1
Overall Rating	3,826	3.538	0.605	1	5	1.611	2.447	2.714	3.223	3.613	3.957	4.636
Working Atmosphere	3,826	3.529	0.725	1	5	1	2.100	2.585	3.161	3.629	4.010	4.874
Communication	3,825	3.300	0.667	1	5	1.222	2	2.467	2.961	3.342	3.736	4.729
Cohesion among Colleagues	3,826	3.881	0.533	1	5	2	3	3.250	3.634	3.962	4.215	5
Work-life Balance	3,824	3.404	0.725	1	5	1	2	2.464	3	3.500	3.912	4.781
Managerial Behavior	3,826	3.354	0.731	1	5	1	2	2.400	2.983	3.448	3.844	4.816
Interesting Tasks	3,826	3.638	0.624	1	5	1.500	2.500	2.861	3.316	3.738	4.045	4.848
Equality	3,825	3.778	0.638	1	5	1.500	2.623	3	3.486	3.867	4.188	5
Dealing with Older Colleagues	3,805	3.793	0.663	1	5	1.333	2.500	3	3.500	3.900	4.229	5
Working Conditions	3,823	3.592	0.640	1	5	1.516	2.444	2.802	3.250	3.667	4.011	4.936
Environmental/Social Awareness	3,808	3.543	0.679	1	5	1.167	2.294	2.667	3.186	3.641	4	4.889
Salary/Benefits	3,826	3.423	0.679	1	5	1.250	2.162	2.500	3.037	3.500	3.894	4.784
Image	3,825	3.527	0.726	1	5	1	2.167	2.555	3.122	3.600	4.024	5
Career/Further Education	3,824	3.321	0.698	1	5	1	2	2.444	2.986	3.414	3.785	4.800
<i>Panel D — Review and Response Characteristics by Topic</i>												
Concerns: Working Atmosphere	3,472	0.219	0.144	0	1	0	0	0.064	0.125	0.199	0.286	0.714
Concerns: Communication	3,408	0.264	0.146	0	1	0	0.071	0.105	0.173	0.250	0.333	1
Concerns: Cohesion among Colleagues	3,332	0.134	0.114	0	1	0	0	0.022	0.064	0.113	0.173	0.531
Concerns: Work-life Balance	3,317	0.196	0.138	0	1	0	0.021	0.057	0.100	0.171	0.259	0.667
Concerns: Managerial Behavior	3,454	0.272	0.159	0	1	0	0.065	0.097	0.168	0.250	0.339	1
Concerns: Interesting Tasks	3,357	0.170	0.120	0	1	0	0	0.045	0.096	0.154	0.218	0.529
Concerns: Equality	3,197	0.117	0.108	0	1	0	0	0.026	0.059	0.096	0.147	0.500
Concerns: Dealing with Older Colleagues	3,029	0.077	0.087	0	1	0	0	0	0.030	0.061	0.100	0.375
Concerns: Working Conditions	3,363	0.207	0.129	0	1	0	0.040	0.075	0.125	0.189	0.260	0.667
Concerns: Environmental/Social Awareness	3,046	0.073	0.071	0	1	0	0	0	0.028	0.057	0.100	0.333
Concerns: Salary/Benefits	3,399	0.237	0.158	0	1	0	0.042	0.077	0.132	0.212	0.311	1
Concerns: Image	3,510	0.185	0.138	0	1	0	0	0.031	0.097	0.165	0.250	0.667
Concerns: Career/Further Education	3,387	0.195	0.131	0	1	0	0.017	0.062	0.117	0.176	0.250	0.667
Concerns Engaged: Working Atmosphere	3,825	0.031	0.054	0	0.500	0	0	0	0	0	0.043	0.231
Concerns Engaged: Communication	3,825	0.033	0.055	0	0.423	0	0	0	0	0	0.051	0.232

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Continued

	N	Mean	SD	Min	Max	p1	p5	p10	p25	Median	p75	p99
<i>Concerns Engaged: Cohesion among Colleagues</i>	3,825	0.010	0.020	0	0.183	0	0	0	0	0	0.013	0.097
<i>Concerns Engaged: Work-life Balance</i>	3,825	0.016	0.033	0	0.348	0	0	0	0	0	0.020	0.144
<i>Concerns Engaged: Managerial Behavior</i>	3,825	0.026	0.047	0	0.500	0	0	0	0	0	0.035	0.209
<i>Concerns Engaged: Interesting Tasks</i>	3,825	0.009	0.019	0	0.222	0	0	0	0	0	0.011	0.085
<i>Concerns Engaged: Equality</i>	3,825	0.009	0.019	0	0.176	0	0	0	0	0	0.011	0.085
<i>Concerns Engaged: Dealing with Older Colleagues</i>	3,825	0.003	0.008	0	0.125	0	0	0	0	0	0	0.037
<i>Concerns Engaged: Working Conditions</i>	3,825	0.016	0.031	0	0.412	0	0	0	0	0	0.022	0.132
<i>Concerns Engaged: Environmental/Social Awareness</i>	3,825	0.004	0.012	0	0.167	0	0	0	0	0	0	0.053
<i>Concerns Engaged: Salary/Benefits</i>	3,825	0.019	0.037	0	0.333	0	0	0	0	0	0.026	0.161
<i>Concerns Engaged: Image</i>	3,825	0.027	0.046	0	0.500	0	0	0	0	0	0.041	0.196
<i>Concerns Engaged: Career/Further Education</i>	3,825	0.025	0.043	0	0.385	0	0	0	0	0	0.039	0.180
<i>Panel E — Firm Characteristics</i>												
<i>Attrition Rate</i>	1,194	0.222	0.096	0	0.850	0	0.086	0.114	0.162	0.210	0.272	0.477
<i>ROA</i>	1,815	4.128	6.946	-19.340	29.930	-19.340	-4.490	-0.900	0.570	3.380	6.730	29.770
<i>Log Assets</i>	2,074	21.466	2.770	10.006	27.239	15.347	17.029	17.998	19.489	21.399	23.632	27.004
<i>Log #Employees</i>	1,825	8.759	2.169	0	12.965	1.099	4.949	6.201	7.625	8.880	10.214	12.785
<i>Log #Reviews</i>	3,826	3.618	1.603	0	7.504	0	0.693	1.099	2.485	4.007	4.796	6.542

Table 2. Firm Characteristics and Response Composition

Table 2 reports the relationship between firm characteristics and the *composition* of firms' responses to employee reviews. Responses are classified first by whether they presuppose reading the review: a *Template* response can be written without reading it, whereas a *Tailored* response cannot. Each is then divided in two by what the sentence asserts. Within *Template*, *Cheap Talk* (appreciation, apology) asserts nothing that experience can verify, while *Culture* (valuing feedback, culture and values) makes claims about the firm that employees can already assess. Within *Tailored*, *Clarify* (neutral clarifications, defensive explanations, substantive acknowledgment) addresses the situation as it stands, while *Acquire & Integrate* (seeking conversation, internal channel suggestion, commitment to report, abstract improvement, concrete actions) seeks further information or commits the firm to act. The four categories are mutually exclusive, and their shares sum to the share of labeled response sentences. Panel A examines *Template Share* in columns (1)–(2) and *Tailored Share* in columns (3)–(4). Panel B examines the four categories separately: *Cheap Talk Share* in columns (1)–(2), *Culture Share* in (3)–(4), *Clarify Share* in (5)–(6), and *Acquire & Integrate Share* in (7)–(8). Within each dependent variable, the first column includes only the baseline firm controls (*ROA*, *Log Assets*, *Log #Employees*, *Log #Reviews*), and the second adds % *Novel Reviews*, *Recommendation*, and *Attrition Rate*. The sample period spans 2007–2024, with data at the firm-year level. All specifications include firm and year fixed effects. All variables are defined in [Appendix A](#). T-statistics, clustered by firm, are reported in parentheses below coefficient estimates. *, **, and *** denote statistical significance at the 10%, 5%, and 1% levels, respectively.

Panel A: Tailored vs. Template

	(1) <i>Template Share</i>	(2) <i>Template Share</i>	(3) <i>Tailored Share</i>	(4) <i>Tailored Share</i>
<i>% Novel Reviews</i>		0.195 (0.426)		0.029 (0.049)
<i>Recommendation</i>		0.055 (0.946)		-0.206*** (-3.256)
<i>Attrition Rate</i>		0.107* (1.998)		-0.036 (-0.650)
<i>ROA</i>	-0.001 (-0.967)	-0.001 (-1.273)	-0.001 (-0.588)	-0.000 (-0.061)
<i>Log Assets</i>	-0.027 (-1.059)	-0.030 (-0.777)	0.047 (1.595)	0.052 (1.010)
<i>Log #Employees</i>	0.003 (0.243)	-0.000 (-0.009)	0.005 (0.326)	0.016 (0.581)
<i>Log #Reviews</i>	0.017 (1.531)	0.007 (0.384)	-0.041*** (-3.291)	0.009 (0.282)
<i>Constant</i>	0.749 (1.434)	0.824 (0.996)	-0.553 (-0.950)	-0.856 (-0.729)
<i>Observations</i>	857	361	857	361
<i>R-squared</i>	0.525	0.446	0.480	0.457
Year FE	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES

Panel B: Four Response Compositions

	(1) <i>Cheap Talk Share</i>	(2) <i>Cheap Talk Share</i>	(3) <i>Culture Share</i>	(4) <i>Culture Share</i>	(5) <i>Clarify Share</i>	(6) <i>Clarify Share</i>	(7) <i>Acquire & Integrate Share</i>	(8) <i>Acquire & Integrate Share</i>
<i>% Novel Reviews</i>		0.825** (2.323)		-0.630** (-2.497)		-0.791 (-1.642)		0.820** (2.119)
<i>Recommendation</i>		0.029 (0.552)		0.025 (1.008)		-0.088* (-1.676)		-0.119** (-2.549)
<i>Attrition Rate</i>		0.135** (2.208)		-0.028 (-1.544)		0.041 (1.016)		-0.077** (-2.193)
<i>ROA</i>	-0.000 (-0.358)	-0.002 (-1.665)	-0.001 (-1.248)	0.000 (0.135)	-0.000 (-0.004)	0.001 (0.391)	-0.001 (-0.738)	-0.001 (-0.615)
<i>Log Assets</i>	-0.029 (-1.359)	-0.032 (-0.911)	0.001 (0.151)	0.001 (0.117)	0.010 (0.418)	-0.015 (-0.358)	0.037** (1.992)	0.066** (2.246)
<i>Log #Employees</i>	-0.001 (-0.112)	-0.017 (-0.774)	0.004 (0.736)	0.016** (2.241)	0.017* (1.661)	0.059*** (2.998)	-0.013 (-1.087)	-0.044** (-2.108)
<i>Log #Reviews</i>	0.011 (1.216)	-0.003 (-0.157)	0.006 (1.018)	0.010 (1.199)	-0.022** (-2.206)	-0.009 (-0.307)	-0.018** (-2.316)	0.017 (1.021)
<i>Constant</i>	0.768* (1.789)	0.993 (1.387)	-0.019 (-0.107)	-0.169 (-0.895)	-0.133 (-0.291)	-0.007 (-0.008)	-0.420 (-1.168)	-0.849 (-1.311)
<i>Observations</i>	857	361	857	361	857	361	857	361
<i>R-squared</i>	0.579	0.496	0.315	0.380	0.416	0.439	0.405	0.376
<i>Year FE</i>	YES	YES	YES	YES	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES	YES	YES	YES	YES

Table 3. Response Rate and the Change in Employee Satisfaction

Table 3 presents the association between firms' response rate to employee reviews and changes in employee satisfaction ratings. *Recommendation Rate* is the average percentage of reviews that recommend the firm in year t . *Overall Rating* represents the firm-year average overall rating. The dependent variables in columns (1) and (2) are the difference in *Recommendation Rate* between year $t + 1$ and year t . The dependent variables in columns (3) and (4) are the difference in *Overall Rating* between year $t + 1$ and year t . Columns (1) and (3) include no controls; columns (2) and (4) include the baseline firm controls (ROA, Log Assets, Log #Employees, Log #Reviews). The sample period spans 2007–2024, with data at the firm-year level. All specifications include firm and year fixed effects. All variables are defined in [Appendix A](#). T-statistics, clustered by firm, are reported in parentheses below coefficient estimates. *, **, and *** denote statistical significance at the 10%, 5%, and 1% levels, respectively.

	(1)	(2)	(3)	(4)
	<i>Recommendation</i>	<i>Recommendation</i>	<i>Overall</i>	<i>Overall</i>
	<i>Rate</i>	<i>Rate</i>	<i>Rating</i>	<i>Rating</i>
	<i>T+1-T</i>	<i>T+1-T</i>	<i>T+1-T</i>	<i>T+1-T</i>
<i>Response Rate</i>	0.014*	0.019	0.045*	0.047
	(1.763)	(1.591)	(1.811)	(1.273)
<i>ROA</i>		0.000		0.002
		(0.333)		(0.767)
<i>Log Assets</i>		-0.011		-0.066
		(-1.381)		(-1.548)
<i>Log #Employees</i>		-0.003		0.006
		(-0.638)		(0.201)
<i>Log #Reviews</i>		-0.013***		-0.088***
		(-2.649)		(-3.521)
<i>Constant</i>	-0.022***	0.305*	0.028***	1.751**
	(-14.302)	(1.913)	(5.892)	(2.286)
<i>Observations</i>	3,535	1,608	3,535	1,608
<i>R-squared</i>	0.138	0.171	0.076	0.154
Year FE	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES

Table 4. Tailored Responses and the Change in Employee Satisfaction

Table 4 examines whether responses that require processing the content of the review are associated with changes in employee satisfaction. Panel A reports the interaction between *Response Rate* and *High Tailored*, an indicator equal to one if the firm-year *Tailored Share* is above the sample median and zero otherwise, i.e., firms whose responses are disproportionately weighted toward behaviors that could not have been written without reading the review. Panel B splits *Tailored* into its two categories: columns (1)–(4) report the interaction with *High Clarify*, which captures tailored responses that describe or contest the existing state of affairs without committing the firm to anything (neutral clarifications, defensive explanations, substantive acknowledgment); columns (5)–(8) report the interaction with *High Acquire & Integrate*, which captures tailored responses that seek additional information or commit to acting on it (seeking conversation, internal channel suggestion, commitment to report, abstract improvement, concrete actions). Panel C reports results using *Concern Addressing* as the independent variable, defined as the firm-year mean of the response-level 0–3 rating capturing how substantively the firm response engages with the concerns raised in the review. As in Table 3, the dependent variable is the difference in *Recommendation Rate* between year $t + 1$ and year t in the first two columns of each block, and the difference in *Overall Rating* over the same interval in the next two. Even-numbered columns within each block include the baseline firm controls (ROA, Log Assets, Log #Employees, Log #Reviews). The sample period spans 2007–2024, with data at the firm-year level. All specifications include firm and year fixed effects. All variables are defined in Appendix A. T-statistics, clustered by firm, are reported in parentheses below coefficient estimates. *, **, and *** denote statistical significance at the 10%, 5%, and 1% levels, respectively.

Panel A: *Response Rate* $\times$ *High Tailored*

	(1) <i>Recommendation Rate T+1-T</i>	(2) <i>Recommendation Rate T+1-T</i>	(3) <i>Overall Rating T+1-T</i>	(4) <i>Overall Rating T+1-T</i>
<i>High Tailored</i> # <i>Response Rate</i>	0.028* (1.673)	0.053** (2.035)	0.115** (2.241)	0.185** (2.398)
<i>Response Rate</i>	0.018 (1.245)	0.009 (0.450)	0.042 (1.082)	-0.013 (-0.221)
<i>High Tailored</i>	0.005 (0.496)	0.003 (0.176)	0.011 (0.389)	0.003 (0.074)
<i>ROA</i>		0.001 (1.553)		0.004* (1.776)
<i>Log Assets</i>		-0.026 (-1.538)		-0.055 (-1.231)
<i>Log #Employees</i>		0.005 (0.425)		0.021 (0.773)
<i>Log #Reviews</i>		-0.050*** (-4.065)		-0.148*** (-3.924)
<i>Constant</i>	-0.024*** (-2.801)	0.716** (2.372)	-0.022 (-0.931)	1.677** (2.048)
<i>Observations</i>	1,686	857	1,686	857
<i>R-squared</i>	0.144	0.196	0.108	0.165
Year FE	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES

Panel B: Response Rate $\times$ High Clarify (Columns 1–4) and $\times$ High Acquire & Integrate (Columns 5–8)

	(1) <i>Recommendation Rate T+1-T</i>	(2) <i>Recommendation Rate T+1-T</i>	(3) <i>Overall Rating T+1-T</i>	(4) <i>Overall Rating T+1-T</i>	(5) <i>Recommendation Rate T+1-T</i>	(6) <i>Recommendation Rate T+1-T</i>	(7) <i>Overall Rating T+1-T</i>	(8) <i>Overall Rating T+1-T</i>
<i>High Clarify#Response Rate</i>	0.047*** (2.943)	0.058** (2.370)	0.132*** (2.987)	0.176** (2.488)				
<i>High Acquire & Integrate#Response Rate</i>					0.038** (2.295)	0.104*** (4.020)	0.145*** (2.785)	0.317*** (4.110)
<i>Response Rate</i>	0.007 (0.487)	0.004 (0.181)	0.022 (0.550)	-0.026 (-0.457)	0.014 (0.981)	-0.012 (-0.591)	0.034 (0.836)	-0.067 (-1.137)
<i>High Clarify</i>	-0.001 (-0.078)	0.005 (0.335)	-0.002 (-0.056)	0.006 (0.155)				
<i>High Acquire & Integrate</i>					0.009 (0.959)	-0.011 (-0.845)	0.037 (1.350)	-0.025 (-0.678)
<i>ROA</i>		0.002 (1.646)		0.005* (1.920)		0.002* (1.680)		0.005* (1.909)
<i>Log Assets</i>		-0.027 (-1.599)		-0.057 (-1.288)		-0.023 (-1.342)		-0.047 (-1.024)
<i>Log #Employees</i>		0.005 (0.490)		0.023 (0.848)		0.004 (0.393)		0.021 (0.726)
<i>Log #Reviews</i>		-0.051*** (-4.132)		-0.153*** (-3.995)		-0.046*** (-3.920)		-0.137*** (-3.732)
<i>Constant</i>	-0.020** (-2.335)	0.737** (2.460)	-0.012 (-0.497)	1.727** (2.131)	-0.027*** (-3.533)	0.649** (2.099)	-0.039* (-1.842)	1.465* (1.753)
<i>Observations</i>	1,686	857	1,686	857	1,686	857	1,686	857
<i>R-squared</i>	0.147	0.200	0.108	0.166	0.149	0.208	0.118	0.181
<i>Year FE</i>	YES	YES	YES	YES	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES	YES	YES	YES	YES

Panel C: Concern Addressing

	(1)	(2)	(3)	(4)
	<i>Recommendation</i>	<i>Recommendation</i>	<i>Overall</i>	<i>Overall</i>
	<i>Rate</i>	<i>Rate</i>	<i>Rating</i>	<i>Rating</i>
	<i>T+1-T</i>	<i>T+1-T</i>	<i>T+1-T</i>	<i>T+1-T</i>
<i>Concern Addressing</i>	0.027*** (3.552)	0.022** (2.275)	0.069*** (3.037)	0.052** (2.082)
<i>ROA</i>		0.002* (1.943)		0.005** (2.178)
<i>Log Assets</i>		-0.030* (-1.794)		-0.065 (-1.414)
<i>Log #Employees</i>		0.007 (0.608)		0.026 (0.926)
<i>Log #Reviews</i>		-0.051*** (-4.115)		-0.153*** (-3.993)
<i>Constant</i>	-0.039*** (-4.834)	0.791** (2.601)	-0.057** (-2.338)	1.819** (2.194)
<i>Observations</i>	1,686	857	1,686	857
<i>R-squared</i>	0.147	0.192	0.107	0.158
Year FE	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES

Table 5. Template Responses and the Change in Employee Satisfaction

Table 5 examines whether responses that could have been written without reading the review are associated with changes in employee satisfaction. Panel A reports the interaction between *Response Rate* and *High Template*, an indicator equal to one if the firm-year *Template Share* is above the sample median and zero otherwise, i.e., firms whose responses are disproportionately weighted toward behaviors that evidence no processing of the review's content. Panel B splits *Template* into its two categories: columns (1)–(4) report the interaction with *High Cheap Talk*, which captures template responses that assert nothing that experience can verify (appreciation, apology); columns (5)–(8) report the interaction with *High Culture*, which captures template responses that make claims about the firm's culture and values that employees can assess against what they already observe (valuing feedback, culture and values). Panel C reports results using *Positive Amplification* as the independent variable, defined as the firm-year mean of the response-level 0–3 rating capturing how substantively the firm response amplifies the positives raised in the review. As in Table 3 and Table 4, the dependent variable is the difference in *Recommendation Rate* between year $t + 1$ and year t in the first two columns of each block, and the difference in *Overall Rating* over the same interval in the next two. Even-numbered columns within each block include the baseline firm controls (ROA, Log Assets, Log #Employees, Log #Reviews). The sample period spans 2007–2024, with data at the firm-year level. All specifications include firm and year fixed effects. All variables are defined in Appendix A. T-statistics, clustered by firm, are reported in parentheses below coefficient estimates. *, **, and *** denote statistical significance at the 10%, 5%, and 1% levels, respectively.

Panel A: *Response Rate* $\times$ *High Template*

	(1) <i>Recommendation Rate T+1-T</i>	(2) <i>Recommendation Rate T+1-T</i>	(3) <i>Overall Rating T+1-T</i>	(4) <i>Overall Rating T+1-T</i>
<i>High Template</i> # <i>Response Rate</i>	-0.057*** (-3.116)	-0.100*** (-3.345)	-0.163*** (-2.981)	-0.302*** (-3.733)
<i>Response Rate</i>	0.055*** (3.435)	0.071*** (3.013)	0.159*** (3.315)	0.182*** (2.683)
<i>High Template</i>	0.011 (1.154)	0.028** (2.232)	0.025 (0.908)	0.089*** (2.695)
<i>ROA</i>		0.002* (1.890)		0.005** (2.222)
<i>Log Assets</i>		-0.023 (-1.327)		-0.046 (-0.998)
<i>Log #Employees</i>		0.004 (0.359)		0.019 (0.689)
<i>Log #Reviews</i>		-0.051*** (-4.230)		-0.154*** (-4.079)
<i>Constant</i>	-0.025*** (-3.887)	0.661** (2.094)	-0.022 (-1.205)	1.502* (1.751)
<i>Observations</i>	1,686	857	1,686	857
<i>R-squared</i>	0.147	0.203	0.108	0.172
<i>Year FE</i>	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES

Panel B: Response Rate $\times$ High Cheap Talk (Columns 1–4) and $\times$ High Culture (Columns 5–8)

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
	<i>Recommendation</i>	<i>Recommendation</i>	<i>Overall</i>	<i>Overall</i>	<i>Recommendation</i>	<i>Recommendation</i>	<i>Overall</i>	<i>Overall</i>
	<i>Rate</i>	<i>Rate</i>	<i>Rating</i>	<i>Rating</i>	<i>Rate</i>	<i>Rate</i>	<i>Rating</i>	<i>Rating</i>
	<i>T+1-T</i>	<i>T+1-T</i>	<i>T+1-T</i>	<i>T+1-T</i>	<i>T+1-T</i>	<i>T+1-T</i>	<i>T+1-T</i>	<i>T+1-T</i>
<i>High Cheap Talk#Response Rate</i>	-0.028 (-1.528)	-0.052 (-1.568)	-0.089* (-1.776)	-0.183** (-2.137)				
<i>High Culture#Response Rate</i>					-0.019 (-1.001)	-0.022 (-0.716)	-0.063 (-1.236)	-0.071 (-0.898)
<i>Response Rate</i>	0.041** (2.520)	0.052** (2.064)	0.125*** (2.857)	0.138** (2.006)	0.033** (2.076)	0.031 (1.276)	0.099** (2.291)	0.063 (1.005)
<i>High Cheap Talk</i>	-0.004 (-0.395)	-0.002 (-0.163)	-0.015 (-0.535)	0.001 (0.017)				
<i>High Culture</i>					0.008 (0.805)	0.009 (0.659)	0.024 (0.879)	0.034 (0.969)
<i>ROA</i>		0.001 (1.583)		0.005* (1.878)		0.002* (1.748)		0.005** (2.056)
<i>Log Assets</i>		-0.023 (-1.367)		-0.047 (-1.023)		-0.024 (-1.439)		-0.052 (-1.133)
<i>Log #Employees</i>		0.004 (0.397)		0.020 (0.716)		0.005 (0.411)		0.021 (0.741)
<i>Log #Reviews</i>		-0.051*** (-4.073)		-0.152*** (-3.937)		-0.053*** (-4.383)		-0.159*** (-4.183)
<i>Constant</i>	-0.018*** (-2.904)	0.680** (2.173)	-0.005 (-0.293)	1.542* (1.807)	-0.023*** (-3.413)	0.706** (2.273)	-0.021 (-1.132)	1.647* (1.953)
<i>Observations</i>	1,686	857	1,686	857	1,686	857	1,686	857
<i>R-squared</i>	0.144	0.196	0.106	0.166	0.141	0.189	0.102	0.155
<i>Year FE</i>	YES	YES	YES	YES	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES	YES	YES	YES	YES

Panel C: Positive Amplification

	(1)	(2)	(3)	(4)
	<i>Recommendation</i>	<i>Recommendation</i>	<i>Overall</i>	<i>Overall</i>
	<i>Rate</i>	<i>Rate</i>	<i>Rating</i>	<i>Rating</i>
	<i>T+1-T</i>	<i>T+1-T</i>	<i>T+1-T</i>	<i>T+1-T</i>
<i>Positive Amplification</i>	-0.041*** (-5.880)	-0.039*** (-3.623)	-0.120*** (-5.486)	-0.122*** (-4.316)
<i>ROA</i>		0.002* (1.840)		0.005** (2.043)
<i>Log Assets</i>		-0.030* (-1.841)		-0.068 (-1.548)
<i>Log #Employees</i>		0.006 (0.543)		0.024 (0.933)
<i>Log #Reviews</i>		-0.051*** (-4.301)		-0.153*** (-4.156)
<i>Constant</i>	0.027*** (4.269)	0.860*** (2.819)	0.125*** (6.345)	2.081** (2.526)
<i>Observations</i>	1,686	857	1,686	857
<i>R-squared</i>	0.155	0.201	0.117	0.172
Year FE	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES

Table 6. Topic-Level Engagement with Negative Concerns and Subsequent Changes

[Table 6](#) examines whether firms' engagement with topic-specific negative concerns raised in employee reviews is associated with changes in topic-level outcomes. *Concerns Engaged: <Topic>* is the firm-year average rate at which the firm response engages with concerns raised on that topic. Panel A reports the association between concern engagement and the change in the underlying topic rating between year $t + 1$ and year t . Panel B reports the association between concern engagement and the change in the firm-year share of reviews raising a negative concern on that topic between year $t + 1$ and year t . For readability, each panel is split across two sub-tables by Kununu rating-dimension group: sub-tables A.1 and B.1 cover the six *Corporate Culture* dimensions (Working Atmosphere, Communication, Cohesion among Colleagues, Work-life Balance, Managerial Behavior, Interesting Tasks); sub-tables A.2 and B.2 cover the remaining seven dimensions in the *Diversity*, *Working Environment*, and *Career & Salary* groups (Equality, Dealing with Older Colleagues, Working Conditions, Environmental/Social Awareness, Salary/Benefits, Image, Career/Further Education). All specifications include the baseline firm controls (ROA, Log Assets, Log #Employees, Log #Reviews). The sample period spans 2007–2024, with data at the firm-year level. All specifications include firm and year fixed effects. All variables are defined in [Appendix A](#). T-statistics, clustered by firm, are reported in parentheses below coefficient estimates. *, **, and *** denote statistical significance at the 10%, 5%, and 1% levels, respectively.

Panel A.1: Concern Engagement and Change in Topic Ratings (Corporate Culture)

	(1) <i>Working Atmosphere T+1-T</i>	(2) <i>Communication T+1-T</i>	(3) <i>Cohesion among Colleagues T+1-T</i>	(4) <i>Work-life Balance T+1-T</i>	(5) <i>Managerial Behavior T+1-T</i>	(6) <i>Interesting Tasks T+1-T</i>
<i>Concerns Engaged: Working Atmosphere</i>	1.484*** (5.717)					
<i>Concerns Engaged: Communication</i>		1.079*** (4.615)				
<i>Concerns Engaged: Cohesion among Colleagues</i>			2.098*** (4.627)			
<i>Concerns Engaged: Work-life Balance</i>				1.191*** (2.872)		
<i>Concerns Engaged: Managerial Behavior</i>					1.589*** (5.320)	
<i>Concerns Engaged: Interesting Tasks</i>						1.016* (1.836)
<i>ROA</i>	0.002 (0.755)	0.000 (0.062)	0.000 (0.013)	0.003 (1.395)	0.002 (0.664)	-0.000 (-0.049)
<i>Log Assets</i>	-0.060 (-1.196)	-0.035 (-0.756)	-0.036 (-0.776)	-0.052 (-1.090)	-0.060 (-1.161)	-0.030 (-0.675)
<i>Log #Employees</i>	-0.003 (-0.091)	-0.017 (-0.569)	0.005 (0.141)	0.014 (0.533)	0.000 (0.004)	-0.009 (-0.299)
<i>Log #Reviews</i>	-0.085** (-2.479)	-0.075** (-2.401)	-0.053* (-1.869)	-0.104*** (-3.277)	-0.124*** (-4.235)	-0.053** (-1.989)
<i>Constant</i>	1.646* (1.745)	1.190 (1.405)	0.947 (1.145)	1.439 (1.569)	1.795* (1.797)	0.977 (1.235)
<i>Observations</i>	1,608	1,607	1,608	1,608	1,608	1,608
<i>R-squared</i>	0.178	0.173	0.146	0.129	0.187	0.178
<i>Year FE</i>	YES	YES	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES	YES	YES

Panel A.2: Concern Engagement and Change in Topic Ratings (Diversity, Working Environment, Career & Salary)

	(1) <i>Equality</i> <i>T+1-T</i>	(2) <i>Dealing with</i> <i>Older Colleagues</i> <i>T+1-T</i>	(3) <i>Working</i> <i>Conditions</i> <i>T+1-T</i>	(4) <i>Environmental/</i> <i>Social Awareness</i> <i>T+1-T</i>	(5) <i>Salary/</i> <i>Benefits</i> <i>T+1-T</i>	(6) <i>Image</i> <i>T+1-T</i>	(7) <i>Career/Further</i> <i>Education</i> <i>T+1-T</i>
<i>Concerns Engaged: Equality</i>	2.750*** (3.906)						
<i>Concerns Engaged: Dealing with Older Colleagues</i>		2.276** (2.101)					
<i>Concerns Engaged: Working Conditions</i>			1.163*** (3.851)				
<i>Concerns Engaged: Environmental/Social Awareness</i>				2.058** (2.002)			
<i>Concerns Engaged: Salary/Benefits</i>					1.135*** (3.464)		
<i>Concerns Engaged: Image</i>						1.019*** (4.001)	
<i>Concerns Engaged: Career/Further Education</i>							0.675** (2.327)
<i>ROA</i>	0.003 (1.306)	0.004* (1.944)	0.002 (0.744)	0.004 (1.621)	0.003 (1.140)	0.002 (0.996)	0.001 (0.570)
<i>Log Assets</i>	-0.080 (-1.651)	-0.010 (-0.208)	-0.079 (-1.588)	-0.091* (-1.813)	-0.055 (-1.197)	-0.128** (-2.359)	-0.072 (-1.343)
<i>Log #Employees</i>	0.009 (0.323)	0.009 (0.295)	0.008 (0.262)	0.019 (0.569)	0.006 (0.177)	0.021 (0.630)	-0.016 (-0.464)
<i>Log #Reviews</i>	-0.062** (-2.142)	-0.062** (-2.069)	-0.086*** (-2.643)	-0.106*** (-3.545)	-0.083*** (-3.236)	-0.046 (-1.352)	-0.138*** (-4.663)
<i>Constant</i>	1.886** (2.094)	0.398 (0.451)	1.994** (2.193)	2.248** (2.434)	1.452* (1.760)	2.768*** (2.856)	2.268** (2.315)
<i>Observations</i>	1,608	1,595	1,608	1,603	1,608	1,607	1,608
<i>R-squared</i>	0.127	0.128	0.114	0.159	0.118	0.150	0.144
<i>Year FE</i>	YES	YES	YES	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES	YES	YES	YES

Panel B.1: Concern Engagement and Change in Future Concerns (Corporate Culture)

	(1) <i>Concerns Working Atmosphere T+1-T</i>	(2) <i>Concerns Communication T+1-T</i>	(3) <i>Concerns Cohesion among Colleagues T+1-T</i>	(4) <i>Concerns Work-life Balance T+1-T</i>	(5) <i>Concerns Managerial Behavior T+1-T</i>	(6) <i>Concerns Interesting Tasks T+1-T</i>
<i>Concerns Engaged: Working Atmosphere</i>	-0.462*** (-6.629)					
<i>Concerns Engaged: Communication</i>		-0.417*** (-6.856)				
<i>Concerns Engaged: Cohesion among Colleagues</i>			-0.663*** (-5.001)			
<i>Concerns Engaged: Work-life Balance</i>				-0.434*** (-4.384)		
<i>Concerns Engaged: Managerial Behavior</i>					-0.502*** (-6.641)	
<i>Concerns Engaged: Interesting Tasks</i>						-0.416** (-2.235)
<i>ROA</i>	-0.001** (-2.056)	-0.001 (-0.954)	-0.001** (-2.423)	-0.001 (-1.630)	-0.001 (-0.680)	-0.001** (-2.176)
<i>Log Assets</i>	0.012 (0.782)	0.006 (0.581)	0.019* (1.873)	0.005 (0.488)	0.017 (1.577)	0.012 (1.277)
<i>Log #Employees</i>	0.004 (0.353)	-0.006 (-0.857)	-0.010 (-1.640)	0.006 (1.014)	-0.001 (-0.149)	-0.006 (-1.070)
<i>Log #Reviews</i>	0.041*** (4.711)	0.046*** (5.193)	0.030*** (4.097)	0.035*** (3.998)	0.045*** (5.231)	0.033*** (4.006)
<i>Constant</i>	-0.437* (-1.685)	-0.251 (-1.283)	-0.428** (-2.202)	-0.302 (-1.483)	-0.522** (-2.543)	-0.338* (-1.798)
<i>Observations</i>	1,509	1,500	1,485	1,467	1,511	1,487
<i>R-squared</i>	0.189	0.231	0.215	0.232	0.243	0.212
<i>Year FE</i>	YES	YES	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES	YES	YES

Panel B.2: Concern Engagement and Change in Future Concerns (Diversity, Working Environment, Career & Salary)

	(1) <i>Concerns Equality T+1-T</i>	(2) <i>Concerns Dealing with Older Colleagues T+1-T</i>	(3) <i>Concerns Working Conditions T+1-T</i>	(4) <i>Concerns Environmental/ Social Awareness T+1-T</i>	(5) <i>Concerns Salary/ Benefits T+1-T</i>	(6) <i>Concerns Image T+1-T</i>	(7) <i>Concerns Career/Further Education T+1-T</i>
<i>Concerns Engaged: Equality</i>	-0.775*** (-6.243)						
<i>Concerns Engaged: Dealing with Older Colleagues</i>		-0.811*** (-4.451)					
<i>Concerns Engaged: Working Conditions</i>			-0.539*** (-7.173)				
<i>Concerns Engaged: Environmental/Social Awareness</i>				-0.700*** (-5.429)			
<i>Concerns Engaged: Salary/Benefits</i>					-0.448*** (-4.989)		
<i>Concerns Engaged: Image</i>						-0.325*** (-5.090)	
<i>Concerns Engaged: Career/Further Education</i>							-0.448*** (-7.488)
<i>ROA</i>	-0.001** (-2.215)	-0.001 (-1.519)	-0.001 (-1.525)	-0.001* (-1.811)	-0.001** (-2.440)	-0.001* (-1.734)	-0.001* (-1.817)
<i>Log Assets</i>	0.009 (1.030)	0.007 (0.797)	0.022** (2.195)	0.007 (0.879)	-0.000 (-0.019)	0.002 (0.166)	-0.007 (-0.633)
<i>Log #Employees</i>	0.004 (0.899)	-0.004 (-0.778)	-0.005 (-1.006)	0.006 (1.569)	0.001 (0.114)	0.009 (1.190)	0.017*** (2.702)
<i>Log #Reviews</i>	0.025*** (3.273)	0.024*** (3.224)	0.036*** (4.191)	0.021*** (3.464)	0.037*** (4.718)	0.043*** (6.210)	0.031*** (3.730)
<i>Constant</i>	-0.338* (-1.886)	-0.206 (-1.144)	-0.569*** (-2.848)	-0.294* (-1.657)	-0.138 (-0.671)	-0.280 (-1.538)	-0.105 (-0.467)
<i>Observations</i>	1,440	1,378	1,485	1,389	1,491	1,530	1,505
<i>R-squared</i>	0.193	0.196	0.220	0.151	0.203	0.181	0.185
<i>Year FE</i>	YES	YES	YES	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES	YES	YES	YES

Table 7. Response Behaviors and Labor Market Attractiveness

Table 7 applies the response-behavior measures from Tables 3–5 to firms’ labor market attractiveness as the outcome. The dependent variable in all panels is the year-over-year change in *Candidates per Posting*, defined as the firm-year ratio of self-reported candidates on the Kununu platform to job postings. Panel A regresses the dependent variable on *Response Rate*. Panel B adds the interaction between *Response Rate* and *High Template* (columns 1–2) or *High Tailored* (columns 3–4). Panel C reports the corresponding interactions for the four categories: *High Cheap Talk* (columns 1–2), *High Culture* (columns 3–4), *High Clarify* (columns 5–6), and *High Acquire & Integrate* (columns 7–8). Panel D uses the sub-category shares as independent variables: the four template sub-categories (appreciation, apology, valuing feedback, culture and values) in columns 1–2, the eight tailored sub-categories (neutral clarifications, defensive explanations, substantive acknowledgment, seeking conversation, internal channel suggestion, commitment to report, abstract improvement, concrete actions) in columns 3–4, and all twelve jointly in columns 5–6. Panel E uses *Concern Addressing* (columns 1–2) or *Positive Amplification* (columns 3–4). All non-baseline independent variables are defined as in Tables 4 and 5. Odd-numbered columns include no controls. Even-numbered columns include the baseline firm controls (*ROA*, *Log Assets*, *Log #Employees*, *Log #Reviews*) together with Δ *Recommendation Rate*, the contemporaneous change in the firm’s recommendation rate, so that the reported coefficients capture any association with candidate flow beyond what operates through the change in the firm’s rating. The sample period spans 2007–2024, with data at the firm-year level. All specifications include firm and year fixed effects. All variables are defined in Appendix A. T-statistics, clustered by firm, are reported in parentheses below coefficient estimates. *, **, and *** denote statistical significance at the 10%, 5%, and 1% levels, respectively.

Panel A: Response Rate

	(1) <i>Candidates per Posting</i> <i>T+1-T</i>	(2) <i>Candidates per Posting</i> <i>T+1-T</i>
<i>Response Rate</i>	-3.880 (-0.847)	-4.924 (-1.200)
<i>ROA</i>		0.155 (0.695)
<i>Log Assets</i>		-15.893 (-1.273)
<i>Log #Employees</i>		12.592* (1.933)
<i>Log #Reviews</i>		-2.206 (-0.728)
Δ <i>Recommendation Rate</i>		17.575** (2.140)
<i>Constant</i>	-2.137 (-1.070)	248.963 (0.970)
<i>Observations</i>	360	239
<i>R-squared</i>	0.298	0.376
Year FE	YES	YES
Firm FE	YES	YES

Panel B: Response Rate $\times$ High Template / High Tailored

	(1) <i>Candidates per Posting T+1-T</i>	(2) <i>Candidates per Posting T+1-T</i>	(3) <i>Candidates per Posting T+1-T</i>	(4) <i>Candidates per Posting T+1-T</i>
<i>High Template#Response Rate</i>	-13.739 (-1.575)	-3.132 (-0.430)		
<i>High Tailored#Response Rate</i>			3.266 (0.436)	-2.912 (-0.474)
<i>Response Rate</i>	2.258 (0.404)	-3.662 (-0.508)	-4.701 (-1.087)	-5.843 (-0.994)
<i>High Template</i>	5.353 (1.022)	-1.397 (-0.333)		
<i>High Tailored</i>			1.004 (0.167)	-0.251 (-0.067)
<i>ROA</i>		0.175 (0.654)		0.221 (0.821)
<i>Log Assets</i>		-9.349 (-0.568)		-9.972 (-0.628)
<i>Log #Employees</i>		4.322 (0.712)		4.494 (0.784)
<i>Log #Reviews</i>		0.211 (0.068)		-0.452 (-0.143)
<i>Δ Recommendation Rate</i>		10.993 (1.107)		12.248 (1.363)
<i>Constant</i>	-4.336 (-1.524)	168.547 (0.483)	-2.864 (-1.191)	184.227 (0.548)
<i>Observations</i>	304	196	304	196
<i>R-squared</i>	0.346	0.389	0.340	0.387
Year FE	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES

Panel C: Response Rate $\times$ the Four Response Compositions

	(1) <i>Candidates per Posting T+1-T</i>	(2) <i>Candidates per Posting T+1-T</i>	(3) <i>Candidates per Posting T+1-T</i>	(4) <i>Candidates per Posting T+1-T</i>	(5) <i>Candidates per Posting T+1-T</i>	(6) <i>Candidates per Posting T+1-T</i>	(7) <i>Candidates per Posting T+1-T</i>	(8) <i>Candidates per Posting T+1-T</i>
<i>High Cheap Talk#Response Rate</i>	-4.788 (-0.642)	-4.244 (-0.612)						
<i>High Culture#Response Rate</i>			-8.277 (-0.888)	4.115 (0.522)				
<i>High Clarify#Response Rate</i>					-6.399 (-0.798)	-2.550 (-0.354)		
<i>High Acquire & Integrate#Response Rate</i>							12.166 (1.554)	-8.559 (-1.294)
<i>Response Rate</i>	-0.612 (-0.073)	-2.986 (-0.417)	-0.453 (-0.077)	-7.497 (-1.206)	-0.297 (-0.069)	-4.936 (-0.888)	-11.557 (-1.549)	-4.593 (-1.087)
<i>High Cheap Talk</i>	-2.404 (-0.511)	0.459 (0.102)						
<i>High Culture</i>			2.276 (0.394)	-4.870 (-1.016)				
<i>High Clarify</i>					6.816 (1.297)	1.413 (0.318)		
<i>High Acquire & Integrate</i>							-12.681** (-2.435)	-1.929 (-0.541)
<i>ROA</i>		0.147 (0.546)		0.180 (0.639)		0.177 (0.651)		0.292 (1.151)
<i>Log Assets</i>		-9.830 (-0.604)		-8.791 (-0.557)		-9.243 (-0.573)		-9.997 (-0.634)
<i>Log #Employees</i>		4.435 (0.775)		4.774 (0.812)		4.253 (0.761)		3.610 (0.598)
<i>Log #Reviews</i>		0.032 (0.011)		-0.320 (-0.105)		-0.289 (-0.091)		-1.238 (-0.401)
<i>Δ Recommendation Rate</i>		10.916 (1.190)		11.019 (1.274)		12.341 (1.415)		15.244 (1.663)
<i>Constant</i>	-1.426 (-0.318)	178.464 (0.514)	-3.032 (-0.865)	156.118 (0.463)	-6.174** (-2.605)	168.184 (0.490)	5.073 (1.105)	198.297 (0.597)
<i>Observations</i>	304	196	304	196	304	196	304	196
<i>R-squared</i>	0.346	0.387	0.342	0.391	0.344	0.386	0.356	0.397
<i>Year FE</i>	YES	YES	YES	YES	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES	YES	YES	YES	YES

Panel D: Response Sub-Categories

	<i>Template</i>		<i>Tailored</i>		<i>All Twelve</i>	
	(1)	(2)	(3)	(4)	(5)	(6)
	<i>Candidates</i>	<i>Candidates</i>	<i>Candidates</i>	<i>Candidates</i>	<i>Candidates</i>	<i>Candidates</i>
	<i>per Posting</i>	<i>per Posting</i>	<i>per Posting</i>	<i>per Posting</i>	<i>per Posting</i>	<i>per Posting</i>
	<i>T+1-T</i>	<i>T+1-T</i>	<i>T+1-T</i>	<i>T+1-T</i>	<i>T+1-T</i>	<i>T+1-T</i>
<i>Appreciation</i>	-12.161	-20.338			4.035	8.147
	(-0.849)	(-1.349)			(0.230)	(0.307)
<i>Apologetic</i>	-2.296	11.902			-18.252	-2.142
	(-0.063)	(0.249)			(-0.418)	(-0.047)
<i>Valuing Feedback</i>	-52.687*	-55.647*			-50.556	-41.618
	(-1.676)	(-1.706)			(-1.217)	(-0.993)
<i>Culture Values</i>	39.138	-17.544			65.406*	57.062
	(1.299)	(-0.754)			(1.824)	(1.549)
<i>Neutral Clarifications</i>			-15.339	-22.639	-36.590	-39.462
			(-0.342)	(-0.606)	(-0.788)	(-0.981)
<i>Defensive Explanations</i>			49.260	111.585***	65.052*	128.613***
			(1.649)	(2.948)	(1.863)	(2.698)
<i>Substantive Acknowledgment</i>			101.976	10.237	111.947	24.993
			(1.537)	(0.242)	(1.585)	(0.695)
<i>Seeking Conversation</i>			-31.093	7.010	-12.925	16.791
			(-1.166)	(0.177)	(-0.462)	(0.425)
<i>Internal Channel Suggestion</i>			25.064	-52.954	5.261	-69.615
			(0.507)	(-1.008)	(0.093)	(-1.179)
<i>Commitment to Report</i>			-21.865	-69.998	-10.631	-71.203
			(-0.646)	(-1.245)	(-0.215)	(-1.194)
<i>Abstract Improvement</i>			-42.168	-61.311	-23.165	-36.406
			(-1.171)	(-1.489)	(-0.454)	(-0.715)
<i>Concrete Actions</i>			-49.659	-16.522	-60.441	-39.530
			(-0.434)	(-0.295)	(-0.523)	(-0.591)
<i>ROA</i>		0.160		0.152		0.199
		(0.605)		(0.537)		(0.657)
<i>Log Assets</i>		-9.075		-3.656		-3.765
		(-0.565)		(-0.236)		(-0.246)
<i>Log #Employees</i>		5.464		-2.099		-4.767
		(0.862)		(-0.275)		(-0.679)
<i>Log #Reviews</i>		0.138		0.673		0.688
		(0.045)		(0.183)		(0.196)
Δ Recommendation Rate		9.607		7.204		7.438
		(1.094)		(0.712)		(0.726)
<i>Constant</i>	-0.598	156.206	-6.191*	96.314	-7.800	120.631
	(-0.137)	(0.456)	(-1.894)	(0.303)	(-1.084)	(0.373)
<i>Observations</i>	304	196	304	196	304	196
<i>R-squared</i>	0.345	0.397	0.359	0.437	0.368	0.445
Year FE	YES	YES	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES	YES	YES

Panel E: Concern Addressing and Positive Amplification

	(1) <i>Candidates per Posting T+1-T</i>	(2) <i>Candidates per Posting T+1-T</i>	(3) <i>Candidates per Posting T+1-T</i>	(4) <i>Candidates per Posting T+1-T</i>
<i>Concern Addressing</i>	1.243 (0.341)	4.330 (1.205)		
<i>Positive Amplification</i>			8.264 (1.551)	0.681 (0.121)
<i>ROA</i>		0.130 (0.497)		0.118 (0.409)
<i>Log Assets</i>		-9.230 (-0.572)		-9.318 (-0.567)
<i>Log #Employees</i>		5.291 (0.911)		4.286 (0.637)
<i>Log #Reviews</i>		0.250 (0.080)		0.129 (0.040)
<i>Δ Recommendation Rate</i>		9.726 (1.105)		11.397 (1.274)
<i>Constant</i>	-5.591 (-1.618)	149.092 (0.446)	-12.403** (-2.408)	164.975 (0.488)
<i>Observations</i>	304	196	304	196
<i>R-squared</i>	0.337	0.386	0.347	0.381
<i>Year FE</i>	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES